

T R I L (TARIL)

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To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051
Trading Symbol : T RIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 11 th August, 2023

In terms of Regulation 30 and 46 read with Clause 1 5 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 11 th August, 2023.

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers & Rectifiers (India) Limited
Q1 FY2024 Earnings Conference Call"

August 11, 2023

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN – TRANSFORMERS
& RECTIFIERS (INDIA) LIMITED
MR. SATYEN MAMTORA – MANAGING DIRECTOR –
TRANSFORMERS & RECTIFIERS (INDIA) LIMITED
MR. ABHISHEK SIROHIYA – SENIOR MANAGER FINANCE –
TRANSFORMERS & RECTIFIERS (INDIA) LIMITED

ANALYST : M S. KRISHNA PATEL - INVESTOR RELATIONS - ERNST &
YOUNG

Transformers & Rectifiers (India) Limited
August 11, 2023

Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Transformers & Rectifiers (India) Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Krishna Patel, Investor Relations at Ernst & Young. Thank you and over to you!

Krishna Patel: Thank you Yashashri and apologies for the delay. Good afternoon everyone. On behalf of the management, I am pleased to welcome you all to Transformers & Rectifiers (India) Limited earnings call to discuss the Q1 FY24 financial results. Today from the management side we have with us Mr. Jitendra Mamtara – Chairman and Mr. Satyen Mamtara - Managing Director.

Please note a copy of the disclosure is available in the investor relations section of the website as well as the stock exchange. Anything said on this call which reflects the outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces. Now I shall hand over the call to the Chairman for his opening remarks. Over to you Sir! Thank you.

Jitendra Mamtara : Thank you Krishna. Good afternoon everyone. We welcome you all to the earnings conference call of Transformers & Rectifiers (India) Limited to discuss the company's performance during Q1 FY24. We concluded our Board meeting yesterday and uploaded

the investor presentation on the stock exchange and website. I believe you may have got a chance to go through the same.

In the larger interest of all let me begin by providing a brief understanding on the company. I begin my journey repairing and then manufacturing transformers since 1981. It has been more than 40 years in this field. Today as I recap I am happy to have been known in the market as a preferred solution provider for quality transformers. We are one of the few companies that manufacture high rated value transformers that are 220KV, 400KV, 765KV and also 1200KV indigenously. The space dominated by limited players due to technical expertise, design, customization involved and also the restrictions of the other players to enter into this segment. Over the years the company has continually moved up the value chain by developing expertise in designing and manufacturing transformers & rectifiers. In order to optimize the operation, we have been continuously undertaking backward integration and now we manufacture majority of the key component in-house to support the quality, timely delivery and have been able to achieve better operational efficiency.

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Page 3 of 20 Now let me highlight the financial performance during the quarter. The consolidated revenue from operation was at 153.36 Crores, a decline by 48% from 297.50 Crores in Q1 FY23. Q1 is usually a weak quarter as majority of the project completion takes place during the last quarter of the financial year.

During the quarter, multiple factors led to decline in the revenue:

- There was a significant built up of inventory; materials were ready for dispatch, but delivery got delayed due to non-receipt of dispatch instruction from customers, hence, we were unable to invoice those orders.
- In few instances, orders could not be dispatched and invoiced on account of delay in inspection from the customer's side.
- Some of the orders were deliberately slowed down by the company where there were delayed payments by the customer.
- During the quarter, we have not received any amount from GETCO which increased its outstanding to Rs.183 crore which impacted heavily on the deliverable of the company.

All this put together had an impact on our revenue during the quarter.

Now let me discuss in detail the GETCO matter. On July 13th this year GETCO (Gujarat Energy Transmission Corporation Limited) issued STOP DEAL (Not Black List) Notice to the company intimating that it has decided to stop dealing with the Company for the period of 3 years on the ground that Company had allegedly submitted forged Material Dispatched Clearance Certificate (MDCC) relating to 20 Transformers supplied by the Company under the ongoing contract for supply of 29 Transformers and 1 reactor to GETCO.

As per the Purchase Policy of the parent Company of GETCO i.e. GUVNL (Gujarat Urja Vikas Nigam Limited), if Stop Deal order is issued to any supplier same will be applicable to new business opportunities or where the tender is not awarded. Purchase policy of GUVNL clearly mentioned that it does not have any impact on existing contract or contract which is awarded to supplier and delivery has started under the same nor it will have any impact on outstanding receivables.

In case of the Company payment has been delayed because the transformers that are said to be supplied under the wrong documents are to be re-tested. The re-test of 8 transformers has

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Page 4 of 20 been done successfully and the same has been dispatched under the fresh delivery Instruction (DI) given by GETCO. The balance transformers are already commissioned and are in operational in good condition. The Company expects that payment process to start by end of August 2023 or early September 2023.

Company is representing its case to GETCO management to reconsider the stop deal order and revoke the same, management is hopeful to get it revoked in near future.

Currently, the company has orders on hand to the tune of 2,149 Crores as on June 30, 2023

of which the company has received new orders of Rs. 377 Crores during the quarter.

Currently power transformers contribute 58% of the revenue followed by auxiliary transformers 16%, distribution transformers 14%, shunt reactors 7% and furnace transformers 5%.

Going forward, I am very optimistic with the growth potential in this segment. Globally, the demand of transformers has increased manifold, major buyers such as Europe, USA are in

short supply by 2-3 years. Big opportunity is coming in Ukraine for Indian companies like TRIL who has the potential of meeting immediate demand of the country. For transmitting energy from solar parks to the grid higher rated power transformers are required where TRIL has the necessary facility and capabilities in place. The expansion of Hydrogen energy capacity in the world brings huge opportunity for TRIL as it is one of the few companies who has the expertise to manufacture transformers. Transformers for green energy are the next generation products of TRIL. In the Indian market we are optimistic of the growth potential due to increase in demand on account of uptick in the capex cycle & government policies. We see a lot of demand coming in from railways. With higher roll out of fast speed trains, Metro's, TRIL is at an advantageous position to contribute to the demand.

With this, I conclude my remarks and now I would like to handover the call to the moderator to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. We will take the first question from the line of Abhineet Anand from Emkay Global. Please go ahead.

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Page 5 of 20 Abhineet Anand : First I want to understand the reason for the decline in revenue. There are four reasons being outlined in the PPT as well. One being that there has been deliberately slowdown by the company where payment delay, so if you can just breakup these four items that are there a very broad number that maybe 50 Crores or 30 Crores was due to this and some amount because of GETCO related, some because of GETCO related and some because of invoicing that will help us understand because the fall is very high right, 48% is a big number so if you can just highlight that Sir?

Abhishek Sirohiya : Firstly we mentioned that there has been built up in the inventory so if we give some clarification on that there were orders of TSTRANSCO wherein DI was not received, the inspection was completed but DI was not received besides that it was from Oil India when we got the DI during the second week of the July, it was delayed by them because there were some issues at their side which later got rectified. So the total quantum is somewhere around 50 Crores. Besides that there were other small customers where in DI received in July that was around 20 Crores. Now the major instance is due to the delay in receipt of funds from GETCO which we have not received anything during the Q4 so the amount what we expected if we consider around 100 Crores it could have enabled us to build further revenue of around 150 Crores because this has reduced my capacity to procure the material from the market and convert it into the finished goods. Besides that we manufacture around 3000 MVA of transformers during the quarter whereas the sales were around 3600 MVA manufacturing.

Abhineet Anand : 3600 was the manufacturing and the sales were how much you said?

Abhishek Sirohiya : Sales was 2019.

Abhineet Anand : This delay that you talked about deliberate delay by the company because of delayed payment how much that could have been?

Abhishek Sirohiya : That would have been around 25 to 30 Crores.

Abhineet Anand : If I understand c

orrectly the large issue is because you have not received money from GETCO, so working capital related stuff money that is required that is where the delay would have happened, right?

Abhishek Sirohiya : Yes Sir.

Abhineet Anand : So going in this quarter now we are in Q2 FY24 right and one month has passed so what is the status now in terms of our availability of funds to procure our raw material and supply.

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Page 6 of 20 Abhishek Sirohiya : Combined to the Q1 the situation has improved a bit and we see that it will be comparatively better and we will be showing some good growth. I would not be able to give any certain ratio as to what the improvement it will be, but you will see a definite growth in the Q2.

Abhineet Anand : So this growth is over last year you are saying or from Q1 of this year you are saying?

Abhishek Sirohiya : From last year as well.

Abhineet Anand : Q2 of FY23?

Abhishek Sirohiya : Yes Sir.

Abhineet Anand : Second is in the P&L good to see that the raw material cost is around 70% right in this quarter, so earlier I think for FY23 this number was somewhere around 78 to 80% so what type of raw material for the year or the present contracts that we have in hand, what type of raw material one should factor in?

Chanchal Rajora : It should be between 70 to 75% range.

Jitendra Mamtara : Abhineet one point I wanted to clarify here see because of the GETCO payment we manufactured 3600 MVA and only 2019 MVA were built so now through 3600 MVA, so last year we produced something like 5100 MVA and sold 5465 because of some pending invoices because the goods were not received by the client but against 5000 MVA we have done 3600 MVA this year so billing is only 2019, so 1600 MVA billing was yet to be made if you just see that and this will come in this quarter year.

Abhishek Sirohiya : It has been recognized as revenue up till date.

Abhineet Anand : Inflows you talked we have got 377 this is in Q1, right?

Abhishek Sirohiya : Yes.

Abhineet Anand : Any further inflows during Q2 that we have received Sir?

Abhishek Sirohiya : Yes Sir there is a substantial inflow. You might have seen the information we have published on the exchanges that we have received one of the bigger order from the power grid that was amounting around 145 Crores.

Abhishek Sirohiya : This is a single order besides that also there are certain orders we have received.

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Page 7 of 20 Abhineet Anand : So Q2 we would have received 150 to 200 Crores already, right?

Abhishek Sirohiya : More than 250 Crores Sir.

Abhineet Anand : Thanks. Those were my questions. I will come back in the queue.

Moderator: Thank you. We have our next question from the line of Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma: I am wondering basically just because we cannot receive this amount from GETCO why should it constraint your capability to manufacture, cannot you borrow and do it or because this payment may or may not come right, how are you going to resolve this?

Jitendra Mamtara : Ajay, see payment is to come. It is a matter of time. Because what has happened is because of their suspicion that the transformers are not of good quality they asked us to retest the transformer again and we retested and they have found the transformers which were retested, eight of them out of 20 they were found to be as exactly as per the test certificates which were given to them earlier there was no difference in it and there is one more condition that whatever transformers are going to be retested they will be considered as received only when they receive this transformer once again so that may delay the payment, but the payment of something like 67 Crores or 68 Crores of the other order are expected by the end of this month because stop deal as explained to you earlier

or it is a clear cut mention

there that the running order has to be executed and so when the order is to be executed the payment is to be received. So there is no question of the payment not getting received in a short time.

Ajay Sharma: So all the eight which you already tested, when are you supposed to receive payment for that?

Jitendra Mamtara : We have to just check when those transformers have reached the site because they have left the factory longtime back so each individual transformer when it reaches the site 30 days after that is the payment. So 30 days from the date of receipt of the material at site the payment will be released in 30 days.

Abhishek Sirohiya : Besides that you also asked was not it possible to increase the borrowing and do the increase the revenue, so just to clarify that, Sir we have been having the working capital arrangement for the fund base around 178 Crores since we had achieved the turnover of around 700 Crores and it is at the same level we have achieved the turnover during last year of 1,358 Crores but we do have certain unsecured purchase bill discounting limits that we have utilized during the quarter.

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Page 8 of 20 Chanchal Rajora : Coming back to your second question is about that cannot we borrow the funds we are already working on bridge financing arrangements so that whatever gap we have come up in Q1 we can recover in Q2 as you know that financing and bridge financing always takes time and the effect of that you will see in the Q2 results as well as in Q3 results.

Ajay Sharma: I think earlier you were looking at least minimum 1,500 Crores turnover for this year so are we comfortable achieving that number?

Chanchal Rajora : As of now we cannot comment on this that discussion we can address by the end of Q3 but yes considerably we will recover quite well and much, much above than the last year figures.

Ajay Sharma: GETCO as a customer like what percent of your revenue typically comes from them actually; suppose they do not reinstate you how much of the business actually gets impacted?

Chanchal Rajora : In present order book of Rs. 2150 Crores GETCO has only Rs.92 Crores order in it, so it is less than 5%.

Ajay Sharma: You have not received any queries after this incident from other customers or have you?

Chanchal Rajora : Not at all. We have got the order of Rs.150 Crores from the power grid.

Ajay Sharma: I am just wondering considering all other companies have reported very strong Q1 numbers and one incident can impact your capability so much, it is a bit worrying actually.

Chanchal Rajora : Ajay it is not the one incident basically. Look in any organization when the working capital to the extent of Rs.140 Crores to Rs.150 Crores got stuck the impact will always be there on that and as we said there are deliberately around Rs.40-50 Crores of orders we have not dispatched because we wanted to bring some kind of discipline in our customers regarding the payments. This is basically the correction exercise we started taking from this year so that we can reduce our working capital cycle. So some point of the time we may have to take a little bit of hit on the topline side, but ultimately I need to strengthen my working capital cycle and that is what we are trying to do in that way. The positive impact of these you will see in Q2 as well and more in second half of the year. I am just addressing your concern only that if the one customer's payment has got affected, so it should not get effect on my working capital cycle that is the reason we are taking these steps so that this situation does not arise in the future and these impacts you will more see in the second half of the year and I can assure you second half will be the year to remember.

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Page 9 of 20 Ajay Sharma: I certainly hope

so. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra : Thank you so much for the opportunity. Sir firstly I wanted to understand the total order book that we have of around 2,100 Crores how much execution do you expect to happen in this year, basically how much time also do you take to execute if they are the larger transformers and how much time do you also take to execute those orders for the current financial year how much time will you take?

Chanchal Rajora : Gunjan we expect that out of 2,100 Crores order book we have around Rs.1,400 to 1,500 Crores we will be able to execute in this year and let me tell you that we are one of the fastest delivery company so we does not take much time to produce a transformer. Our capacities are so high that we can make a transformer in less than two months' time so it would not be that much of thing that one transformer will take six months or seven months so that way we are quite hopeful that we will be able to achieve almost 60 to 70% of the order book.

Gunjan Kabra : I also wanted to understand from margin perspective that firstly from the GETCO case will there be any additional expenses happening in this quarter or this year due to this GETCO case and secondly what kind of EBITDA margins do you expect to operate this year, I wanted to understand how margins actually differentiate from small transformers versus large transformers because margin profile has been quite robust for other companies over this very good cycle of transformer company so wanted to know if order execution picks up this year then what kind of margins can TRIL do?

Jitendra Mamtora : See distribution transformer per se will not have a bigger margin because that market is quite competitive but only advantage there is that your cash flow when you manufacture these transformers they are mainly from the private customers there is advance and then the receivable is against the dispatches, so it improves the cash flow though the margins may not be that good. Like we are almost doing something like 80% or 0.8 material to sales ratio in the distribution transformer against 0.7 in the power transformers and it cannot have any impact. GETCO case cannot have any impact on the margins or anything.

Gunjan Kabra : Sir what kind of margins can we expect in EBITDA on operating funds for this year?

Jitendra Mamtora : See it will be double figure plus no doubt about it.

Gunjan Kabra : Sir is the prices of CRGO steel coil increasing or is it stabilized?

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Page 10 of 20 Jitendra Mamtora : The prices of the CRGO are now reduced quite a bit. Copper prices are very fluctuating, but

there is a regular supply of CRGO which has also made the price competitive now. Earlier there was a concern for the manufacturing capacity of the individual companies because everybody was focused on supplying to the electrical vehicle because the steel required for electrical vehicle is easier to manufacture than the grain-oriented steel so most of the mills will never have the capacity, they focus more on the electrical steel for the electrical vehicles but now everybody has put up a separate capacity for the steel required by the

electrical vehicle and now CRGO is available easily and which has also reduced the price.

Gunjan Kabra : Okay so the raw material prices are now favorable , so there is no problem for the commodity side?

Jitendra Mamtara : Except the oil, oil has gone up a bit.

Gunjan Kabra : Sir like you guided in the previous question that invoicing has not happened, so the 100 Crores from maybe GETCO and 50-70 Crores more from the other players because of delay from their side and whatever reasons were there so now this invoicing will happen in this quarter or it will take some more time and shift on to other

quarters or how will it pan out

and for the other customers is it now on track so how is that going?

Jitendra Mamtara : Gunjan the supply has started for GETCO for 94 Crores pending order. The supply has already started. I think we have already built some thing like 25 Crores of transformers this quarter. Beside that the invoices which were not done in case of Telangana and Andhra will happen now because we have started receiving the DI from them this month onwards, so that will all be dispatched in this month, whatever are pending over the manufacture transformers will be dispatched this month itself or they have already been dispatched.

Gunjan Kabra : How much is the revenue coming from renewable segment in our total portfolio?

Abhishek Sirohiya : It would be 5%.

Gunjan Kabra : 5% from renewable side.

Abhishek Sirohiya : Once the demand from the hydrogen sector will be coming it will go up to 20-25%.

Gunjan Kabra : Sir what is the peak revenue that we can do from the current existing facility, how much peak revenue can we do before we need to expand or something?

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Page 11 of 20 Jitendra Mamtara : Gunjan the peak revenue when you are talking about at today's price level I am talking about today's raw material price and today's material to sales ratio. It can be anywhere between 2,300 to 2,600 Crores depending on the size of the transformer sales.

Gunjan Kabra : Like there are some transformers that you also mentioned in the beginning of around 770KV and 1200KV so wanted to understand how much revenue comes from those bigger transformers for us?

Jitendra Mamtara : Gunjan 1200KV was the transformer which we supply to power grid. It was for the trial purpose and we have not invoiced that as yet and they are not very sure whether they are going to continue with their project of 1150KV transmission lines or not they are not very sure of it but as far as 765KV transformers out of the present order of power grid I think 35% is of 765 KV and rest is all 400KV so it is 765 KV and 400KV from power grid.

Gunjan Kabra : I will get back in the queue for further questions. Thank you so much and good luck to you and the team.

Moderator : Thank you. We have our next question from the line of Nilesh Doshi from Green Lantern Capital LLP. Please go ahead.

Nilesh Doshi : Yes thank you for the question, Mr. Mamtara is there any thumb rule to understand the revenue realization for MVA because you talk of 3600 to 2000 dispatch so for us if we have to understand is there any kind of thumb rule we can take?

Jitendra Mamtara : The distribution transformer will be something like 10 to 11 lakhs per MVA. Large 765KV transformer maybe 4.5 to 5 lakhs per MVA so it all depends on the rating of the transformer especially the MVA rating of the transformer, capacity of the transformer, so for each rating stay for 220KV, 100 MVA transformer and 500 MVA transformer there will be marked difference. 100 MVA transformer they do not increase proportionately because the raw material is not required in proportion to the MVA rating, you can predict but for each rating we can say that for 220KV transformers up to 100MVA realization will be Rs. 5.5 lakhs, for 400KV between 200 MVA and above it will be something like again Rs. 5 lakhs per MVA, up to 200 MVA but if you go to 500 MVA it will go to Rs. 4.5 lakhs to Rs. 4.75 lakhs.

Nilesh Doshi : 3600 MVA we produce and we dispatch around 2000 so that 1600 MVA would have been worth what value which we could not have dispatched ?

Jitendra Mamtara : This 1600 MVA will be something like 80 to 85 Crores.

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Page 12 of 20 Nilesh Doshi : The other question is on GETCO because I am still not able to capture what has gone wrong like how they can just send you a letter saying we disqualify you, of course there has to be a

dialogue discussion between the supplier and the customer, so how do they operate like unilaterally without even informing you or just send you a letter saying we stop supplying so is there no relationship or there is no communication which has been always continuous between the supplier and the customer?

Jitendra Mamtara : Yes, there are issues and we do not want to discuss that at this stage. This is too early to discuss that in public. When we meet one-to-one we can discuss but not on this platform.

Nilesh Doshi : So can I assume that there was absolutely no error from our side except for maybe some wrong paper would have gone with something else?

Jitendra Mamtara : As we say that it is lapses of procedures that is what we have been interacting with them from our part and then there is no fraudulent practice which has been followed by us.

Nilesh Doshi : There was no error in terms of actual product which has gone out of our factory?

Jitendra Mamtara : They have been retested and they found all the transformers which were retested to be matching the test certificates which were already given to them in the past so they are the same, there is no difference between the test results now and the test results which were earlier carried out and given to them.

Nilesh Doshi : Second question from the order book as well as the other companies which we have been interacting in the same competitive area, the kind of order book which they are getting is phenomenally high whereas in your case we are still seeing just 300 Crores kind of run rate so are you seeing more inquiries coming also number one from domestic customers as well as what is the export potential which you have talked about, but you have not talked yet about how much you can do exports in this year, how much more you can do next year and what kind of qualification you have with customers or buyers internationally, can you just spend more time and tell us in detail what exactly and where exactly you are?

Jitendra Mamtara : Nilesh first of all I will tell you about many of the utilities, their prequalification requirement is that our transformers in three different countries or two different countries should be in operation of that rating for more than two years that is one of the condition and that we are fulfilling in almost all the cases now. Now we have participated in several tenders, overseas tenders amounting to something like Rs. 400 to Rs. 500 Crores and we are sure to get if not more at least Rs. 200 to Rs. 250 Crores of business from the tenders.

Nilesh Doshi : Just to interrupt Sir which country these are?

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Page 13 of 20 Jitendra Mamtara : I do not want to disclose that name right now. It is too early to say anything about it and we do not want to disclose that also because they are all sensitive and then the local orders are flowing regularly. As you see that our order book today is Rs. 2150 Crores that is not small and out of this Rs. 2150 Crores from April 1, 2023 to today it is something like Rs. 600 Crores orders which we have received or we are participating in another Rs. 3600 Crores orders for different utilities or for the TPCP projects and our success ratio is somewhere around 20 to 22%.

Nilesh Doshi : Sir two questions again adding to this that means one is that when these kind of concentrated orders come in like we are also seeing with your competitors and this has not happened for last many, many years, this has just begun in last 6-8 months and the way it is coming in it is huge, so in a scenario like this typically we have absorbed that the manufacturers tend to get better margin because though there is a competition the demand side is huge and everybody wants it ASAP especially on the renewable side because the utilities on renewable maybe it just takes one year and one-and-a-half year to finish the project,

so in that case, are you seeing the new realization which you are bidding is actually going to give you a little higher double digit margin?

Jitendra Mamtara : I mentioned this in the first question saying that material to sales ratio is now somewhere around 0.7x, which was earlier 0.77x or 0.78x so the margins have increased and then the new tenders where we are quoting are with MSR ratio of something like 0.67x to 0.68x so it is improving quite a lot and it is now comparable to the export business also. The export we do something like 0.62x to 0.65x and here now we are quoting somewhere 0.67x to 0.68x.

Nilesh Doshi : So Mamtara Sir this MSR improvement is not happening because of the cost of material going down, but it is because of the realization which we are able to take is that correct?

Jitendra Mamtara : Nilesh, see this contradiction, material prices has nothing to do with MSR ratio. MSR ratio is so material to sales ratio I am talking about so whatever are the material prices we do not bother. One point I would like to clear and you are right in a way indirectly that when the material cost reduces given the higher material to sales ratio the absolute figures will be less that is right, when the material prices reduces and everyone having the higher material to sales ratio the absolute figure may not be as much as when the material were about 30-40% higher.

Nilesh Doshi : Sir just last question, so typically these product transformers, reactors, what kind of delivery is scheduled from the nearest to the farther away?

Jitendra Mamtara : This delivery to start after eight months and will continue then for another five to six months depending on the size of the transformer and the size of the project.

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Page 14 of 20 Nilesh Doshi : So the earliest is 8 months nothing before that, these are 8 months earliest delivery?

Jitendra Mamtara : See some of them like for the renew when the projects are nearing completion and they were unable to place the order for some reason those transformers will be required faster because as soon as the solar park is ready as soon as the solar starts producing they have to emit power to the grid and there the customer requirement will be faster and we are working also on reducing the throughput time of manufacturing for all this range of transformers.

Nilesh Doshi : Do not you think that you need to do something AS AP in terms of arranging your working capital either through loan or through maybe preferential to promoters or through QIP because you are kind in a goldmine because I was listening to one call from an MNC company who is into HVDC and transmission their analysis was that today the short supply is much bigger in the transformer space?

Jitendra Mamtara : Correct. You are right. Absolutely right but then we are doing that. We are working on arranging for the bridge fund before we come out with a QIP at a reasonable price. We are talking to few funds for kind of a bridging loan until such time that the prices of our sales increase.

Nilesh Doshi : Because Sir next 5-7 years appears to be a golden opportunity for a company to

Jitendra Mamtara : Not 5-7, 10 years.

Nilesh Doshi : That is nice and lastly can you ask E&Y to get in touch with me because we would like to meet in your person.

Jitendra Mamtara : Krishna is here only so Krishna will get in touch with you Nileshji.

Nilesh Doshi : Thank you so much Sir.

Moderator : Thank you. We have our next question from the line of Naitik Mohata from Sequent Investments. Please go ahead.

Naitik Mohata : Thank you for the opportunity Sir. So Sir I have couple of questions starting with the GETCO order so I believe we have supplied 25 transformers to GETCO and out of that they have conducted their second inspections on eight of them, so have you booked the revenue for these eight transformers or what

is the kind of timeline that we see once they have

inspected and then it has been installed at the site how many days it needs to be operational for us to book that revenue and secondly what would be the timeline for the other remaining 17 transformers?

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Page 15 of 20 Jitendra Mamtara : They have already taken the delivery of this transformer using the fresh DI and the rest of the transformers are in operation, so it will be difficult for them to stop the supply or take the transformer off the line so it is going to take time or maybe that they may do away with the retesting of the rest of the transformer. These eight transformers which are tested are absolutely as per the test certificates were given to them earlier there is no difference there. Their view was that there may be some quality issues with the transformer and that is why the company has done this so that is set aside. Now there is no question of the quality being bad or quality not meeting the requirement or not meeting the performance parameters which were agreed upon between us and them.

Naitik Mohata : Sir basically my question is not on the quality side of our transformers basically what I am asking is out of the eight transformers that we have tested have we booked revenue for that?

Abhishek Sirohiya : We have booked revenue for all the transformers those have been supplied to them. These eight transformers were sent by them for retesting, which has been done and sent back but the revenue was booked with the perspective date.

Naitik Mohata : Receivables that are pending from GETCO?

Abhishek Sirohiya : 183 Crores.

Naitik Mohata : Exactly so those would be regarding which transformers?

Abhishek Sirohiya : Naitikji considering the outstanding against this transformer supply besides that there is also another order which was ongoing, so the total outstanding has been held by them, but now we expect that payment should get started releasing by them within this month itself.

Naitik Mohata : Secondly I have a bookkeeping question regarding depreciation so last year in Q3FY23 we saw a depreciation jump up quite sharp and I believe the explanation from your end was that we had retrospectively put depreciation because we were booking it in one shift base and now we have shifted to three so was that a one-time result because we have seen depreciation to stay eliminating even after that?

Abhishek Sirohiya : That was a one-time activity done last year and now it will remain in same line.

Naitik Mohata : So we can expect depreciation to be on this range going forward, right?

Abhishek Sirohiya : Yes Sir.

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Page 16 of 20 Naitik Mohata : Thank you and I hope that this call is not just because this issue has happened and the management plans to continue holding such calls for investors going forward. Thank you and all the best Sir.

Moderator : Thank you. We have our next question from the line of Hrishit Jhaveri from Pi Square Investments. Please go ahead.

Hrishit Jhaveri : Sir I wanted to know what is the current capacity utilization at our plant?

Jitendra Mamtara : About 60-65%, again when I say 60-65% with the present throughput time of manufacturing, but we are in the process of reducing this throughput time by at least if not more by 18-20% so when we do this throughput time and with the funds available with us for working capital we can say that we will be able to increase our capacity by 18-20%.

Hrishit Jhaveri : Currently how much cash are we holding in our books?

Abhishek Sirohiya : We do not normally hold the cash; we are normally on the debt side, so the utilization is somewhere around you can say 90-92% of range.

Hrishit Jhaveri : You mentioned bridge fund which you are planning to bring in, on an average how much amount are we expecting that and it will

be mostly used for the working capital?

Chanchal Rajora : Mr. Jhaveri we are looking for somewhere around Rs.100 to 150 Crores. We are in very, very advanced stages with few of the funds and most of this money is going to be used for the working capital enhancement.

Hrishit Jhaveri : Also promoter do you expect to get back GETCO as a customer in the next one year?

Chanchal Rajora : Definitely Sir.

Jitendra Mamtara : As I said we are representing our case and I am going to request the Chairman to allow me to present my case to the Board when the Board meeting takes place to revoke this letter and I am hopeful that the letter will be revoked because it seems to be one sided.

Hrishit Jhaveri : All the best for the coming year. Thank you.

Moderator : Thank you. We will take our next question from the line of Vikash Kedia an investor.

Please go ahead.

Vikash Kedia : Hi thank you for the opportunity. So are we taking any capex at this point in time if so how much is that and as you mentioned that there is some less improvement on the cycle?

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Page 17 of 20 Abhishek Sirohiya : We are planning for a capex, but it will take some three to four months because we have delayed this plan looking towards the current cash flow issues so the capex plan will cater the requirement for the industry specific transformers which we are anticipating that lot of demand is coming forward in the near future.

Vikash Kedia : The other question was with respect to GETCO again Rs. 183 Crores is your spending and there is 29 transformers plus one rectifier which was part of the order when the inspection was done and then there are Rs. 92 Crores of the subsequent orders I believe that is a fair thinking?

Jitendra Mamtara : All these pending orders today which was to the tune of 230 Crores.

Abhishek Sirohiya : The issue that was escalated is highlighted is against the order which was worthy around 230 Crores which included 29 transformers and one reactor wherein supply is yet pending for around 30 odd Crores, besides that we have another order as well for the smaller transformers which is again into execution but dispatches are kept on hold with respect to this issue but now we have resumed the supply. We have started the inspection process; payment also is pending just for a formal approval from their management.

Vikash Kedia : Thank you so much.

Moderator : Thank you. We have our next question from the line of Sriram R an investor. Please go ahead.

Sriram R : Thank you for the opportunity. In slide No 8 you have given that you have 160KV and above distribution transformer segment so what about lower rated distribution transformers?

Jitendra Mamtara : We do not make anything below 160KV we are not in to that segment.

Sriram R : Any particular reason?

Jitendra Mamtara : These are called, Rural Electrification Corporation range of transformers, they range from 5KV to 160KV and then there are some many players in the unorganized sector that it is difficult to compete with them and we do not want to get into that.

Sriram R : So basically this 5KV to 160KV is the requirement of us but that is not the case with industry player?

Jitendra Mamtara : They are all mainly from the unorganized sector, most of them are from unorganized, except for Toshiba and one in the organized sector they are doing well but beside that they

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Page 18 of 20 are all small players, maybe in area of 1000 square meter they are working and they are doing good, but we do not want to get into that kind of transformers at all.

Sriram R : I am trying to understand what is the use case for this 5 to 160KV you mentioned we have got REC range?

Jitendra Mamtara : They are for the villages, Rural Electrification Corporation they are called REC range so these are the transformers which have been

formulated or specified by the REC Rural

Electrification Corporation as far as the technical specifications are concerned. Their manufacturing is totally a different kind of thing. You manufacture like 300 to 400 transformers in a day. We are never in that range of transformers and we cannot go for that kind of manufacturing facility. See if you want to get into that you need to have a different kind of mindset and different kind of facility our facility will not work there. It is like a conveyor belt people who manufacture this many transformers in the organized sector they are just like on conveyor belt like a car manufacturing and then we do not want to get into that. It is very different for us.

Sriram R : So the private players let us say cement or steel so they do not use 5 to 160KV is it. The private players in those plants they do not use 5 to 160KV?

Jitendra Mamtara These are for rural like agriculture, irrigation purposes and all that, not for anything else.

Sriram R : Understood. Thank you.

Moderator : Thank you. We have our next question from the line of Praful, an individual investor. Please go ahead.

Praful : Thank you for the opportunity. Sir I would like to understand in the current order book how much percent of it is domestic and how much of it is in exports and how do you expect this split after like one year after this financial year ?

Abhishek Sirohiya : Sir the domestic is around 95% and export is around 5% as of now. Moving forward we understand that export will be in the range of 15-20%.

Praful : On the export side what kind of transformers orders you are seeing like power transformers or distribution?

Jitendra Mamtara See there will be mainly the power transformers and the industrial transformers like furnace transformers for electrical furnaces what we call electrical arc furnace and also for the rectifiers which are used for electrolysis processes like metal refining, etc., and making

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Page 19 of 20 some kind of chemicals also where electrolysis processes is required so they are called rectifier transformers. Rectifier transformers and arc furnace transformers and also power transformers, we are in touch with several utility for supplying the arc furnace transformers. We have got registered also in several of the utilities so enquiries have started coming in and it is a matter of time before we start getting the orders from them.

Praful : Sir could you elaborate on the delay in customer inspection and like what measures are you taking to ensure smoother inspection process?

Jitendra Mamtara Praful it is not in our hand because what happens is when we place the order they have some plans and because of the paucity of the funds the project gets delayed and when the project gets delayed the sites are not ready so they do not want to leave the transformer because if they leave the transformer they have to store the transformer then the payment will become also due so that will not look good on them so they avoid coming for the inspection purposely.

Praful : Got it. Thank you.

Moderator : Thank you. We will take the last question from the line of Naitik Mohata from Sequent Investment. Please go ahead.

Naitik Mohata : Sir thank you for the followup I understand that we are expecting payments to be coming in from GETCO by August and September first week and we saw some delays of about Rs. 50 Crores regarding Oil India order and some Rs. 20 Crores regarding small orders and execution capacity for us around Rs. 150 to Rs. 200 Crores so just from the annual calculation can we expect 400 plus Crores topline in Q2?

Jitendra Mamtara The order inflows you are talking about?

Naitik Mohata : I am talking about revenues.

Abhishek Sirohiya : It would be too early to comment on these things. We can just say that we are on verge that we can show better performance on YoY basis.

asis.

Naitik Mohata : We are confident in booking these revenues regarding Rs. 50 Crores of Oil India and the small orders that we are billing right?

Abhishek Sirohiya : Yes Sir.

Naitik Mohata : Got that. Thank you Sir. Thank you and all the best.

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Page 20 of 20 Moderator : Thank you. I would now like to hand the conference over to management for closing comments. Over to you Sir!

Jitendra Mamtara Thank you everyone for being part of our earnings call. We solicit your support and trust on us especially during unprecedented times like this. We hope that we have been able to address most of your queries. In case of further queries, you may reach out to our investor relation advisor – EY and they will connect with you offline.

Moderator : Thank you Sir. On behalf of Transformers & Rectifiers (India) Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

Date: 8th November, 2023

Ref: TRIL/SECT/2023-24/NSE-BSE/COMPL/88

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051
Trading Symbol : TRIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 3rd November, 2023

In terms of Regulation 30 and 46 read with Clause 1 5 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 3rd November, 2023.

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

Encl.: As above

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

Conference Call"

November 03, 2023

MANAGEMENT : M R. SATYEN MAMTORA – MANAGING DIRECTOR ,
TRANSFORMERS & RECTIFIERS (INDIA) LIMITED
MR. CHANCHAL RAJORA – CFO AND ADVISOR TO THE BOARD ,
TRANSFORMERS & RECTIFIERS (INDIA) LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Transformers & Rectifiers (India) Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Krishna Patel from Ernst and Young. Thank you and over to you, ma'am.

Krishna Patel: Thank you, Zico. Good evening, everyone. I'm pleased to welcome you all to Transformers and Rectifiers (India) Limited Earnings call to discuss the Q2 FY24 and H1 FY24 financial results.

Today from the management side, we have with us Mr. Satyen Mamtora – the Managing Director and Mr. Chanchal Rajora – CFO and Advisor to the board. Please note a copy of the disclosure is available in the investor section of the website as well as on the stock exchange. Anything said on this call which reflects the outlook for the future, or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risk that the Company faces.

Now I shall hand over the call to Mr. Satyen Mamtora for his opening remarks. Over to you, sir. Thank you.

Satyen Mamtora: Thank you, Krishna. Good evening, everyone. We welcome you all to the earnings conference call of Transformers and Rectifiers (India) Limited to discuss the company's performance during Q2FY24 & H1FY24. We concluded our board meeting today and uploaded the financial results and investor presentation on the stock exchange, I believe you may have got a chance to go through the same.

There are certain recent developments and updates that took place, and I shall begin by highlighting the same. In October 2023, the company successfully raised Rs.120 crore by the way of preferential issue on private placement basis. This infusion brings comfort and confidence on the prospects of the company and in the medium term provides capital support to ensure smooth operations.

Another such positive development is that GETCO has begun releasing the stalled payments from the 3rd week of October in tranches, thereby we expect reduction in receivables to a larger extent in H2FY24.

The order book continues to be strong as on 30th September 2023. Unexecuted order book is to the tune of Rs.2,145 crores with 34% of the orders from central utilities, 11% from state utilities, 40% from industrial customer, 9% from renewables and 6% from export. We foresee renewable

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segment as an essential growth driver in the near future. During the quarter, the company received new orders worth Rs 314 crore, growth of 23% YoY basis. Going forward, we anticipate reasonable growth in order inflow. At the moment, tenders and inquiries for domestic market of value Rs 2,741 crore are under negotiation or bidding stage. Export orders of value Rs 994 crore are under various stages of negotiations.

Overall, from an industry perspective, we are optimistic and confident of the growth potential in our product segment. The transformers industry is flush with orders and demand outlook is positive with end use in various industries viz. Railways, Renewables, Green Energy, Power, etc.

Currently, Indian Railways is moving towards high-speed trains that is leading to increased demand of transformers from 66 kV to 132 kV. Further, demand is increasing from development of freight corridors, metros, etc. Happy to inform that we are one of the first manufacturer of Scott-Connected & V-Connected railway application transformers.

In addition, India is a preferred transformer supplier

for US, Europe markets and on-going

tensions in Ukraine & Russia has accelerated the transition which is turning out to be in favor for Indian transformer manufacturers. As mentioned earlier, we are participating in export tenders and expect to increase export presence in next couple of years.

Strong demand from high-growth end markets, such as technology and data centers, EV charging networks, and renewable energy will place additional stress on grid capacity and resiliency, and require new, modern transformers. Also, India plans to reach 450 GW of installed renewable energy capacity by 2030, with 280 GW (over 60%) expected from solar power. This itself is a huge opportunity and we see our company playing a pivotal role in this segment.

I would like to highlight that we expect decent infrastructure development in green energy space wherein we are the only transformer manufacturer in Green Hydrogen Energy application in India.

To summarize, in the current industry landscape, the company is positioned advantageously and expects to participate in the growth story of transformer industry.

With this, I conclude my remarks and now I would like to handover the call to Mr. Chanchal Rajora our newly appointed CFO and Advisor to the board for his opening remarks.

Chanchal Rajora: Thank you, Satyen sir and good evening, everyone. A warm welcome to our earnings call. I shall summarize the standalone financial highlights for the quarter and half year ending 30 September 2023:

During the quarter and half year, the revenue from operations was at Rs 254 crore and Rs 408, a de-growth by 22% and 34% respectively. The decline in revenue was on account of:

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■ Non-receipt of dispatch instruction from few customers because of non-availability of their inspection team

■ The company experienced short-term mismatch in working capital that caused delay in execution of certain jobs. Post infusion of funds, we are certain to streamline the operations during Q3FY24

However, in Q2FY24 there is an increase in revenue from operations by 66% as compared to Q1 of the current year.

During the quarter and half year, the EBITDA was at Rs 21 crore and Rs 27 crore, a de-growth by 35% and 51% respectively. EBITDA margin is at 8.21% in Q2FY24 and 6.52% in H1FY24.

In Q2FY24 there is an increase in EBITDA in absolute terms by 263% as compared to Q1 of the current year with an EBITDA margin of 8.21% as compared to 3.73% in Q1FY24.

During H1FY24, export turnover was Rs 22 crore, comprising 5% of the revenue from operations. The company has a customer base spanning over more than 25+ countries.

Unexecuted order book as on 30 September 2023 is Rs. 2,145 crore, a growth of 57% over H1FY23.

That concludes an update on the financial highlights of the company. I shall now request the moderator to open the floor for questions and answers session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nilesh Doshi from Green Lantern Capital LLP. Please go ahead.

Nilesh Doshi: First question is that the order book what you have of Rs. 2000 crores, what is the delivery schedule for this order book like until what period you expect this to be delivered?

Satyen Mamtara: This is in the span of 18 - 20 months.

Nilesh Doshi: The second question is since the first half; we have gone through because of working capital issue. So, by now how much is the amount which we still yet have to receive from GETCO?

Chanchal Rajora: GETCO started making the payments in the last week of October only. So, we have a sizable amount pending with them, which we expect to receive in the second half of this year.

Nilesh Doshi: The next is that typically we have been doing about Rs 1,100 crores to Rs 1,300 crores revenue

last two years, bearing this first half, is it possible to reach that kind of level in this financial year?

Satyen Mamtora: We are hoping that we should be touching Rs 1,400 crores this year.

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Nilesh Doshi: And if you observe your competitors, I think what we have observed is this Q2 result most of them are EBITDA upward of 15% in the transformer division segment. So, do we see us reaching that kind of margin going forward?

Chanchal Rajora: Yes, Nilesh we are quite hopeful to reach that margin.

Moderator: Thank you. Our next question is from the line of Riken Ramesh Gopani from Capri Global.

Please go ahead.

Riken Ramesh Gopani: Sir, I just wanted to understand if you look at the gross margin performance in this quarter compared to either the first quarter of this year or the second quarter of last year it's deteriorated.

So, while I understand that operating margins are impacted by the leverage given the lower top line, but what has impacted the gross margins during the current quarter versus compared to the last same period last year and Q1?

Chanchal Rajora: Riken basically there were certain expenditures which is incurred in this quarter due to the retesting of the certain transformers and that has basically affected our margins in this quarter.

So, there are almost 10 transformers of GETCO we had to bring in to test them. This has basically put pressure on EBITDA margin during the quarter to some extent.

Riken Ramesh Gopani: But is this what you mentioned the retesting cost, is it sitting in the cost of goods sold line item or is it in the other expenditure?

Chanchal Rajora: It will be sitting into the cost of goods sold item because they are directly related to the transformers which has been supplied to the GETCO.

Riken Ramesh Gopani: It's sort of fair to say that it's a one-off cost related to these retesting.

Chanchal Rajora: Yes, sir.

Riken Ramesh Gopani: Could you give some quantification of this retesting cost?

Chanchal Rajora: I don't have remember the numbers, but yes, if that would have been not there, we would have been crossing our last quarter EBITDA.

Riken Ramesh Gopani: Your EBITDA is better than last quarter, you're saying same quarter last year?

Chanchal Rajora: Corresponding quarter I'm talking about.

Riken Ramesh Gopani: So, that's a significant quantum is what you're saying?

Chanchal Rajora: Yes, sir.

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Riken Ramesh Gopani: And sir secondly if you could talk a little bit about the overall opportunity on exports and what is the kind of bids that we have made and what kind of orders do you expect during the current year and what margins do you think you can achieve in the export orders?

Chanchal Rajora: In export market there are three different kind of exports opportunities. One is the opportunity which is coming on the IDT transformer side that is mainly coming from U.S and Europe and this is a huge opportunity which is basically in the pipeline.

Another export opportunity what we have our regular export base what we do in African markets and the Middle East markets and the third is the export opportunity which is coming from the countries like Russia and Ukraine. As of now you see in our presentation also, we have around Rs. 900 crores orders which are under the negotiation, and we expect the sizable amount of these orders are going to be come in the near term.

And apart from that today only we have received an inquiry from another African country for Rs.800 crores order. So, that also we expect is a 24-month scenario, but we expect those kinds of orders to keep coming into the system. Our target is to have around 20% - 25% of the order book from the export market in coming next two years' time.

As far as the margins is concerned, the export

market margins are much, much higher than the

indigenous market pricing vis-a-vis the payment conditions from the exports are better.

Riken Ramesh Gopani: And just lastly in terms of what you see as the execution capability in the current capacity without achieving any CAPEX, could you share that what is the size of top line that we can achieve with our current capacity without any major CAPEX?

Chanchal Rajora: Without any CAPEX, we can reach up to Rs.2,500 crores top line.

Riken Ramesh Gopani: And what's our CAPEX plan if you could outline that also?

Chanchal Rajora: We have a CAPEX plan of Rs. 50 crores - Rs. 60 crores in the next financial year and mainly

for the IDT and Green transformer side.

Riken Ramesh Gopani: So, sir let's say if you must take this top line to Rs 5,000 crores from here, what kind of CAPEX do you think you would have to put up?

Chanchal Rajora: We haven't evaluated that much as of now. We are going step by step. First, we wanted to reach to the first milestone.

Moderator: Thank you. Our next question is from the line of Mihir from Carnelian Capital. Please go ahead.

Mihir: Sir, largely wanted to understand on the GETCO side and we have started to get payments from the end of October. So, I mean, will we start getting the orders also from GETCO. I mean that was my first question and when should one see that happening?

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Satyen Mamtara: So, GETCO we are currently working on getting the stop deal revoked, it shall take some time. So, maybe another month or so and we are hopeful that there will be some clarity on this stop deal.

Mihir: Second question was on the Rs 2,100 crores of pipeline which is there, so does this include the international number of Rs 900 crores?

Chanchal Rajora: Rs 900 crores is the orders which are under negotiation. It is not in our order book.

Mihir: But you are also in tender pipeline of Rs 2,100 crores, right?

Satyen Mamtara: Rs. 2,741 crores is domestic market, and Rs. 994 crores is export market.

Moderator: Thank you. Our next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: I wanted to ask that sales guidance provided in the last quarter was also to grow with respect to Q3 FY23, but why is it that non receipt of dispatch instructions from few customers that you guided to a degrowth in revenue with respect to Q2?

So, is this few customers, is this GETCO only or any other customers, how many customers are there here and what is the value that does not get dispatched this quarter which you expected to get delivered in the next quarter?

Also, this is also the time sir when the transformer sector is doing so well. So, wanted to understand why is it so they are not getting dispatched or if you can explain it.

Chanchal Roajora: First of all, there is no GETCO delivery instructions in these orders. Secondly, let me explain to you that there is good demand in transformer industry, but what happened there is a process of dispatching the transformers and before dispatching the transformers there is always a customer inspection, once the inspection is done, then only that transformer is clear for dispatch.

During Q2FY24, a few transformers were made, but since the inspection team was not available and the site was not clear and that is the reason, the transformer has not been lifted by the clients and those are basically will be lifted in this quarter i.e. Q3FY24.

Gunjan Kabra: So, I was saying sir that last quarter also this was one of the reasons for the sales getting declined. So, is it and if you can quantify what's the quantum of this order which has not got dispatched within this quarter?

Chanchal Rajora: Around Rs. 40 crores- Rs. 50 crores.

Gunjan Kabra: Sir, I wanted to know that last quarter also there was a problem of dispatch from few customers. So, is

is this the same customer or if you can quantify the same thing?

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Chanchal Rajora: No, ma'am. These are the different customers. This is basically a normal phenomenon in the industry, and it just keeps happening ma'am.

Gunjan Kabra: My second question is on margins. You guided it to be in the double digit number this year, but this quarter also because of the retesting cost the margin were proportionately down. So, how do you see this moving forward in the next quarter if you can highlight maybe and the guidance that you gave of Rs 1,400 crores this year, which eventually means that Rs 1,000 crores in the next two quarters. So, when we do Rs 1,000 crores does the EBITDA margins also improve with respect to that and do you think we'll be able to do these Rs 1,000 crores in the next two quarters?

Chanchal Rajora: Ma'am as MD sir has just said in the last question, we are quite hopeful to achieve that and if we achieve that, the EBITDA margin will be improved. I don't want to comment on what percentage we will be achieving it, but EBITDA will be certainly improved.

Moderator: Thank you. Our next question is from the line of Riken Ramesh Gopani from Capril Global. Please go ahead.

Riken Ramesh Gopani: Sir, I just had one follow up which is just trying to get some color on the current order book if we compare to what you have been achieving in terms of gross margin in the recent past, how are the incremental orders in terms of margins and if you could give some color in terms of how the pricing environment and given the current demand environment are we seeing any improvement in the overall margin structure from the current order book, vis-a-vis the order

book that you had maybe one or two years back?

Chanchal Rajora: Riken, the present order book what we have is basically based on the RM factors which is much, much better than what we had in the past and that that will add up into our margins as compared to the previous years. And if you see my presentation on the combination of the clients or buyers what we have my dependability is reduced to the state utilities where we had less margins, and it has increased to the industrial customers and the central utilities where our margin factor is much better. So, we hope that this will add up into the bottom line in the time to come.

Riken Ramesh Gopani: So, it's fair to say that the gross margins themselves have a potential to improve and over and above that you will see a positive operating leverage. So, that should drive very meaningful improvement in your operating margins?

Chanchal Rajora: You got it right Riken.

Moderator: Thank you. Our next question is from the line of Mahendra Jain from Way to Wealth. Please go ahead.

Mahendra Jain: Sir, as you are saying like within a month or two, we will resolve the stop deal order from GETCO. So, can we expect anything from GETCO side, any announcement like that or where we are standing in the case of that inspection and how many transformers are yet to be delivered
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to GETCO.. Secondly, related to this, has the stop deal affected our new business and post this issue, what orders have we received?

Satyen Mamtora: There is only one transformer to be delivered to GETCO that has not yet been dispatched and we are yet to manufacture that transformer also, and I think within a month and a half, they will issue a circular that the stop deal has been revoked or something like that, but they will not be making an announcement.

Once they give us the revocation letter, we shall make the announcement that GETCO has revoked the stop deal. Apart from that, there is no other business hindrance we have faced post the stop deal notification..

Chanchal Rajora: Mahendra just to elaborate little bit, post the GETCO stop

deal we have received substantial

amount of orders from the central power utilities.

Mahendra Jain: Are they doing the re-inspection to our transformers and how they will be satisfied in a month like what process we are doing?

Satyen Mamtora: All the inspections have already happened. There is only 500 MVA, which is going to be re-inspected now otherwise re-inspections have already happened and they are satisfied with the performance of the transformers.

Moderator: Thank you. Our next question is from the line of Siddharth Shah from MK Ventures. Please go ahead.

Siddharth Shah: Sir, my question is on the order book order pipeline you mentioned that there are domestic orders of Rs 2,700 crores and exports of Rs 900 crores in pipeline. So, anything you can guide on what kind of order inflow we'll see in second half because we are planning to execute Rs 1,000 crores in terms of revenues, or will the order inflow be higher than that? How will it be?

Chanchal Rajora: If you see in last two quarters, we have received orders worth around Rs.700 crores which is added up into my unexecuted order book., We are around 20% to 25% of the domestic order size and export orders to be materialized.

Siddharth Shah: So, that makes it equate to around Rs 1,500 crores to Rs 1,600 crores of order inflow in next six months?

Chanchal Rajora: We are basically targeting around Rs. 2,500 crores order book by end of this financial year.

Siddharth Shah: My second question is on GETCO, so on how much is the balance amount to be received you will see that most of this amount will be cleared by in the second half. How much is the receivable amount which is due now after what you received in the month of October?

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Chanchal Rajora: Siddharth, as I informed earlier GETCO has just started releasing payments from the last week of October, let's say after 20th Oct they have started and they have just released around Rs.33 crores so far and balance is all in the pipeline and we expect that substantial amount of this will be released during H2FY24.

Moderator: Thank you. Our next question is from the line of Anil Thakkar from Jalansh Advisors. Please go ahead.

Anil Thakkar: I just wanted to know the fund-based facility available, and its current utilization fund based, and non-fund based?

Chanchal Rajora: Anil, we have fund-based limit of Rs. 163 crore and presently it's almost 100% utilized and we have non fund based limits of around Rs 650 crore which is majorly used for the bank guarantee

purpose and the balance is used for the raw material procurement.

Anil Thakkar: So, after this preferential issue we would have received the funds and that it was used in the working capital and still fund based is also currently 100% utilized, is that correct?

Chanchal Rajora: Yes, sir.

Moderator: Thank you. Our next question is from the line of Bijay Shah from TL investment. Please go ahead.

Bijay Shah: My question is since we have already raised money, we are also expecting GETCO payments. So, how do you expect interest costs to trend in the second half of this year and what is likely interest cost for FY25?

Chanchal Rajora: Mr. Shah if you see that even in Quarter 2 our finance cost has gone down and coming in back to your question, we are basically expecting a substantial decrease into the finance cost in H2FY24.

Bijay Shah: But can you give some idea that what kind of cost, because it is very difficult for us to calculate because there will be lot of cost which are related to bank guarantees which will not be able to figure out?

Chanchal Rajora: Bank guarantee and LC is going to be remain there. The substantial reduction what we are expecting is in the bill discounting side because of the working capital limits. We had to use the bill discounting facilities to pay off to our suppliers,

which was somewhere around 10.5%, to

11% and we are basically expecting that will go down drastically.

Bijay Shah: So, maybe next year the finance cost will be in between Rs 30 crores to Rs 40 crores?

Chanchal Rajora: Yes sir.

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Moderator: Thank you. Our next question is from the line of Mihir from Carnelian Capital. Please go ahead.

Mihir: Sir, I wanted to understand the working capital on the export side. I mean how are the working capital terms on the exports business and second question was on the order book, out of the current order book how much is the exports, how much is domestic and how is the raw material cost across both of these divisions of exports and domestic in the order book?

Chanchal Rajora: As far as working capital cycle is concerned into the export order, it is much better than the domestic market because most of the export payments are either on the advance or LC side and we have better margins in the export orders as compared to the indigenous orders.

As far as share of exports in the present order book is concerned, you can see in our presentation it is around 6% of the total unexecuted order book.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question-and-answer session.

As there are no further questions, I would now like to hand the conference over to Mr. Satyen

Mamtora for closing comments.

Satyen Mamtora: Thank you everyone for being part of our earnings call and participating in the call. Thank you for your support in us. We wish all of you Happy Diwali and Saal Mubarak. We hope we have been able to address most of your queries. In case of further queries, you may reach out to our investor relation advisor – Ernst & Young and they will connect with you offline.

Moderator: Thank you. On behalf of Transformers & Rectifiers (India) Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

Date: 29th January, 2024

Ref: TRIL/SECT/2023-24/NSE-BSE/COMPL/120

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TRIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 22nd January, 2024

In terms of Regulation 30 and 46 read with Clause 15 of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 22nd January, 2024.

Please take the same on your record. Thanking you,

Yours faithfully,

For Transformers and Rectifiers (India) Limited

Rakesh Kiri

Company Secretary

Encl.: As above

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers & Rectifiers India Limited
Q3 FY24 Earnings Conference Call"
January 22, 2024

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN
MR. SATYEN MAMTORA -- MANAGING DIRECTOR
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER
AND ADVISOR TO THE BOARD

MODERATOR : M S. KRISHNA PATEL – EY

Moderator: Ladies and gentlemen, good day and welcome to the Q3FY24 Earnings Conference Call of Transformers & Rectifiers India Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference has been recorded. I now hand the conference over to Ms. Krishna Patel from EY. Thank you and over to you, ma'am.

Krishna Patel: Thank you, Muskan. Good evening, everyone.

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Welcome you all to Transformers & Rectifiers (India) Limited's earnings call to discuss the Q3FY24 and 9MFY24 financial results. Today, from the management side, we have with us Mr.

Jitendra Mamtora, Chairman, Mr. Satyen Mamtora, the Managing Director and Mr. Chanchal Rajora, CFO & Advisor to the Board.

Please note, a copy of the disclosures is available in the Investors section of the website as well as on the stock exchange. Anything said on this call, which reflects the outlook for the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces.

Now I shall hand over the call to Mr. Satyen Mamtora for his opening remarks. Over to you, sir. Thank you.

Satyen Mamtora: Thank you, Krishna. Good evening, everyone. We welcome you all to the earnings conference call of Transformers and Rectifiers (India) Limited to discuss the company's performance during the quarter and nine-months. We concluded our board meeting today and uploaded the financial results as well as the investor presentation on the stock exchange, I believe you must have got a chance to go through the same.

OPERATIONAL KEY DEVELOPMENTS

Let me quickly take you through certain product developments that took place during the past quarter.

■ The company successfully completed 'Dynamic Short Circuit Test' on 50MVA, 53MVA, 105 MVA and 250MVA Single Phase Auto Transformer. The test was conducted at National High Power Test Laboratory, Bina and CPRI, Bangalore. With successful completion of this test, the company has crossed a commendable milestone of successful Dynamic short circuit test on a record 150 plus transformers in the last 2 decades. This feat demonstrates sound engineering, company's adherence to quality standards and the capability to manufacture and deliver high rating reliable power transformers of various specifications.

■ Secondly, during the quarter the company successfully FAT tested multiple numbers of 210 MVA generator transformers with indigenous technology to one of the prestigious client in India. The supplied transformers will form three phase bank of 630 MVA at customer's site and shall facilitate uninterrupted power flow.

Now let me highlight the order inflow and order book position of the company:

■ During the quarter, the company received new orders worth Rs.701 crore; growth of 69% YoY basis vs Rs.414 crore orders received during same period last year. Out of new orders received during the quarter Rs.72 crore are for exports.

■ During 9MFY24, the total order inflow is Rs.1,636 crore.

■ The unexecuted order book (UOB) as on 31 December 2023 totals to Rs. 2,572 crores with 60% of the orders from utilities, 27% from industrial customer, 8% from renewables and 5% from export.

■ Currently, in the domestic market, tenders and inquiries for domestic market of value ■ 4,256 crore are under negotiation or bidding stage whereas in the export market, export inquiries of \$ 127 million are under negotiation.

Now let me talk about geographical split. What we are seeing is that the demand in the domestic market is outgrowing the speed of growth of export market. However, going forward due to the supply crunch that we are seeing in the export market, we expect India to be a bigger beneficiary. At present, domestic revenue is at 88% during the nine-months and 12% exports.

To summarize, in the current industry landscape, the company is positioned advantageously and expects to participate in the growth story of transformer industry.

With this, I conclude my remarks and now I would like to handover the call to our CFO Mr. Chanchal Rajora for his comments on the financial parameters.

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Chanchal Rajora: Thank you, MD sir and good evening, everyone. A warm welco

me to our earnings call. I shall

summarize the standalone financial highlights for the quarter and nine month ending 31 December 2023:

■ During the quarter, revenue from operations was at ■ 365 crore, a growth of 13% from ■ 323 crore in Q3FY23.

■ During the quarter, EBIDTA was at ■ 37 crore, a growth of 15% from ■ 32 crore in Q3FY23.

■ EBIDTA margin was at 10.0% as compared to 9.7% in Q3FY23. The improvement in profitability is on account of higher margin accretive product mix.

■ During 9MFY24, revenue from operations was at ■ 773 crore

■ During 9MFY24, EBIDTA was at ■ 64 crore

■ During 9MFY24, the export turnover was ■ 95 crore, comprising 12% of the revenue from operations. The company has a customer base spanning over more than 25+ countries.

■ Unexecuted order book as on 31 December 2023 is Rs.2,572 crore.

That concludes an update on the financial highlights of the company. I shall now request the moderator to open the floor for questions and answers session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Mr. Subhadip Mitra, from Nuvama. Please go ahead.

Subhadip Mitra: Thank you for the opportunity. My first question is given the strong order book position as well as the fact that you have close to ■5,000 crores of domestic and export orders under negotiation, would you be giving any guidance or a target on order inflows, revenues, and margins for FY24 and FY25?

Chanchal Rajora: Hi, Subhadip. How are you doing?

Subhadip Mitra: Perfectly fine, sir. Thank you.

Chanchal Rajora: Subhadip as explained during the last earnings call also, the order book we have right now is for the next 15 months to 18 months delivery period. And we expect that we will be able to deliver these orders into the prescribed time. As far as the margin is concerned, as you have seen, this quarter also margin has improved and we see that gradually improving and we expect to reach to the industry levels.

Subhadip Mitra: Understood. So, if I am understanding correctly, we are saying that the current close to ■2,500 crores of order book would get split over the next 18 months or so. And when you are talking about industry level margins, I am assuming this would be somewhere in the range of 10% to 12% or higher? Is there any range that you would like to talk about?

Chanchal Rajora: Yes, you can consider that, please.

Subhadip Mitra: Understood. So, secondly, in terms of your PAT margins, now while EBITDA margins have clearly been improving, PAT margins remain subdued, possibly because of the effect of interest costs. And I am assuming as the top line goes on increasing, maybe interest costs will not go up in due. If you can just throw some light on that as well.

Chanchal Rajora: Yes. Subhadip, PAT margin is low because of the one reason that you already mentioned. And the second reason is that H1FY24, was relatively not good for us. But going forward, when you close this financial year, PAT margin will be significantly much better as compared to what they are today.

Subhadip Mitra: Two questions from my side last, if I can accommodate. Firstly, on working capital, sir, in terms of working capital levels or debtor levels, where would we be for the 9 months?

Chanchal Rajora: Yes. We are very comfortable right now on the working capital. And we already planned our working capital to achieve the target, and we are anticipating for the next year and beyond that.

Subhadip Mitra: Any number that you would want to say as to what is your targeted working capital? Could you give some guidance on that?

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Chanchal Rajora: Subhadip, actually we are trying to reduce our working capital numbers by putting up different efforts. And at present, we don't see that any increase in the working capital for the next year's turnovers achievements.

Subhadip Mitra: Sorry, I think

I got cut off. Could you just repeat? You are expecting next year's working capital to be

Chanchal Rajora: We remains at the same level

Subhadip Mitra: At the same level. In terms of number of days of sales?

Chanchal Rajora: In terms of the absolute numbers, number of days, if you see that we are working on the direction to bring down the working capital days up to 120 days.

Subhadip Mitra: I agree with you. Yes. So lastly, on the GETCO issue with regard to the pending payments, how much is pending and how much has been received so far?

Chanchal Rajora: We have already issued ■90 crores of the payment from the GETCO and the balance payment

is in line. As and when it is falling due, GETCO is releasing the payments to us.

Subhadip Mitra: Sir, how much is pending?

Chanchal Rajora: Right now, I don't have the absolute number that how much is pending, but this is the payment basically as and when they are falling due. Now, GETCO is releasing on time.

Subhadip Mitra: Understood. My last question would be with regard to the orders and the negotiation that you have. I think about ₹4,200 crores of domestic and maybe another ₹1,000 crores of export. In your opinion, how much of this would you see culminating into actual order and flow?

Chanchal Rajora: I would not like to comment on that at this moment, Subhadip.

Subhadip Mitra: Understood, sir. That's it from my side. I'll join you for follow-up. Thanks so much. Sure.

Moderator: Thank you. The next question is from the line of Khadija Mantri from Capri Global. Please go ahead.

Khadija Mantri: Good evening, sir. As I said, I remember in our last interaction, you had said that we would have a flattish revenue in FY24, so which makes the asking rate for Q4FY24 revenue is about ₹600 crores, and which is like 40% YoY growth you would have to do. So are you confident of achieving this kind of revenue growth in Q4FY24?

And also, what is the status on our export orders? Like, we were trying to get our foot into new geographies. So, what is the status now?

Chanchal Rajora: Okay. Hi, Khadija. How are you? It was nice meeting with you last time. We are working on the direction as what we have discussed last time that this year we are trying to close somewhere near to our last year numbers because of the first half year.

And we are quite confident that we will be able to reach quite near to our last year numbers in terms of the revenue as well as on the EBITDA side. As far as the export is concerned, you can see that almost every quarter we are receiving the sizable amount of the export order. And if you see that in my present revenue, around 12% is from export side.

And as you see my present negotiation level, there are around \$127 million worth of orders which are under negotiation. So we are actually working on the directions, what we have been discussing, to have an order book for the next financial year.

Khadija Mantri: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

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Gunjan Kabra: Thank you for the opportunity. Sir, my first question is that last quarter you guided an EBITDA margin of 14%-15%. Right now, we have scaled it down to 10%-12% as per the previous participant's question. So at what level of scale can we expect those margins to hit of around 13%-14% from the current 10%?

Chanchal Rajora: Gunjan, 13%-14%, what we had said, we have said it from the financial year of 2026-27 and Financial Year 27-28. So that we still foresee that it will be on that level only. The 10%-12% what I just mentioned to Subhadip is the industry average which we will achieve in coming financial year. That is what I explained.

Gunjan Kabra: Okay. And sir, last quarter we had certain non-receipt of dispatch instructions from few customers which actually reflected in our revenue last quarter

. So how much of that has been recognized this quarter?

Chanchal Rajora: If you see in our Investor presentation, we have not mentioned anything about that.

Gunjan Kabra: Sir, last quarter you had mentioned that it was around ₹40 crores- ₹50 crores.

Chanchal Rajora: Around ₹20 crores- ₹25 crores of the transformers were stuck up on that. That has been liquidated now.

Gunjan Kabra: Okay, got it.

Chanchal Rajora: It's a normal QoQ phenomena now. So it will keep happening. Last time it may be possible in the last moment some BI doesn't come and then it will reflect into the coming quarter.

Gunjan Kabra: Okay. And sir, if you can share the trade receivable numbers and the short-term borrowing numbers as on 9MFY24 that will be helpful

Chanchal Rajora: You can get in touch with me directly. I will give you that numbers.

Gunjan Kabra: Okay. Thank you so much and good luck to the entire team.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Thank you for the follow-up. Sir, two qualitative questions from my side. Firstly, with regard to the GETCO issue, if you can also throw some light on what are the remedial measures that have been taken by yourselves as well as GETCO to ensure that something like this doesn't happen again?

Chanchal Rajora: Subhadip, we have strengthened our internal policies and internal control to the best possible manners and from where these kinds of things will never happen again.

Satyen Mamtara: And GETCO is also working on their teams. They have also strengthened certain processes of theirs where the DIs and everything which was computer generated which at least used to normally do manually, they have also strengthened their IT team so that all this manual generation has to stop.

Subhadip Mitra: Understood. So, this issue in no way will impact your qualifications for readying for any of the other, let's say, power grid or other larger...

Satyen Mamtara: No. We have been constantly receiving orders from power grid even after this issue.

Chanchal Rajora: Subhadip, if you have seen an announcements of the company into the exchange, in last quarter we have received ₹ 450 crores of order from the power grid and ₹ 120 crores of order from Uttar Pradesh. So, this issue has not at all affected on order inflow and actually this is not it is not a blacklisting on anything. It is a small-time phenomenon which has been over now for us.

Subhadip Mitra: Perfect. That makes it amply clear. Secondly, sir, I believe that there is a certain amount of promoter pledge of shares also th at is there. If you can correct me on that one, I assume what is the quantum and do you see that reducing over a period of time?

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Chanchal Rajora: Subhadip, this pledge of share is with our banking partners And these pledges of shares are not today. This has been for the years. So, since we have the banking limits with the bank, these are there and these are goin g to be, remain with the bank till we have the banking lines.

Subhadip Mitra: Understood. So, these would be for letter of credit and other things that you require for bidding for the contract?

Chanchal Rajora: What?

Subhadip Mitra: The pledge is essentially there with the banks for working capital related loans or for LCs?

Chanchal Rajora: That is the working capital funding what we have with them. Fund based and non-fund-based limits what we have with the bank, it is related to that.

Subhadip Mitra: I read you. And any indication on what is the stri ke price for the pledge? At what price were the pledges at?

Chanchal Rajora: It's been long, long since the beginning of the limits, these are there. Even we don't remember even that. You will find it, Subhadip, significan tly because my stock price is not high, but it is since almost, say like state bank we are working for last 20 years

to 40 years with the state bank. So, it's been since beginning.

Subhadip Mitra: Perfect, sir. I think that answers my question. Thank you so much.

Moderator: Thank you. The next question is from the line of Nilesh Doshi, Green Lantern Capital. Please go ahead.

Nilesh Doshi: So, couple of questions, Chanchal. One is that you are targeting about last year revenue in the current year, which means as you alread y committed, you would be doing about ₹ 600 crores revenue this year, I mean in Q4FY24. Now, ours is not a seasonal industry and the capex cycle in our country is moving at a very fast pace, especially on the energy generation and transmission side. So, do we expect that you should be doing about ₹ 2,200 crores kind of a revenue next year?

Chanchal Rajora: We are working on that direction only, Nilesh bhai.

Nilesh Doshi: Yes. The second is you are still alluding abou t industry average EBITDA margin. But what I see from the industry and the gross margin at which the new orders are being taken by the industry, I think that comes out to be something like at least 15% EBITDA for the new orders and next year. So, how are we placed in that scenario?

Chanchal Rajora: Nilesh bhai, actually, you are absolutely right what you are saying that. But as I told you earlier also that that effect will start coming from the end of the next financial year, because right now in this present year and the first half of the ne xt year, we will be executing the orders what we have, say, a year back orders or year-old orders, right?

So, the EBITDA level will be not at that level what you are saying that . But definitely going forward, when you will go through the last quarter of the next financial year or FY26 levels, we will be close to those numbers somewhere.

Nilesh Doshi: Yes. And lastly, on the technical side, can you help us understand like you develop this new kind of import substitution transformers single phase, which would be installed in the configuration of three single phase transformer? How big is the opportunity and why these were being imported in the past?

Jitendra Mamtara: No. It has never been imported. We have been manufacturing these transformers from the beginning. What happens when the transformer size becomes big, the transportation andthe logistic is the issue. So, they prefer to go with single transformers and then they make a bank of three transformers when it reaches the site.

Moreover, when the transformers are going to be in stalled in the hilly areas where the logistic is a big issue because the turning radius is not there. So, you have to restrict the weight and that all leads to the use of single-phase transformers and also the trailer size. If like, when we make 765

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kV transformers, they are all single-phase transformers, each of 500 MVA. So, single transformer would have been 1,500 MVA transformer, which would be weighing something where around 750 tons to 800 tons.

So, that we don't have that kind of roads, that kind of bridges. So, we have to break them into single phase transformers and then when it reaches the site, they are connected. So, this is not an important substitute, but we have been doing this. India is doing this since ages. The expertise in making those transformers.

Nilesh Doshi: So, what we got tested and approved in the last quarter is something which we have been doing regularly.

Jitendra Mamtara: Yes, no, it is the short circuit test, we were talking about. Short circuit test of this large transformer has never happened in the past. We are the first to have this transformer, 250 MVA transformer, short circuit tested, single phase transformer short circuit tested by the laboratory in Bina. So, this has not happened in the past. This is the first time it is happening.

Nilesh Doshi: So, does that mean that even our competitors who are MNC in this space have never

done short

circuit test in the past?

Jitendra Mamtara: Because they had no opportunity or they never had the orders like this before. So, you do this test only when you get the order, not before that. You must get the transformer tested for short circuit, which goes to something like ₹ 5 crores- ₹ 6 crores, just for testing and then having that as inventory till such time that you get an order.

So, these are tested against the orders. If they have not received the order, they will not get it. Something like that.

Nilesh Doshi: Okay. So, does it qualify as something for the international standards or any export?

Jitendra Mamtara: See, it's not that every electricity board in the world, they ask for this short circuit test. It only increases our reference list that we have done this. So, that will be an added advantage while qualifying us for the supply of the transformers in the areas where we have not been supplying. So, that should be the added advantage to us in the areas where we are not there. Otherwise, it's not that.

Satyen Mamtara: It just builds the confidence in the customer that we have a team which is capable of manufacturing and designing a transformer of that size.

Nilesh Doshi: Yes. That's nice of you, Satyen. I will get back to you in the queue.

Satyen Mamtara: Thank you.

Moderator: Thank you. The next question is from the line of Namish Gupta from Namish & Gupta Company. Please go ahead.

Namish Gupta: Sir, congratulations for the nice results. And, sir, my question is regarding the recently, I saw your interview on a leading news channel, sir, wherein you have like conveyed that by FY25, company is targeting a revenue of approximately ₹ 3,000 crores and EBITDA margins of around 18% to 19%, sir. So, I just want to know, What is the basis of this confidence, sir?

Jitendra Mamtara: See, I tell you, when we came out with the IPO, our EBITDA margin was 18% to 20%, approximately. And the kind of market now or the kind of demand which has come now, we have started looking at that kind of EBIT margin. Because 18% and 20% is nothing new to the industry when the demand is like this.

So, this is what our dream that we would have this kind of margins in the years to come. When?

It will all depend on the market condition. But I can foresee that this will happen in the very near future.

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Chanchal Rajora: Namish. Just to add up what chairman sir has said right now, this confidence is also from there on the gross margins, what we are right now quoting for those years. So, if that number is converted based on those gross margins, definitely we can foresee that.

Namish Gupta: And sir, one more question I have. There is a listed competitor in transformer sector like Shilchar Technologies. They are mainly into the renewable space. In fact their majority of their share is like export sales.

But I just reviewed your turnover and your investor presentation. Our export sales is very less.

And their margins are like more than 20% from last three-four quarters.

Satyen Mamtara: Yes, Namish, Shilchar makes very different transformers from us. We are basically into EHV and high voltage transformers and power transformers. Shilchar is basically into distribution transformers. And the rating of transformers is very small. So, the transformers that we manufacture are very different from what Shilchar manufactures. So, the product is completely different.

Namish Gupta: So, I mean, just a last related question. Does this distribution transformer are more like margin-accretive and power transformers are less margin-accretive?

Satyen Mamtara: Sir, I didn't get your question.

Namish Gupta: Sir, I am asking, I mean, since they are in distribution transformers and their margins are huge,

so does the distribution transfer carry huge margins and power transformers are normally not that margin-accretive?

Jitendra Mamtora: It is not really like that, with power transformer has not that good a margin. Only thing is we are not very much there, our network for the export is not yet established. When we are established there in the export market, our margins will be also like that. And that is one of the reasons why I said in one of my interviews that, the 18%-20% is not far away in the years to come.

Because we are gearing up for the exports, we are building the team for, or building the network for the representatives throughout the world, one by one. So, that we don't fail in our commitments to our customers for the supply of those large transformers.

So there is a huge demand. Like in America, we have been saying that America the raw material to sales ratio is something like 0.3. So that is, 30% is raw material. And even if we go with 60% raw material and considering 10% to 12% as the logistic charge, we are still cheaper by 20% to them, as far as the prices are concerned.

So that kind of margins are there. But we have to enter that market, we have to have a proper network for the supply, not only for the supply, but also when you supply large transformers, what you have to have is you have to ensure that there is somebody to look after your transformer in case of a small issue the customer may face in case of an accident. So they will also ask us, so it's a big work, so we are working on that. And shortly, maybe in another six months' time, we will have proper people at proper places for the supply and also for looking after the maintenance of the transformers.

Moderator: Thank you. The next question is from the line of Prathamesh Dahake from Motilal Oswal. Please go ahead.

Prathamesh Dahake: Hi, sir. How are you? So my first question is, if I were to compare December '23 quarter versus December '22, I could say 2% EBITDA accretion has been account of reduction in other expenses. So what are these expenses that we were able to curtail, which helped us in getting those 2% extra?

Chanchal Rajora: Prathamesh, there are lots of issues, lots of expenses covered into that. One is that our raw material percentage has reduced into that, as well as our overheads, both have reduced. That has increased the EBITDA levels in that way.

Prathamesh Dahake: Yes, sir. But if we were to look in terms of common size, other expenses I mean, we don't get the breakup in quarterly reports as to other expenses which are mentioned. I felt that 2%

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reduction has been in other expenses. So just wanted to check what are these heads, which got reduced and are they sustainable in the longer run?

Chanchal Rajora: There are lots of components into that and they are sustainable in the longer run. As and when we will increase our revenue size, those expenses will go down further.

Jitendra Mamtora: And moreover that, you know, the orders which we are executing is still, most of them are last year's order. And now whatever we are quoting is with the lower material cost or material to sales ratio better. That will give us the extra EBITDA margin in the coming year or the coming month.

Prathamesh Dahake: Okay. So going forward, you believe 75% to 78% COGS percentage is something which you feel will be a stable range?

Jitendra Mamtora: I mean, it will lie between 67% to 75%, 76% raw material in the coming time. So 76% is as on today, but now we are quoting with less than 68% as raw material.

Prathamesh Dahake: That's wonderful, sir. Okay. These were the only two questions from my side.

Chanchal Rajora: Prathamesh that effect will not come immediately.

Jitendra Mamtora: Next year

Prathamesh Dahake: So the one which you are quoting at 67% will be executed or delivered in next 12 months or next 9 months? If you could understand?

Satyen Mamtora: In next 18 months.

Prathamesh Dahake: 18 months. Okay, sir. Understood. That's it from my side, sir.

Moderator: Thank you. The next question is from the line of Surabhi Saraogi from SMIFS Capital Market. Please go ahead.

Surabhi Saraogi: Hello. Thank you for the opportunity, sir. Sir, my question is, can you repeat your revenue guidance for FY24?

Chanchal Rajora: Yes, Surbhi, we will be closing somewhere near to our last year.

Surabhi Saraogi: Okay. Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Nilesh Doshi from Green Lantern Capital. Please go ahead.

Nilesh Doshi: Yes, thank you again, Chanchal. Just one question. The kind of inquiries we are seeing, any

plans for de-bottlenecking or additional capex to increase the capacity over next 6 to 9 months?

Chanchal Rajora: No, Nilesh bhai, we don't foresee next 6 to 9 months. Even next, we don't foresee for next 12 months. And as I explained to you, for the additional new revenues, next year will be coming up a capex expansion.

Nilesh Doshi: So, how much time normally you require for a capex in terms of putting up a bay and facilities?

Chanchal Rajora: 8 to 9 months' time.

Nilesh Doshi: Yes, so somewhere, that's what I'm asking. So somewhere by end of calendar year 2024, we should be working, we may begin to do a new capex?

Chanchal Rajora: You are right, sir.

Nilesh Doshi: Yes. Okay. Thank you, sir.

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Moderator: Thank you. As that was the last question, I would now like to hand the conference over to Mr.

Satyen Mamtara, Managing Director for closing comments.

Satyen Mamtara: Thank you to each one of you for being part of our earnings call and participating in the call. We appreciate your support and trust in us. We hope we have been able to address most of your queries. In case of further queries, you may reach out to our investor relation advisor – Ernst & Young and they will connect with you offline.

Moderator: On behalf of Transformer and Rectifiers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Satyen Mamtara: Thank you.

Call: Apr 2024

Date: 15th April, 2024

Ref: TRIL/SECT/2024-25/NSE-BSE/COMPL/18

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TRIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 8th April, 2024

In terms of Regulation 30 and 46 read with Clause 15 of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 8th April, 2024.

Please take the same on your record. Thanking you,

Yours faithfully,

For Transformers and Rectifiers (India) Limited

Rakesh Kiri

Company Secretary

Encl.: As above

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers and Rectifiers (India) Limited
Q4 FY24 Earnings Conference Call"
April 08, 2024

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN –
M R. SATYEN MAMTORA – MANAGING DIRECTOR –
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER

AND ADVISOR TO THE BOARD –

MODERATOR : M R. SUBHADIP MITRA – NUVAMA INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Transformers and Rectifiers (India) Limited Q4FY24 Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions

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after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Subhadip Mitra. Thank you and over to you, sir. Subhadip Mitra: Thank you. Good afternoon, friends. On behalf of Nuvama Institutional Equities, welcoming you all to the fourth quarter and Full Year Conference Call of Transformers and Rectifiers (India) Limited. At the outset, we would like to thank the management for giving us this opportunity to host the call today. We have with us today the top management represented by the Chairman, Mr. Jitendra Mamtora, Managing Director, Mr. Satyen Mamtora, and CFO and Advisor to the Board, Mr. Chanchal Rajora. I would now like to hand over the call to Mr. Satyen Mamtora for his opening comments followed by the Q&A. Over to you, sir.

Satyen Mamtora: Thank you and good evening, everyone. We welcome you all to the earnings conference call to discuss the company's performance during the quarter and full year. We concluded our board meeting this afternoon and have uploaded the financial results as well as the investor presentation on the stock exchange. Firstly, I'm happy and proud that our team endeavored to conclude the full year audited results within the first week of the financial year close and I would like to thank their relentless efforts on making this possible and we hope we continue this practice in the forthcoming quarters. We are happy with our order book position and the various orders that we received during the year across sectors catering to solar power plants, private sector industries, metro projects, railways, power utilities. Other achievements that we got this year is successfully tested the most stringent Dynamic Short Circuit test on multiple transformers of various voltage ratings. With this company has crossed a commendable milestone of successful Dynamic short circuit testing on a record 150 plus transformers in last two decades. Also, the technology for the 765 kV class shunt reactors has been fully absorbed during the year. The Company received the highest ever order inflow during the year of Rs.2,050 crore including the export orders of 11%.

The unexecuted order book (UOB) as on 31 March 2024 totals to Rs. 2,582 crores; 72% growth v/s FY23 to be executed over the execution cycle of approximately 15 months.

As on 31 March 2024, company has total inquiries of ₹17,000+ crore under negotiation at various stages including overseas inquiries. These includes all segment of business such as renewable and green energy transformers, power transformers, furnace transformers, etc. To summarize, during financial year 2024, we navigated through the phases of stabilization, turnaround, and growth successfully and we are now taking steps for the next phase of consolidation, expansion, and profitable growth. We have taken several conscious steps and started implementing our growth strategies and the results of these companywide initiatives are starting to be visible in our performance from Q4FY24.

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We are entering the financial year 2025 with a growth-oriented mindset to contribute to the Indian Governments vision for developed India by 2047. The major pillars are capacity expansion, being more exports focused, become fully backward integrated, explore avenues for inorganic growth, achieve operational excellence & mobilize resources effectively as well as focus towards systems driven processes in positive direction. The strategy is being backed by our niche in R&D, product development, design customization expertise, manufacturing facility and expertise in manufacturing high precision high voltage class transformer. With this, I conclude my remarks and would like

to handover the call to our CFO Mr. Chanchal Rajora for his comments and financial updates. Chanchal Rajora: I hope I am audible to everybody.

Moderator: Yes sir, it's audible.

Chanchal Rajora: Thank you MD sir and good evening everyone. We welcome you and all to our Q4 and annualised post-earning conference call. I shall discuss the standalone financial highlights now. First, I will elaborate on Q4 results.

■ During Q4FY24, the revenue from operations was at ■ 500 crore, a 18% growth from ■ 425 crore in Q4FY23.

■ EBITDA during the quarter was at ■ 65 crore, a 112% growth from ■ 31 crore in the same period previous year.

■ EBITDA margin was at 12.9%, a sharp 576-bps increase from 7.2% in Q4FY23.

■ PAT during the quarter was at ■ 36 crore, a 306% growth from ■ 9 crore in the same period previous year.

■ PAT margin was at 7.2%, a sharp 509-bps increase from 2.1% in Q4FY23

. Now I come to the FY24 results.

■ During FY24, the revenue from operations was at ■ 1,273 crore, a 7% decline from ■ 1,375 crore in FY23. For FY24, export revenue was at ■ 139 crore, a 117% increase from ■ 64 crore from FY23. Export contribution as a % of revenue was at 11%.

■ EBITDA during the year was at ■ 129 crore, a 9% increase from ■ 118 crore in FY23.

■ EBITDA margin was at 10.0%, a 155-bps increase from 8.5% in FY23.

■ PAT during the year was at ■ 42 crore, a 12% growth from ■ 37 crore in FY23.

■ PAT margin was at 3.2%, 55-bps increase from 2.7% in FY23.

■ EPS during the year was at ■ 3.00.

■ In October 2023, the company successfully raised Rs.120 crore by the way of preferential issue (issuing 1 crore shares) on a private placement basis. This infusion provided medium term capital support to ensure smooth operations.

■ Average monthly collection from customers during H2FY24 was Rs.144 crore which indicates stringent internal controls systems in place.

Despite muted H1FY24, the company has been able to turnaround and close the financial year on a positive note. The improvement during H2FY24 was largely on account of faster execution Transformers and Rectifiers (India) Limited

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of the major orders, better production planning, improved receivables, internal control systems, etc.

Declaring the audited financial results within 8 days from the year closing clearly indicates that the company has started its journey towards being a system driven organization with detailed strategies in place.

With the orders in hand and inquiries under negotiation we expect the growth journey of the company has begun and we expect

tremendous improvement in the company's bottom line in the years to come. With this I

conclude financial updates and now request the moderator to open the floor for questions and answers session. Moderator:

Thank you very much. The first question comes from the line of

Siddharth Shah from Emkay Ventures. Please go ahead.

Siddharth Shah: Yes, good afternoon, sir. Congratulations on a great set of numbers. We are very pleased to see positive momentum across all parameters. Sir, I have a couple of strategic questions. First, if you can just help us understand the demand outlook across segments and especially for the exports market. And you have Rs. 17,000 crores of enquiries under negotiation. What kind of conversion can we expect this or in a way, what kind of order inflow can we expect in the next year?

Jitendra Mamtota: See, generally, if you look at our past record, the conversion has been in line of 15% to 20%.

So, if INR17,000 crores of orders are in the pipeline, then anywhere between Rs.1,500 crores to Rs.2,000 crores should not be far-fetched. We should be able to get that kind of order. That's one thing. Secondly, we are now more focusing and ensuring that once the transformer reaches the site, we have the least things to do. So that our concentration on attending to the site complaints reduces. This is what we are trying to address to ensure

that nothing happens when

the transformer reaches the site and all materials reach the customer at one go

Siddharth Shah: Sure, sir. And from a demand perspective, which are the segments which are doing well and which are the geographies, sir?

Jitendra Mamtota: See, it is throughout India. It's not only a particular segment. But today, if you see, the main focus is renewables, everywhere. And renewable is the growth driver now. As the power generated by the solar or by renewable it is to be evacuated to the grid. And that requires huge number of transformers, whether on the smaller ratings or on the larger ratings. And besides that, the steel market is also picking up. So, there also we see a lot of movement. We have started receiving a lot of inquiries from the overseas OEMs for the supply of the large rating of industrial transformers. Besides that, there are certain inquiries, or we are catering to some of the orders from a multinational company for supply of the transformers for the green hydrogen. So, these are the opportunities which we see in the near future. The transformers for the green hydrogen may not be very large. But we are going for automation in those kinds of transformers so that

the production becomes faster. The transformer requirement is going to be huge, whether it is for green hydrogen or for IDT that is for solar.

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Siddharth Shah: Sure, sir. That's very helpful. Sir, the last question from my side is on the fundraise which the board has approved through QIP or PREF. Sir, how do we intend to use these proceeds of about Rs.500 crores which the board has approved?

Satyen Mamtara: This would be basically inorganic growth and some expansion that we are planning in the near future.

Siddharth Shah: And this will be say increase in capacity or some backward integration?

Satyen Mamtara: Increase in capacity and part of it will be backward integration also.

Siddharth Shah: Sure, sir. This is helpful. Thank you so much and all the best.

Satyen Mamtara: Thank you.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma: Hi, sir. Thanks for the opportunity and congratulations for a great set of numbers.

Satyen Mamtara: Thank you, Ashwani.

Ashwani Sharma: So my first question is that we are currently at Rs. 17,000 crore of order inquiries. Out of this, how much would be exports in inquiry?

Satyen Mamtara: Exports would not go beyond 15% this year.

Ashwani Sharma: Okay.

Satyen Mamtara: Because see the local demand for our country is also so high that since this is growing exponentially, exports may not go beyond 15%.

Ashwani Sharma: Okay. So, I was referring to your guidance on achieving some 25% contribution from exports. So that you are talking to achieve during FY '26-'27. Is that the right understanding?

Satyen Mamtara: Yes.

Chanchal Rajora: Yes, Ashwani.

Ashwani Sharma: Okay. Secondly, on the collections from GETCO, what is the status over there, sir?

Chanchal Rajora: Ashwani, we have received majority of the outstanding from the GETCO and the rest of the money is coming as expected. So GETCO is not an issue to us.

Ashwani Sharma: Okay. Now, given the inquiry pipeline is robust, our order book is also very strong. So, what is the outlook that you see for FY '25-'26 in terms of revenue and margins?

Chanchal Rajora: Ashwani, FY 25-26, if you are talking about, we are looking to execute whatever our present order book is, first we want to deliver that and we want to grow that in the coming years. And

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as far as EBITDA is concerned, we are looking to achieve the numbers what we achieved in Q4FY24.

Ashwani Sharma: Perfect, sir. Thank you very much. That's all from my side.

Moderator: Thank you. The next question is from the

line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, you said Rs.17,000 crores of bids are, under negotiation. So, these are on transmission or distribution side

Satyen Mamtara: Most of them are power transformers, sir.

Mahesh Bendre: So, these will be about 220 kV, right?

Satyen Mamtara: From 220 kV up to 765 kV.

Mahesh Bendre: And on distribution side, we are not very active below 220 kV?

Satyen Mamtara: No. So, whatever that is currently under negotiation is from 220 kV to 765 kV. We are also in negotiations for 132 kV and 66 kV.

Mahesh Bendre: So, what that quantum will be, sir, for distribution side?

Chanchal Rajora: Mahesh, we would not like to discuss the numbers and levels of the enquiries. The Rs.17,000 crores enquiries what we are mentioning is altogether for kind of products. The majority of them is the power transformers, as MD sir mentioned.

Mahesh Bendre: Okay. And, sir, given such a strong demand, I mean, will profitability also go up significantly? I mean, given so much demand and the operating leverage that will play out going forward?

Chanchal Rajora: I think Q4FY24 numbers explains that.

Mahesh Bendre: No. I was talking about further. Is there any possibility of improvement in that?

Satyen Mamtara: No. This would be what would be around this much only.

Mahesh Bendre: Okay. Sure. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Khadija Mantri from Capri Global. Please go ahead.

Khadija Mantri: Hello. Good evening, sir.

Jitendra Mamtara: Good evening.

Khadija Mantri: Yes. So my first question is, are we looking at some new industries such as data center for our transformers?

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Satyen Mamtara: We are already supplying transformers to data centers.

Khadija Mantri: And so how does that market look to you in terms of growth in the next two to three years?

Satyen Mamtara: The market is good and there is a potential for the data center. And we are already pioneers in transformers for the data centers.

Khadija Mantri: Okay, sir. And one more question from my side. I observed that the contribution of revenue from state and central customers have gone down from 51% to 31% on YoY basis. So is it order specific or it is just the order book is in such a way that we have more contribution coming from industrial transformers?

Satyen Mamtara: We have deliberately taken a decision that we would be quoting less to State Electricity Board and more to EPC contractors who are in eventual ly servicing the State Electricity Board. That helps our cash flows better.

Khadija Mantri: Okay, sir. So you are saying is that the State and Central customer which you combine together, now that has come down from 51% to 31% but it is largely because of your less exposure to the State customers.

Satyen Mamtara: Yes, that is true.

Khadija Mantri: Central side it has increased, because the demand largely is for the power transformers.

Satyen Mamtara: Yes, that is true.

Khadija Mantri: Okay. Okay, sir. Fine. And, sir, sorry I missed the comments on the reason for the QIP and how it will be utilized if you can just restate.

Chanchal Rajora: Ma'am, the company is going towards backward and forward integration plan and also exploring inorganic growth opportunities. So, these funds are going to be utilized for that purpose and part of this will also be utilized to reduce the working capital burden on the company.

Khadija Mantri: Okay. And also the Rs.17,000 crores of inquiry which is under negotiation, it is from the domestic market?

Chanchal Rajora: It's includes both.

Khadija Mantri: Okay, but you would not want to give the share in the export?

Chanchal Rajora: We want to do, but we want a balancing between the domestic and export market as we have been given a guidance that by FY26 we

want 25% share in the export. So we are slowly- slowly progressing on achieving that target. If you see in this year also we achieved almost 11% export turnover. So, we are increasing that slowly and gradually.

Khadija Mantri: Okay, sir. And the execution cycle is same for the export orders? It is about 15 months?

Chanchal Rajora: It depends on rating of the transformers.

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Khadija Mantri: Okay, but on an average how would it be in export?

Chanchal Rajora: Yes, it is the same.

Khadija Mantri: Okay, sir. Thank you so much. I will come back in the queue.

Moderator: Thank you. The next question comes from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Thank you for the opportunity. Just reiterating on a couple of points. I think I am just summarizing what the management has already talked about firstly, I think in terms of exports, my understanding is that you are looking at growing the export share to about 15% in the near term, let's say by FY25 and going closer towards 20%-25% by FY27. Did I hear that correctly?

Chanchal Rajora: Yes, Subhadip.

Subhadip Mitra: Perfect. Secondly, sir, in terms of the current Rs.17,000 crores of enquiries under negotiation of which, let's say 15% to 20% is typically the conversion. So, one can look at a range of somewhere between Rs.2,500 crores to Rs.3 ,500 crores of order inflow.

Chanchal Rajora: You are right

Subhadip Mitra: Perfect. And lastly, with regard to your guidance, you mentioned that your current unexecuted order book of close to Rs.2,600 crores is probably what you would be looking at as your revenue for FY25 and an EBITDA margin of closer to 13%, which is what you delivered in fourth quarter?

Chanchal Rajora: Subhadip, the current order book what we have is to be delivered in next 15 month's time. So, we are trying to achieve that. And EBITDA marg in will remain somewhere between 12.5% to 13% levels.

Subhadip Mitra: Perfect, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mayank Chaturvedi from HSBC Mutual Fund.

Please go ahead.

Mayank Chaturvedi: Good evening, everyone. Sir, in the capacity expansion after 8,000 MVA, can you tell me the total project cost plus what kind of transformers will we be producing from this capacity and when will we start taking orders for this capacity and the capacity will be operational by December 2024?

Jitendra Mamtara: See, we are mainly focusing on green hydrogen transformers and for solar parks transformers so, they won't be very large transformer. They will be around 20 MVA or so but they will be produced in mass because the demand is going to be very high you know 80 to 100 transformers per month. So we're going to make the plant automated by choosing the machines so that the human intervention is reduced and the failure rate is also reduced.

Chanchal Rajora: Mayank, this plant expansion has already started, and we expect this plant to be ready

by December 2024.

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Mayank Chaturvedi: Right. Yes that I got. Thank you. And what will be the cost to capex for this plant?

Chanchal Rajora: That we would not like to disclose at this moment.

Mayank Chaturvedi: And have you started taking orders from this capacity?

Chanchal Rajora: The inquiries are already in place. We are presently negotiating with the customers.

Mayank Chaturvedi: Okay. And from the QIP proceeds, will the amount be utilized for expanding this plant as well?

Chanchal Rajora: Yes.

Mayank Chaturvedi: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia: What is the current order book?

Chanchal Rajora: Rs.2,582 crores.

Kaushal Kedia: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Sampat Naik

from Tiger Asset. Please go ahead.

Sampat Naik: Congrats for the good set of numbers. So I was just wondering, sir, as we're going to do backward integration, how are the margins going to look going forward, because without backward integration, we're doing 13% kind of margins, so after this capacity expenditure, how are they going to look?

Chanchal Rajora: Sampat, post the commissioning of the facilities and after being we are currently working on 40% to 50% of the backward integration. Now we are looking to expand the backward integration further. And definitely, the margin the margin will go up once we have fully backward integration.

Sampat Naik: Okay. Currently, we are quoting at 68% of raw material, right? I mean, like almost 32% gross margins.

Chanchal Rajora: No. Basically, that's not the correct thing. Our present raw material is around 72% to 74%. You can take it up from the books. Right now, it's going to remain the same levels.

Sampat Naik: Okay, sir. Just wanted to understand, whatever the new orders are coming, at what gross margins they are being quoted at?

Satyen Mamtara: We do not want to disclose it. But they will be good profitable orders. Thank you.

Sampat Naik: Okay. Thank you, sir.

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Moderator: Thank you. The next question is from the line of Aashna Manaktala from HDFC Asset Management Company. Please go ahead.

Aashna Manaktala: Hi. Good afternoon, what's the current trend in supply for the high voltage transformer industry? We've been reading that waiting times have increased to 24 months due to a shortage of supply. So how is that going to look for the industry in the coming quarters?

Jitendra Mamtara: See, firstly, it's very challenging to increase capacity just like this. So what we are doing is we are putting all our efforts to reduce the cycle time and we have done that and we have successfully reduced the cycle time down from 55 days to 40 days. So, now we are further trying to reduce it down to 32 days, or 35 days. If that happens, you know that the capacity will increase, and we will be in a much better position to be able to offer transformer much in time.

Aashna Manaktala: And, sir, this decline would happen over what time period?

Jitendra Mamtara: It is a continuous process. We have started doing it.

Aashna Manaktala: Okay. And, sir, how is the situation on the low voltage side for the industry?

Jitendra Mamtara: Low voltage side, see, those are, kind of off the shelf kind of a thing. So, it's not a long-term planning. As and when it comes, it comes. So, solar, when it comes, it comes when then, the projects last for about a year or so. So, it goes on, the supply goes on till the project is completed.

Aashna Manaktala: Okay. But for the industry, the supply is very well, there is no tight supply in terms of low

voltage, is it?

Jitendra Mamtara: You See, there are number of suppliers, but, it is the quality of the transformers which people are now focusing more. Because if there is any outage, when the transformers are supplied, the whole project is failed. So, the customer always prefers to go for the more reliable transformer, maybe paying a little higher.

Aashna Manaktala: Okay, sir. Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Hi, thank you for the opportunity and congratulations on good set of numbers. So, would it be possible to compare profitability and payment terms between your industrial set of business as well as utility set of customers?

Chanchal Rajora: Shrinidhi, utilities have got a fixed number of payment terms which generally ranges between 45 days to 60 days from the date of the transformer delivers. And when it comes to the industrial, EPC basically the payment terms are much better than the utility terms.

Shrinidhi: Right. And how are they on margins, sir?

Satyen Mamtara: The margins would be remain the same.

Shrinidhi: Right. And would it be compared similar business for export versus domestic, sir?

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Chanchal Rajora: For export, we have a slightly better payment terms as well as the margin also.

Shrinidhi: Right. And since the order backlog that you have about Rs.2,600 crores, how is it split between fixed price contract and price variation contract?

Chanchal Rajora: Basically, the majority of the orders are on the price variable clause.

Shrinidhi: And last, the order pipeline which looks very strong at about Rs.17,000 crores, would it be possible to share what was this number a year ago?

Chanchal Rajora: Right now, we don't have that number in place here.

Shrinidhi: Okay, no problem, sir. Thank you for answering my question and all the best.

Moderator: Thank you. A reminder to all the participants, please limit your questions to two per participant.

If you have any follow-up questions, you may please rejoin the queue.

The next question is from the line of Nilesh Doshi from Green Lantern Capital. Please go ahead.

Nilesh Doshi: Hi, Satyen and Chanchal.

Satyen Mamtara: Good evening, Nilesh bhai.

Nilesh Doshi: Yes, congratulations for moving in the right direction both on the revenue and the margin front.

Just one question, What are we doing with Research and Development (R&D) in the field of new product development? In particular, I believe that there are many import substitution products available in our country, and that we may be heavily reliant on imports, such as some transformers components or other new products? Satyen Mamtara: Yes, Nilesh bhai. So, whatever backward integration that we are doing, we are working on many projects that will substitute the import that we do for those.

Nilesh Doshi: Satyen, I don't know, is there a time when we should be fully backward integrated?

Satyen Mamtara: We should be fully backward integrated by December 2025.

Nilesh Doshi: Yes, okay. And how much that can help us in terms of margin, any kind of, I mean, calculations or work we have done on that?

Chanchal Rajora: Nilesh bhai, it will better our margins from the present levels. But the calculations and all once we'll meet, I'll tell you, sir.

Nilesh Doshi: Sure, sir. Thank you and all the best.

Chanchal Rajora: Thank you.

Moderator: Thank you. The next question is from the line of Parthiv Dalal from Antique Stock Broking. Please go ahead.

Parthiv Dalal: Good afternoon, Mamtoraji. Good afternoon, Chanchalji.

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Chanchal Rajora : Afternoon, Parthiv.

Parthiv Dalal: Yes. Sir, could you through some light on working capital scenario? I know there are improvements, but could you please spend a few minutes reviewing how you see this playing out in the future given the larger scale of your business?

Chanchal Rajora: Parthiv, if you see on my present presentation and balance sheet, my working capital cycle has been improved drastically and we are actually further strengthening that. If you see on my creditors' side, my creditors have gone down drastically as well as my debtors are going down. And we are working on the directions where we can further strengthen this working capital cycle. If you see the numbers, you may find it a little high.

But please understand that from our debtors' side, the majority of the debtors which are right

now on the receivables has been billed very, very recently. So they are not even basically due and if you heard my speech that now every month, we are collecting more than Rs.125 crores to Rs.130 crores, that itself is strengthening my working capital cycle. Even if you see the short-term borrowings, my short-term borrowings has gone down drastically, as well as my long-term borrowings have gone down drastically. So these are the indicators

that my working capital is entering day-by-day.

Parthiv Dalal: Got it. Okay, sir that's all from my side.

Moderator: Thank you. The next question is from the line of Surbhi Saraogi from SMIFS Capital Markets. Please go ahead.

Surbhi Saraogi: No, my questions have been answered. Thank you.

Chanchal Rajora: Thank you, Surbhi.

Moderator: Thank you. The next question is from the line of Mehul Mehta from Nuvama. Please go ahead.

Mehul Mehta: Thanks for the opportunity. As far as green power grid is concerned, my question is what would be the green transformer order book share for this green transformer? Jitendra Mamtara: You know, when we say green energy, that's, I don't know, what people think of when they say green energy. All transformers that are used to transmit power from the solar energy to the grid are green. Most of these orders that we've received from the power grid are mostly for these things. So you can say that 60% to 70% of these transformers are for green energy directly and indirectly.

Mehul Mehta: Okay. So, in terms of like, whatever is our order book, say about Rs2,600 crores approximately, out of which, like in terms of transformers, can you bifurcate between say conventional energy and green energy? Is that possible?

Jitendra Mamtara: Say about 50-50.

Mehul Mehta: 50-50. Okay. And in this, what sort of T&D system spent entirely, market, out of it transformers would be like is that possible to share?

Chanchal Rajora: Sorry?

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Mehul Mehta: Out of entire T&D system, transmission and distribution system, how many transformers would we share if we want to understand the whole T&D network and that network size, and out of those transformers, how many would we share power transformers & distribution transformers? Because we essentially get right? Chanchal Rajora: Mehul, Subhadip is the right person to give you the answer of that question. Very recently, he has done a detailed study on the TRIL and power industry.

Mehul Mehta: Yes, I have gone through, that's right.

Chanchal Rajora: He has the questions, he has the right answers of your questions.

Mehul Mehta: Okay, I'll question him. Just last question is that in terms of, say growth over next five years, in transformer market, any numbers you would like to share, industry growth?

Chanchal Rajora: Mehul, we want to take the baby steps at least to the five years down the line. At present, we are focusing on the next two years. Mehul Mehta: So, annually, say for next two years, what would you anticipate?

Chanchal Rajora: Annually, if you see that market research report is that Indian transformer market is increasing by around 14% CAGR levels.

Mehul Mehta: So, that should be, we should take as about volume growth, right? Because realization always, keeps on changing. So, 14% volume growth. Thank you so much. I'm done. Thank you.

Moderator: Thank you. The next question is from the line of Rishi Kothari from Five Square Investments. Please go ahead.

Rishi Kothari: Congratulations, sir, for the great set of numbers. And I would also like to congratulate the EY team for such a nice presentation here. Sir, I wanted to first ask what will be your utilization level at the current 36,000 to 37,000 MVA capacity which we currently have?

Chanchal Rajora: Rishi, we are right now operating at around 60% to 65% levels.

Rishi Kothari: Okay. And sir, by next year, by December 24, we are expecting another 12,000 MVA capex. And we will slowly ramp up that capacity. So, do we expect that to reach the peak by FY 26, sir?

Chanchal Rajora: Yes.

Rishi Kothari: Okay. Thank you, sir. All the best for the coming financial year.

Chanchal Rajora: Thanks, Rishi.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Hi, good afternoon. Sir, in one of the comments, you

mentioned that it's tough putting up a new capacity. If you can talk about what are those bottlenecks or challenges?

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Satyen Mamtara: Sorry, we didn't get your question.

Pratik Kothari: Sir, you mentioned in one of your answers that it is difficult to build new capacity and that is why you were working on operational efficiencies. So, can you please highlight what are the current challenges that you are facing in terms of building new capacity? Chanchal Rajora:

We aren't facing any bottleneck about the new capacities.

Satyen Mamtara: It is just, continuous improvement in terms of production that we are looking at. So, it is a continuous process. There are no bottlenecks. But how do we improve on whatever we are doing today? How do we improve that tomorrow? And how do we improve it on day after tomorrow? So, it is a continuous improvement process that we are working on.

Pratik Kothari: No, correct. Because, sir, maybe in the last cycle, 10 years back, I mean, a lot of new capacity came up very quickly and that kind of disrupted the market. So, if you can talk about, are you seeing, given the demand that all of us are seeing, do you see new capacity coming up very quickly?

Jitendra Mamtara: The new capacity which came up was in the transformer range of 220 kV and below. There was no capacity which came up 220 kV and above. See, if you just see 400 kV and 765 kV transformers, there are not many players today.

You can count them, five, six players, that's all, not more than that. So, you know, putting up a capacity for a higher rating of transformer, EHV, what we call is Extra High Voltage transformer, it's not that easy, it's complicated also and then it requires a lot of patience to build those kind of transformers. It's not only the design which makes the difference, but also the the art of production.

So, that makes a difference when you talk about large rating of transformers. Similarly, the case with the HVDC transformers. See, there are a lot of transformer manufacturers, even in the world, 400 kV and 765 kV, but HVDC transformers, not many. There are, you can count them on the fingertips. So, these are really the state-of-the-art kind of production, which requires a lot of skill and trained manpower, which is difficult to get. You can get money, but where do you get the skilled manpower? That's the main thing.

Pratik Kothari: Thank you and all the best.

Satyen Mamtara: Thank you.

Moderator: Thank you. The next follow-up question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma: Yes, thanks for the opportunity again. Sir, I wanted your views on opportunities in the railway, especially, Scott transformers, we read in one of your transcripts. If you can give us some sense, on the opportunities over there.

Satyen Mamtara: You know, with the dedicated freight corridor coming up, high-speed trains in vande bharat, and the ever-increasing speed of trains, the demand for Scott-connected and V-connected

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transformers will be in huge demand in the next few years. And we're starting to see inquiries coming in at a very high rate to us as well. So this is again a big sector that's coming in the next couple of years. Ashwani Sharma: So, we have the product portfolio as far as railway is concerned. Is there a gap?

Satyen Mamtara: We have the product portfolio for the Scott-connected. We are RDSO approved. The Scott-connected and V-connected transformers, we are getting short-circuit tested by end of May. So, then our product will be considered regular then. We have got some orders for Scott-connected and V-connected transformers. And we have to provide short-circuit test for them.

Ashwani Sharma: Okay. So, in our order book, how much would be that? Any sense?

Satyen Mamtara: Very small, about

7 to 8 transformers, not beyond that right now.

Jitendra Mamtara: So, about 2% to 3%.

Ashwani Sharma: Okay. So, secondly, if I look at the contribution, you know, product-wise contribution in our order book, the contribution of reactors are increasing year-on-year. What explains that, sir?

Chanchal Rajora: This is power gate supply.

Ashwani Sharma: It is mainly the power gate supply?

Satyen Mamtara: Yes.

Ashwani Sharma: Okay. Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Dhruv Agarwal from Niveshaay. Please go ahead.

Dhruv Agarwal: Yes. Good evening, sir. Congratulations on a very good set of numbers, sir. Sir, in the last call you said that you are expecting and you are executing orders which are having low gross margins of around 24% to 25%.

For the new orders, the company has already quoted the prices considering the gross margins of

32% to 33%, which was reflected in the quarter four itself. So is it fair to assume that the low margin order is fully executed, sir, right now?

Chanchal Rajora: No, it's not that, Dhruv. It is the mix of those things we are going to deliver.

Dhruv Agarwal: So, sir, can you please quantify what will be the low margin order book stands at as of now from the total order book?

Chanchal Rajora: I cannot disclose that at the moment.

Dhruv Agarwal: Okay, sir. And you said that there is Rs.2,600 crores of un-executed order book which will be executed in 15 months' time period. So, sir, for the financial year 25, the revenue looks like around Rs.2,100 crores. Is my understanding correct, sir?

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Satyen Mamtara: We will try to achieve, if possible.

Dhruv Agarwal: Okay. And, sir, like currently you have capitalization of 60%. So going ahead, seeing the demand that we currently have in the environment. So, what would be the capacity utilization going forward in the financial year 25-26, sir?

Chanchal Rajora: Dhruv, for any manufacturing industry, the peak capacity utilization is 85%.

Dhruv Agarwal: Right, sir. So are we going to increase the capacity utilization in the coming years?

Chanchal Rajora: Definitely, if we have to deliver, we have to increase that.

Dhruv Agarwal: Okay. Just one last question, sir. In the next financial year, what would be the borrowing levels, is there any plan to reduce further, sir, or it could be in the same level, sir?

Chanchal Rajora: We are trying to reduce the borrowings.

Dhruv Agarwal: Okay. And just one more question related to that only, sir. Like, in terms of working capital cycle, you said that your target is to have 120 days working capital cycle. So how are we going forward in that, sir?

Chanchal Rajora: There is a retail strategy in place for that, and we are working on that direction piece.

Dhruv Agarwal: So, what would be the current working capital cycle, sir?

Chanchal Rajora: You can please go through our financial numbers, which we uploaded on the market. You will get the detail about that.

Dhruv Agarwal: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Pinkesh Asrani from Profitgate. Please go ahead.

Pinkesh Asrani: I missed the point of QIP round. That QIP round is for Rs.500 crores. Am I right?

Chanchal Rajora: Yes.

Pinkesh Asrani: Okay. So by what time it would get completed? Like, any deadline, any timeline from the Board?

Chanchal Rajora: Pretty soon.

Pinkesh Asrani: Can you give some specific number for a specific period?

Chanchal Rajora: Pinkesh, by end of first quarter it should be completed.

Pinkesh Asrani: Okay. That's all. Thank you.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

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Khush Nahar: Hi, sir. Thank you for the opportunity. So I just wanted to know what would be our

R&D

expenses for FY24 and FY23.

Chanchal Rajora: Khush, this is the one thing which we don't want to discuss in this forum.

Khush Nahar: Okay. All right. Thank you.

Moderator: Thank you. The next question is from the line of Sampat Naik from Tiger Asset. Please go ahead.

Sampat Naik: Yes. Hi, sir. Thank you. Sir, you just said that we are RDSO approved for Indian Railway. Just wanted to understand how difficult is it for anyone to get RDSO approved? And are there any other players who are already RDSO approved?

Satyen Mamtara: Yes. There are so many. Compton is one of them, BBL is one of them. We are. And it took us almost about one and a half year to get the first order from RDSO. This goes way back into 2011-12. So, you know, it is difficult to get RDSO approved. You need to meet certain prerequisites first to become a certified RDSO supplier.

Sampat Naik: So, what other companies you said, sir? I just missed that.

Satyen Mamtara: Bharat Bijlee, CG, BHEL, ABB.

Sampat Naik: Okay, sir. Okay. Thank you so much. All the best.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Satyen Mamtara: Thank you all for being part of our conference call and for actively participating in the call. We appreciate your support and trust in us. We hope we have been able to address most of your queries. In case of further

queries, you may reach out to our investor relation advisor – Ernst & Young and they will connect with you offline. Thank you, Vijay Bhasin from Nuvama for hosting our call. Have a good day, God Bless!.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

Date: 27th July, 2024

Ref: TRIL/SECT/2024-25/NSE-BSE/COMPL/050

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TRIL

Dear Sir/Madam, Sub: Transcript of Earning Conference Call held on 19th July, 2024

In terms of Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 19th July, 2024.

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri Company Secretary

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers & Rectifiers India Limited Q1 FY25
Earnings Conference Call"

July 19, 2024

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. SATYEN MAMTORA – MANAGING DIRECTOR ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – CFO & ADVISOR ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MODERATOR : M R. SUBHADIP MITRA – NUVAMA INSTITUTIONAL
EQUITIES

Transformers & Rectifiers India Limited
July 19, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Earnings Conference Call of Transformers & Rectifiers India Limited.

As a reminder, all participant lines will be on listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference over to Mr. Subhadip Mitra from Nuvama Institutional Equity. Thank you and over to you, sir.

Subhadip Mitra

: Good evening, friends. On behalf of Nuvama Institutional Equities, welcoming you all to the 1st Quarter FY25 Results Conference Call of Transformers & Rectifiers India Limited.

We have with us today the top management of the Company represented by Mr. Jitendra Mamtara – Chairman, Mr. Satyen Mamtara – Managing Director and Mr. Chanchal Rajora – CFO and Advisor to the Board.

I would now like to hand over the call to Mr. Satyen Mamtara for his opening comments. Over to you sir.

Satyen Mamtara: Good evening, ladies and gentlemen. Thank you all for joining us on this Earning Call conference call. We are delighted to have you here as we discuss the Company's performance over the past quarter and the year ahead. Following our board meeting earlier today, we promptly released our Financial Results and Investor Presentation on the Stock Exchange.

We are particularly pleased with our order book position and the diverse range of orders secured throughout the year across various sectors including solar power, private industries and power utilities. Notably, our new orders this quarter amounted to Rs. 698 crores. Additionally, we have achieved a significant milestone with the maiden order of 4 STATCOM transformers of single phase marking the first for an Indian Company in the specialized segment. Our unexecuted order book as of 30th June 2024 stands at Rs. 2,926 crores. Currently, we have inquiries about 17,500 crores under negotiation and meeting stage.

Looking ahead to the remainder of the fiscal year 2025, we have successfully navigated through phases of stabilization, turn around and growth. We are now focused on consolidation, expansion and achieving sustainable profitability. We have implemented strategic growth initiatives across the organization which is already reflecting positively on our performance. Our revenue targets for the year remained unchanged. We extend our sincere gratitude to each participant for joining on our earnings call and for your continued support and trust. We hope we have addressed all your query satisfactorily.

Moving forward, we are excited about the upcoming milestones. New capacity for renewable energies will commence production from December 2024. Our fully automated dedicated manufacturing facility will be operational from September 2024. We have initiated journey
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towards backward integration of critical components, exploring new revenues for organic and

inorganic growth. Our revenue targets for current fiscal year remains steadfast. Furthermore, we are proud to have received an Operational Excellence Award from Power Grid and to have successfully exported 220 MVA Electric Arc Furnace transformer, one of the largest ratings ever manufactured globally. Once again, thank you all for your participation and support. We look forward to your continued partnership as we progress into the next phase of our growth journey.

With this, I conclude my remarks and now I would like to hand over the call to our CFO, Mr.

Chanchal Rajora for his comments on "Financial Parameters".

Chanchal Rajora: Thank you, MD sir, for providing an overview on the current quarter as well as the year ahead.

I would now like to

share some key Financial Highlights with your esteemed shareholders.

The shareholders, I am pleased to present the accomplishment of our Company for the 1st Quarter of FY25, which has been one of our strongest 1st Quarter in recent past years marked by the substantial growth in the revenue and profitability.

Financial Highlights:

In Quarter 1, our standalone revenue reaches Rs. 311 crore reflecting an impressive year-on-year increase of 103%. We achieved an EBITDA of Rs. 42.53 crore, a significant rise of 633% year-on-year basis with our EBITDA margin of 13.65%. Our profit after tax stood at Rs. 18.41 crores showing a robust increase of 268 year-on-year with a PAT margin of 5.83. Our consolidated revenue reaches to Rs. 322 crores reflecting an impressive year-on-year increase of 107%. We achieved an EBITDA of Rs. 46.22 crores, a significant rise of 650% year-on-year basis with an EBITDA margin of 14.35% at consolidated books level. Our profit after tax stood at Rs. 20.87 crores showing a robust increase of 271% on year-on-year basis with a PAT margin of 6.4% on the consolidated books. During the quarter, we secured the orders for totaling Rs. 698 crores highlighting our strong momentum in order inflow. As of June 30th, 2024 our unexecuted order book states Rs. 2,926 crores. We are delighted to announce the significant achievement for our organization as they successfully raised Rs. 500 crores through a qualified institutional placement in just 3 weeks' time, marking a historic milestone in the Indian market. This accomplishment not only underscores the strength of our business fundamentals, but also reflects robust investor confidence in our vision and growth prospects.

The unprecedented speed with which we completed the QIP highlights our efficiency and ability in a navigating financial market, further solidifying our position as a leader in the industry.

Throughout FY25, we are placed significant emphasis on the people management and upskill initiatives, acknowledging the pivot role of our workforce in our successes. We are focused on enhancing technical skills for forecasting leadership readiness and improving overall competitiveness across our manufacturing, sales and engineering division.

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Looking forward, we are optimizing about our prospects for FY25 anticipating enhancement across various financial metrics. Our strategies are centered on achieving a streamline balance sheet by reducing debtors and optimizing inventory management. Our ultimate aim is to transform into a debt-free Company in the near future, supported by the clear and actionable plan already underway. In conclusion, we are all well positioned to capitalize the opportunity within India's evolving energy sector with robust corporate governance, advanced technology, superior products and dedicated team. We are confident in our plan towards sustainable and profitable growth.

I extend my full gratitude to our customer, the board and management and particularly to our committed employees for their unwavering dedication and support. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead, sir.

Mohit Kumar: Can you just talk about the opportunity landscape; the break-up of Rs. 178 billion orders under negotiation? Is it possible to break this into power transformer and distribution transformers and any timelines when you expect this order to get finalized?

Satyen Mamtara: So, most of this would be, let's say, 95% of this would be in power transformer and solar transformers remaining 5% would be distribution transformers.

Mohit Kumar: And is it fair to say that we are talking mostly about Interstate transmission system in India?

Satyen Mamtara: Yes, we are talking mostly about Interstate transmissio

n systems in India.

Mohit Kumar: My second question is can you talk about the reactors order book? It has grown massively in last 2-3 years. Is it primarily for high voltage and any color on the competition on the reactors will be very helpful.

Satyen Mamtara: See, as far as the reactors are concerned, there are very few players, 5 or 6 players are there in the game who are manufacturing these and who have the technology for manufacturing reactors. Reactor is going to go primarily because of the renewable energy which creates lot of harmonics

and then you know it's to be filtered and then it will disturb the grids, to stabilize the grid you need the reactor. So, it is now just like if I see the recent orders, with one transformer there are about two to three reactors, something like that so requirement of reactor is increasing like anything and it is also, they are intending to increase the capacity of the reactors much above the today's limit of 110 MVR 775 kV transformers and 125 MVR Three Phase 400 kV transformers.

They are going to increase it, to improve the efficiency and to also reduce the cost; overall cost of that reactor.

Mohit Kumar: So, is it fair to say that the reactors should itself be around Rs. 7,000 crores - Rs. 8,000 crores per year market or do you think they are much smaller from market perspective?

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Satyen Mamtara: It will be something like that.

Mohit Kumar: Understood. My last question, when we expect to see your IDT transformer booking starting. Is it fair to say that we can see some amount of booking in Q2 or Q3?

Satyen Mamtara: We are forced to accept some orders from some of our valued customers. We can't deny them.

But we are going to automatize the production of the IDT transformer, not only to reduce the cost but also to improve the operating efficiency so that we can deliver something like 100

transformers per month. This is our ultimate goal and we are getting ready for that we have. We

have ordered the machineries; we have started the construction for the new bay. It's going to be exclusive bay for manufacturing IDTs for the solar plants. Smaller Transformers approved 15

or 16 or 18 MVA. And besides that some special transformers will also be produced in that which matches, see the compulsion will the restriction of the crane and the height of the crane.

So, whatever we can do in that, we will do it which includes the transformers like rectifier

transformers. And also for the upcoming hydrogen projects for which we have started getting the inquiry, we have manufactured the one for GE USA and we have supplied to them. So, many

more orders are going to come from there. The total requirement is something like 2,300 transformers in a year or just only for hydrogen projects, what you say electrolyzers? So,

electrolyzer, rectifier and transformer. We'll be supplying only the transformer, rectifier part will

be supplied by somebody else and electrolyzer will be their own make or maybe they may

outsource them, like they outsource rectifier and transformers. This is the main.

Mohit Kumar: Are you expecting something like 30-40 GVA of IDT market in India for the next couple of years? Is it fair to assume that?

Satyen Mamtara: Very frankly speaking, we have not really worked on that. But there are ample of business like

we were talking to Adani, they need about 1,000 transformers in a year. Similarly, companies

like ReNew, companies like Acme also require that and recently Avaada also they require

something like 700-800 transformers. Each transformer will be costing around, if I am not mistaken about Rs. 1.2 crores. So, it's a huge opportunity, it is only based on how reliable you

are and how quickly you deliver because everything is based on your delivery time. So, we are trying to set up the plant for manufacturing 100 transformers in a month. So, that means about

100 transfo

rmers in a month, 1200 transformers in a year. So, almost 4 transformers a day. So, we can easily do that. We have done that in the past with Adani, so we can do that. It's not a big thing.

Moderator: Thank you. The next question is from the line of Ganesh Ram from Unifi Capital. Please go ahead.

Ganesh Ram: So, just if you could help us understand in connection to the previous question, those are IDT, the capacity that's coming, I think you mentioned in September 2024 like what's the competitive landscape like for this particular product? And then do we see any impact on the margins on the positive or downside? Maybe that's the first question.

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Satyen Mamtara: So, the new plant will be operational by we start producing transformers from the new plant in December 2024 quarter. And there are also competitors there, but with the kind of situation everybody is either booked or they have enough to supply the transformer so that there is no such undercutting for the price on the transformer.

Ganesh Ram: Got it. And just to sort of understand how you know the realizations and margins compared to our existing product mix.

Satyen Mamtara: The realization will be very similar to the current product mix. There should not be any change, positive or negative towards the realization of this on this new transformer that we are manufacturing.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: My question is firstly, just clarifying on the guidance. If I remember correctly, I think your

previous guidance for FY25 was sales of Rs. 2000 crores for full year and around 14% EBITDA margins. Are you still maintaining the same values?

Chanchal Rajora: Subhadip, if you just heard our opening comment of Satyen sir, he has clearly mentioned that our renewal guidelines remain the same. So, Rs. 2000 crores is quite achievable and we are working on that and EBITDA margin will definitely will be on your expectations.

Subhadip Mitra: And similarly if one is to take a view 2 to 3 years down, what kind of, let's say, revenue growth over the 2-year period and let's say target margins over a 2-3 year period would you be looking to target or achieve?

Chanchal Rajora: Subhadip, next 3 years we are well posed to reach Rs. 4500 crores to Rs. 5000 crores numbers on a standalone basis with the EBITDA beta levels or somewhere 16% to 17% levels. And we also see a better growth in our consolidation books in terms of the numbers because of the backward integration and backward executions what we are doing.

Subhadip Mitra: Understood. If you could also help us with an up date on the acquisitions that you were targeting to do as well as the backward integration?

Chanchal Rajora: Subhadip, we have raised the QIP in last month and there are certain objects we have mentioned in our PD and we are working on that directions and I'll make you sure that the funds will be utilized only for those purpose and soon we will be starting working on those directions. We already started working on the backward integration side on the fabrication unit as one of the largest fabrication unit we are working on that, work has started on that part. On other side, we are working on that and when the right time will come, we will definitely announce that.

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Subhadip Mitra: Understood. And lastly, I think sir mentioned that we are looking to have the new facility having the ability to manufacture a large number of transformers on a monthly basis. So, that is going to come from the new factory which is expected by December 24?

Satyen Mamtara: We are expanding our Changodar plant. So, December 2024, Changodar plant is being expanded to include solar transformers and green hydrogen transformers.

Subhadip Mitra: Understood and the

ability to do 100 transformers in a year that will be...

Satyen Mamtara: Yes, this new facility what we are making in Changodar, you last month may visit actually you would have seen by yourself the progress there. So, we are expecting somewhere between 12,000 to 15,000 MVA yearly basis from there. So, as the Chairman sir just guided that 100 transformer of 15 MVA range will not be a big thing from here.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: So, my first question is that so there are some news articles stating that Rs. 44,000 crores of transmission projects are getting delayed by PGCIL and there are like 18 projects getting delayed by 32 months and 8 projects getting delayed by 12 months or so. So, what's your sense on the delay because that might delay the execution though it's the need of the hour and demand for transformers really good in the industry. So, is there any delay in the execution on the transmission side and how can it impact us in terms of execution if you can guide?

Satyen Mamtara: See, this is the report which we have read today in the paper about the trouble they are facing for executing the entire project as they have promised because of the availability of the fund.

But I think with PGCIL, there are other private players also like Adani and Tata Power and Sterlite, so they will be pushing in to get these orders. Now so far, whatever orders have been placed are mainly from the orders which you have received are mainly from Power Grid. Now, I don't know, why they are of the opinion that they may stole some of the project. But I don't see that kind of the feeling which we get from them, they are even now trying to get into 1100 or 1200 kV AC lines H2 or 3 of the 765 kV lines they will be converting to or 400 kV lines they will be converting to 1150 kV lines and their code for the meeting of the stakeholders to see their response, whether they will be ready with this. So, our person was the same thing, that if there is not enough order investing for 1200 kV transformer separately will be a big challenge. But we need some clarification from them. How much transformer they are going to require and on the basis of that, people will come out with the facility because it is to be manufactured in the same facility, but they are going to be much larger transformers than what they are buying today.

It will be a bank of 3000 MVA, single bank as against today, what they have is 1500 MVA. So, 1500 MVA to 3000 MVA is a big jump, but the problems will be faced in transportation also because each transformer will be weighing something like 425 to 450 tons. So, transportation well that the bridges which are built are in a position to take that load over there will have to

have a separate route for that, something like that. So, these are the challenges, but this is going to come by 2027. That is what they are expecting. So, I don't think there will be a slowdown as

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mentioned in the paper today, the small news which has come, I don't know why, but we are not getting any feeling like that from Power Grid. On the contrary, we are having meetings with them every weekly on our dispatches and how we are going to meet their targets. So, in fact they are pushing us to do more. So, which is on the contrary what is being said in the newspaper today.

Gunjan Kabra: So, you think there is not much delay in terms of not only PGCIL sir, but other ways also on the transmission side because there are lot of external factors also for them to get it executed. So, is there anything where we are not only from their side but on the other front also might be a delay in execution or are we on track because?

Satyen Mamtara: We are very much on track.

Chanchal Rajora: Gunjan, there is one more thing I want to add that a week back, if you have

seen the news article

where the central government has basically instructed power utilities to enhance their CAPEX on the T&D sides.

Gunjan Kabra: So, the enhancement CAPEX guideline is already there and there is going to be a huge demand, but that is there. I am not denying that. But just on the execution front, because you are into this business day in day out, so you might know a little more, a little better than what all of us know, so just wanted to gain an insight because this is the need of the hour that's there. I mean, because generation is happening, transmission has to be there. So, my second question is what is your strategy in terms of the export market comparatively, because there are high numbers on the transmission side of what the US, Europe and Africa going to spend on the transmission. So, what is our strategy going forward for the exports and I guess comparatively margins are also a little higher and we have got some approval. So, how are we seeing the export markets going forward?

Chanchal Rajora: Gunjan, if you have been tracking our earning calls and investor calls, our investor interaction, we have been always guiding about the export strategy that how we are focusing on the export market. Also, we have mentioned in our various calls that we have a target of reaching 25% of order book by end of FY26. And we are working on that directions. We have our full time employee based out of you can say Europe, we have our agents across the countries and we are increasing our footprints and we have significantly actually enhanced our export team. So, we are working on that direction, but in the same time, we don't want to lose our Indian customers or Indian opportunities just in order to have the export market which will give the room to the other people to enter where we are strong. So, we are balancing and working on both the sides and as guided that FY26, you will see 25% of our entire order will be from the export side.

Gunjan Kabra: Okay, got it. So, the third question is when we talk about we are getting backward integrated like into tank radiators and bushings and core CRGO, what kind of EBITDA margin like how much of that supply is right now captive use, are we sufficient in terms of our capacities? But though we are enhancing it as well, so likewise if I see a power transformer Company

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manufacturing transformers plus with you guys manufacturing with backward integration. So, what kind of margins can we see because tanks and all are also 8%-10% EBITDA margin business. So, what kind of margin expansion or maybe likewise what is the difference that we can see if we compare two players with backward integration and not backward integrated?

Satyen Mamtara: See there is a misconnect there. Today, if you see the EBIT margins with the tank manufacturers, it is more than 25%. It's huge because there is no availability of tanks in spite of so much of requirement of the tank. So, everybody is struggling to get the tanks at whatever price the tank which we are getting at Rs. 110 today is costing me Rs. 160. And if I go for export of those tanks, it will be more than Rs. 350 a kilo taking into account 20% as the transportation cost from here to America, still you will make a huge profit. So, the plant which we are thinking about or which plant we intend to have is going to be more of automatic, with less manpower, and it is going to be the largest plant in the world for tank manufacturing. It's going to be largest and I mean it. So, there are no such facilities to have such a huge capacity plant for manufacturing transformer tanks.

Gunjan Kabra: And sir 17,500 is the order inquiry pipeline that we have? So, what part of that can be addressed in FY25 in terms of tenders, any idea on that?

Chanchal Rajora: Gunjan, look the inquiries, order generations is a continuous process of business

and inquiries

that keep coming and getting materialized on the order side. So, it's a continuous process to us and as you see that every year we are increasing our order book significantly, right. There is a robust increase as compared to the FY23 to FY24 and it is going to be the significant increase in the FY25 order book also. So, I can't tell you that how much percentage and all this that, but we are working on the guided guidelines and where we want to reach to the 3 years down the

line. Just to add up some of your questions about the backward integration, the backward integration is going to add at least 100 bps in my standalone books on the EBITDA margin levels.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Sir, good evening and congratulations for a decent set of numbers. Sir in this quarter, we have seen some slowdown on a Q-o-Q basis. So, were there any factors which led to that because we were thinking that because the buying and the demand has been very strong, so you will be continuously sort of fulfilling and booking the orders also in this quarter as well?

Chanchal Rajora: Sarvesh basically, it's not this slow down. It is basically the deliverables right. There are the certain numbers we have to deliver at a certain time periods. So, this numbers are what we are based on that and there is a slightly, you can say that crunch on that because there was a small delay into the CRGO supplies because of the BIS restrictions by the Government of India sites.

But by and large, basically our revenues are now depending on the deliverables in every month

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and we are working on those directions that whatever is the marketing required, the numbers to be delivered in monthly basis, we will deliver on those lines.

Sarvesh Gupta: Did you see any impact of the elections on the deliverables in this quarter?

Satyen Mamtara: No. There is no impact.

Chanchal Rajora: It's Quarter 1 is always like this, Sarvesh.

Sarvesh Gupta: And this Rs. 4500 crores to Rs. 5000 crore in standalone revenue that you expect, this is FY28 sort of a number, right?

Chanchal Rajora: By FY27, it is 3 years.

Sarvesh Gupta: Within the next 3 years, so 2000 and then 2000 should become like Rs. 4500 crores in FY27.

Chanchal Rajora: Yes, sir.

Sarvesh Gupta: And what is the expected order inflow sort of a guidance for this year?

Chanchal Rajora: Sarvesh, as and when the order comes, we keep basically announcing that, right? Yes. But we will be having much higher order book what we had in March 31st.

Sarvesh Gupta: From a constrained perspective, like of course there's a lot of demand and I think as you rightly said, customers like Power Grid are also pushing you to sort of do more. So, what are the constraints that we are seeing currently in terms of fulfilling the demand and how do we?

Satyen Mamtara: Currently, there are some regulations and see transformer industry had built up over the last 10 years, but unfortunately the raw material suppliers could not build up on that. And with the sudden increase in raw material and with some restrictions from the Government of India, we

are facing a little problem in attaining the raw materials which is being sorted out as we speak.

Sarvesh Gupta: Raw material and the pricing of the raw material would be one thing. But in terms of other things like building a new facility, are you seeing any constraint in terms of procuring because the timelines for those machineries might also go up, given that a lot of players are planning to ramp up at the same time?

Chanchal Rajora: That is all lined up, so there are no issues there. We have commitment from them and they are genuine suppliers, so we don't worry about it.

Satyen Mamtara: So, when we are saying that December 2024 that our plant will be functional. It

is because we

know that our machines will be delivered by November 2024.

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Sarvesh Gupta: And sir, finally, if I may ask one more question, so earlier and now I think for the same level of revenues also we are doing much better margins. So, is it because the pricings have gone up or something else which is sort of playing because there is too much demand, so the transformer?

Satyen Mamtara: The pricing has gone up as well as because of operational expenses that we are working on both are building in the factor on the profitability.

Sarvesh Gupta: But mainly, it would be like because earlier when we used to do Rs. 300 crores, we used to get like 7%-8% margin. Now we are getting 12%-13%-14% margin in the same sort of scale. So, what is the primary contributor here, sir?

Chanchal Rajora: Sarvesh, to understand it, we need to understand the customer mix what we had and what are the opportunities were existing at that time. They were very limited opportunity existing in the transformer industry in 2 years or 3 years down the line whereas the opportunities are immense and the customer network and customer base is different. So, this earlier this week, the majority

of the customers over the state utilities and top of that the suppliers were more so the cut-throat

competition was there and as the few minutes back the MD sir has stated that there is ample demand for everybody. So, there is no dearth of the orders, so nobody is going and cutting the

pricing flavors, right. So, the prices have a better up in last 1 year and 1.5 years' time as well as the operational efficiency also

has increased in our organization, and both are contributing on that point. If my MVA production increases, definitely my operational efficiency increases and my margins are increasing. So, these two factors are combined contributing in this.

Sarvesh Gupta: And now that many of the producers are also sort of exporting, up to, let us say 20%-25% of their topline. So, now given that there is a lot of demand in the domestic segment itself, but of course the export I would say would be more lucrative in terms of margins, but do we feel a risk of a government intervention in terms of our export because the domestic demand might get somewhat delayed because everyone wants to export much more because margins are higher there?

Chanchal Rajora: Sarvesh, well understood it, to understand that the product which are getting exposed and product which are basically required in India at the moment are not on the same line. Majority of the product which are getting exports are either the special duty transformers or the solar IDT transformers, whereas in India requires more of the high voltage power transformers. So, we don't see any such kind of intervention from the government. And also if you just noted when I was replying to Gunjan, I said very categorically clear that we are not running for the exports. We will be basically allocating our additional quantities to the export market. So, these things, we don't see that it is coming into the picture.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

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Shrinidhi Karlekar: Sir, just wanted to know, do you guys manufacture traction transformer and are you guys seeing opportunity coming from the Vande Bharat trainset traction transformer?

Satyen Mamtara: We are working on certain projects, the STATCO M Transformers that currently we got orders for are for the Vande Bharat trains.

Shrinidhi Karlekar: And the same the traction transformer?

Jitendra Mamtara: There are two types of traction transfer. One is what we say, trackside transformers and one is which are used in the engine itself. So, we are not into the transformers which are used in the engine. We are on the trackside transformers. Trackside transformer also they have now come out with special transformer Scott connected transformer where they change the line or they convert the line, three phase line to single phase line to supply to the railways and when you have a three phase transformer like that three phase, single phase, two phase transformer, it decreases the transition line cost for the railways. So, there are major advantages and then the balance is in such a way that not a single line is overloaded. Because it is all trackside transformer, so the supply required by the railway trains is single phase, so you have to have a single phase line and it will run only single phase line, there will be a chaos in the system. So, they have a three phase to two phase line which supplies power to the engine, so to the railways. So, we are into trackside transformers, we are also into Scott connected transformers and now as Satyen said, we got the order for STATCOM transformer which stabilizes the line. They are mainly used for stabilization of the line, so that unequal voltages reduces and no disturbances in the system.

Shrinidhi Karlekar: And sir, the STATCOM transformer that goes in to grade application. Are you present in that market?

Satyen Mamtara: Yes, we are very present.

Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: I just want to understand we also deal with global peers like GE, Hitachi etc., right, probably we have made supplies to them both in India and maybe globally. In FY24, can you broadly share what percentage of our sales comes from supplies to some of the global peers?

Chanchal Rajora: Amit, I would basically request you to go through our FY24 investor presentation, so you will get all the details in that sir, broadly which is available on the stock market and our website.

Amit Mahawar: Second question, sir is on the export opportunity, now globally China used to be one of the largest suppliers to the West, almost 5 billion USD at the peak exports of Chinese Transformers globally, which is not the case right now, they don't get proper reception audience on the Western grids because of various issues including security. So, what is the total opportunity for the

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domestic transmission equipment players, if I right now foresee particularly from maybe developed markets if you have that assessment, sir?

Chanchal Rajora: So, Amit, we would be doing around 25% of our turnover in exports and not beyond that and there are enough opportunities that we are looking at in terms of export in Europe and in US, so pretty much 25% is achievable.

Amit Mahawar: So, you are saying broadly in three years' time around Rs. 1,000 crores is what you are looking at?

Chanchal Rajora: Amit, if you want to understand more about the global market scenario, anytime you can connect me, I can guide you on that.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Sir, I wanted to understand about this Scott transformer. Sir, is this kind of a onetime event that the railway is undertaking and what kind of total market, what is the term for this product?

Chanchal Rajora: Nikhil, see there are increasing the speed of the trains. So, whatever are the Transformers beside the new tracks they are building, they need to change the transformer, because with the existing transformer which are smaller in size, which were taking care of average speed of the train to be 70-80, now we are talking about average speed of 120 to 140. So, these transformers are to be replaced immediately. So, the railway is in short supply for the transformer, they are looking for the good vendors and they are doing everything to ensure that their program for electrifying the lines or increasing

the speed of the train does not hamper, so they are in a big way into this. And we are getting the opportunities every now and then from the railways for this. Besides that, metros, just look at the metros. Metros are coming up everywhere and they are expanding so much, like almost like 80% of the transformers used by metros in Delhi are ours, Ahmedabad is 100% ours, Cochin 100% ours, Goa is ours, so we have been established as a major player in the transformer also for the metros. They are similar to what you require for the trains. They are a little smaller, but they are almost the same.

Satyen Mamtara: And Nikhil, seeing the size of railway, one time opportunity railway will be how large you can analyze yourself even if it is there.

Nikhil Abhyankar: Sir, we did some math and we came out with an opportunity of somewhere around Rs. 5,000 crores. So, is that fair or will it be higher than that?

Satyen Mamtara: We will be not able to answer you this question. The Railway Ministry can give you this answer.

Nikhil Abhyankar: And just to understand the market for the solar renewable, so is it fair to assume that 1 GW of say solar we will require 1 GVA of IDT transformers? Will it be more or less?

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Satyen Mamtara: It will be more than that. What happens is IDT maybe 1 GV, but 1 GV you require for exiting the power to the grid. So, for 1 GV of power, you require 2 GV of transformer, minimum. It will be still more than that because they don't want to have any outage during the operation. So, they prefer to have little, larger transformer than they require.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Sir, I wanted to know what would be the CAPEX for this year for the expansion you are doing in the Changodar and as you have given now the guidance for next two years, the revenue should reach to almost Rs. 4,000 crores, what is our CAPEX guidance for FY25-26 also?

Chanchal Rajora: Mayank, for the current year CAPEX guidance, we have already given in our QIB documents, you can go through that and you can get these details from that. And for FY25-26, we don't see any capacity requirement as of now. It is pretty early for that.

Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: Just really wanted to get a sense of the inquiry pipeline of 175 billion, like if I could maybe get a break up on a sectoral level, what is the opportunity size that we would be looking from the solar and the green hydrogen transformer that we are going to be manufacturing going ahead?

So, just the market size, if any fair understanding of that?

Satyen Mamtara: Chinmay, currently we have only taken a few orders from select few customers of ours who have been very loyal to us, but among this Rs. 17,500 cores order inquiries, none of them are from solar. Solar, we will only start going after the first half. We will start going to people only after the first half. Once we are towards the fully functional plant, we start quoting to customers for solar transformers. So, you can expect after September, we will start quoting for solar transformers from our inquiries that there is nothing in solar.

Moderator: Thank you. The next question is from the line of Abhijeet from ICICI Securities. Please go ahead.

Abhijeet: Just one question from my end. What is the size of the order that we received for the STATCOM single phase? Could you please quantify that?

Chanchal Rajora: That is close to about Rs. 198 crores, if I am not wrong, just give me a moment. So, I think it should be around Rs. 200 crores, somewhere around Rs. 200 crores.

Abhijeet: So, about a crore per MVA?

Chanchal Rajora: Yes.

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Abhijeet: And sir, what would be the proportion of traction transformer business in our order book at the end of Q1?

Chanchal Rajora: Q1, there is nothing that we have manufactured for traction transformers.

Abhijeet: Sir, part of the order book like the entire order book out of that?

Chanchal Rajora: Around 5% to 7%.

Moderator: Thank you. The next question is from the line of Ria B from VA Securities. Please go ahead.

Ria B: Sir, the new capacity that you are adding in September 24 and December 2024, what would be the revenue contribution from each of these facilities?

Chanchal Rajora: First of all, this is September and December. Basically, it is the one capacity expansion which is basically coming by December as of now, right and this is for 12,000 MVA addition for the entire year and we are expecting close to Rs. 1,000 crores addition once it is fully function and fully operational.

Ria B: And you will expect it to be fully operational and by what is the timeline on that?

Chanchal Rajora: From the December onwards, it will be available for the production and adjust and as MD sir has mentioned that from September onwards, we will start taking the order booking for these IDT transformers.

Moderator: Thank you. We will take this as the last question. I would now like to hand the conference to Mr. Subhadip Mitra for closing comments. Over to you, sir.

Subhadip Mitra: Thank you. On behalf of Nuvama Institutional Equities, I would like to thank the Management for giving us this opportunity to host the call. Any closing comments from your side, sir. Over to you.

Satyen Mamtara: Thank you to each and every one of you for being part of the Earnings Call and participating in the call. We appreciate your support and trust in us. We hope we have been able to address most of your queries. In case of any further queries that you may have, you may reach out to our investor relation advisor and they will connect you with Chanchal. Have a great weekend. Thank you.

Moderator: Thank you. On behalf of Transformers & Rectifiers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

Date: 27th July, 2024

Ref: TRIL/SECT/2024-25/NSE-BSE/COMPL/050

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TRIL

Dear Sir/Madam, Sub: Transcript of Earning Conference Call held on 19th July, 2024

In terms of Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 19th July, 2024.

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri Company Secretary

T & R is one of the leading manufacturers of a wide range of transformers globally. Today T & R is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). T & R is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers & Rectifiers India Limited Q1 FY25
Earnings Conference Call"

July 19, 2024

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. SATYEN MAMTORA – MANAGING DIRECTOR ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – CFO & ADVISOR ,
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MODERATOR : M R. SUBHADIP MITRA – NUVAMA INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Earnings Conference Call of Transformers & Rectifiers India Limited.

As a reminder, all participant lines will be on listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference over to Mr. Subhadip Mitra from Nuvama Institutional Equity. Thank you and over to you, sir.

Subhadip Mitra

: Good evening, friends. On behalf of Nuvama Institutional Equities, welcoming you all to the 1st Quarter FY25 Results Conference Call of Transformers & Rectifiers India Limited.

We have with us today the top management of the Company represented by Mr. Jitendra Mamtara – Chairman, Mr. Satyen Mamtara – Managing Director and Mr. Chanchal Rajora – CFO and Advisor to the Board.

I would now like to hand over the call to Mr. Satyen Mamtara for his opening comments. Over to you sir.

Satyen Mamtara: Good evening, ladies and gentlemen. Thank you all for joining us on this Earning Call conference call. We are delighted to have you here as we discuss the Company's performance over the past quarter and the year ahead. Following our board meeting earlier today, we promptly released our Financial Results and Investor Presentation on the Stock Exchange.

We are particularly pleased with our order book position and the diverse range of orders secured throughout the year across various sectors including solar power, private industries and power utilities. Notably, our new orders this quarter amounted to Rs. 698 crores. Additionally, we have achieved a significant milestone with the maiden order of 4 STATCOM transformers of single phase marking the first for an Indian Company in the specialized segment. Our unexecuted order book as of 30th June 2024 stands at Rs. 2,926 crores. Currently, we have inquiries about 17,500 crores under negotiation and meeting stage.

Looking ahead to the remainder of the fiscal year 2025, we have successfully navigated through phases of stabilization, turn around and growth. We are now focused on consolidation, expansion and achieving sustainable profitability. We have implemented strategic growth initiatives across the organization which is already reflecting positively on our performance. Our revenue targets for the year remained unchanged. We extend our sincere gratitude to each participant for joining on our earnings call and for your continued support and trust. We hope we have addressed all your query satisfactorily.

Moving forward, we are excited about the upcoming milestones. New capacity for renewable energies will commence production from December 2024. Our fully automated dedicated manufacturing facility will be operational from September 2024. We have initiated journey
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towards backward integration of critical components, exploring new revenues for organic and

inorganic growth. Our revenue targets for current fiscal year remains steadfast. Furthermore, we are proud to have received an Operational Excellence Award from Power Grid and to have successfully exported 220 MVA Electric Arc Furnace transformer, one of the largest ratings ever manufactured globally. Once again, thank you all for your participation and support. We look forward to your continued partnership as we progress into the next phase of our growth journey.

With this, I conclude my remarks and now I would like to hand over the call to our CFO, Mr.

Chanchal Rajora for his comments on "Financial Parameters".

Chanchal Rajora: Thank you, MD sir, for providing an overview on the current quarter as well as the year ahead.

I would now like to

share some key Financial Highlights with your esteemed shareholders.

The shareholders, I am pleased to present the accomplishment of our Company for the 1st Quarter of FY25, which has been one of our strongest 1st Quarter in recent past years marked by the substantial growth in the revenue and profitability.

Financial Highlights:

In Quarter 1, our standalone revenue reaches Rs. 311 crore reflecting an impressive year-on-year increase of 103%. We achieved an EBITDA of Rs. 42.53 crore, a significant rise of 633% year-on-year basis with our EBITDA margin of 13.65%. Our profit after tax stood at Rs. 18.41 crores showing a robust increase of 268 year-on-year with a PAT margin of 5.83. Our consolidated revenue reaches to Rs. 322 crores reflecting an impressive year-on-year increase of 107%. We achieved an EBITDA of Rs. 46.22 crores, a significant rise of 650% year-on-year basis with an EBITDA margin of 14.35% at consolidated books level. Our profit after tax stood at Rs. 20.87 crores showing a robust increase of 271% on year-on-year basis with a PAT margin of 6.4% on the consolidated books. During the quarter, we secured the orders for totaling Rs. 698 crores highlighting our strong momentum in order inflow. As of June 30th, 2024 our unexecuted order book states Rs. 2,926 crores. We are delighted to announce the significant achievement for our organization as they successfully raised Rs. 500 crores through a qualified institutional placement in just 3 weeks' time, marking a historic milestone in the Indian market. This accomplishment not only underscores the strength of our business fundamentals, but also reflects robust investor confidence in our vision and growth prospects.

The unprecedented speed with which we completed the QIP highlights our efficiency and ability in a navigating financial market, further solidifying our position as a leader in the industry.

Throughout FY25, we are placed significant emphasis on the people management and upskill initiatives, acknowledging the pivot role of our workforce in our successes. We are focused on enhancing technical skills for forecasting leadership readiness and improving overall competitiveness across our manufacturing, sales and engineering division.

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Looking forward, we are optimizing about our prospects for FY25 anticipating enhancement across various financial metrics. Our strategies are centered on achieving a streamline balance sheet by reducing debtors and optimizing inventory management. Our ultimate aim is to transform into a debt-free Company in the near future, supported by the clear and actionable plan already underway. In conclusion, we are all well positioned to capitalize the opportunity within India's evolving energy sector with robust corporate governance, advanced technology, superior products and dedicated team. We are confident in our plan towards sustainable and profitable growth.

I extend my full gratitude to our customer, the board and management and particularly to our committed employees for their unwavering dedication and support. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead, sir.

Mohit Kumar: Can you just talk about the opportunity landscape; the break-up of Rs. 178 billion orders under negotiation? Is it possible to break this into power transformer and distribution transformers and any timelines when you expect this order to get finalized?

Satyen Mamtora: So, most of this would be, let's say, 95% of this would be in power transformer and solar transformers remaining 5% would be distribution transformers.

Mohit Kumar: And is it fair to say that we are talking mostly about Interstate transmission system in India?

Satyen Mamtora: Yes, we are talking mostly about Interstate transmissio

n systems in India.

Mohit Kumar: My second question is can you talk about the reactors order book? It has grown massively in last 2-3 years. Is it primarily for high voltage and any color on the competition on the reactors will be very helpful.

Satyen Mamtora: See, as far as the reactors are concerned, there are very few players, 5 or 6 players are there in the game who are manufacturing these and who have the technology for manufacturing reactors. Reactor is going to go primarily because of the renewable energy which creates lot of harmonics

and then you know it's to be filtered and then it will disturb the grids, to stabilize the grid you need the reactor. So, it is now just like if I see the recent orders, with one transformer there are about two to three reactors, something like that so requirement of reactor is increasing like anything and it is also, they are intending to increase the capacity of the reactors much above the today's limit of 110 MVR 775 kV transformers and 125 MVR Three Phase 400 kV transformers.

They are going to increase it, to improve the efficiency and to also reduce the cost; overall cost of that reactor.

Mohit Kumar: So, is it fair to say that the reactors should itself be around Rs. 7,000 crores - Rs. 8,000 crores per year market or do you think they are much smaller from market perspective?

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Satyen Mamtara: It will be something like that.

Mohit Kumar: Understood. My last question, when we expect to see your IDT transformer booking starting. Is it fair to say that we can see some amount of booking in Q2 or Q3?

Satyen Mamtara: We are forced to accept some orders from some of our valued customers. We can't deny them.

But we are going to automatize the production of the IDT transformer, not only to reduce the cost but also to improve the operating efficiency so that we can deliver something like 100

transformers per month. This is our ultimate goal and we are getting ready for that we have. We

have ordered the machineries; we have started the construction for the new bay. It's going to be exclusive bay for manufacturing IDTs for the solar plants. Smaller Transformers approved 15

or 16 or 18 MVA. And besides that some special transformers will also be produced in that which matches, see the compulsion will the restriction of the crane and the height of the crane.

So, whatever we can do in that, we will do it which includes the transformers like rectifier

transformers. And also for the upcoming hydrogen projects for which we have started getting the inquiry, we have manufactured the one for GE USA and we have supplied to them. So, many

more orders are going to come from there. The total requirement is something like 2,300 transformers in a year or just only for hydrogen projects, what you say electrolyzers? So,

electrolyzer, rectifier and transformer. We'll be supplying only the transformer, rectifier part will

be supplied by somebody else and electrolyzer will be their own make or maybe they may

outsource them, like they outsource rectifier and transformers. This is the main.

Mohit Kumar: Are you expecting something like 30-40 GVA of IDT market in India for the next couple of years? Is it fair to assume that?

Satyen Mamtara: Very frankly speaking, we have not really worked on that. But there are ample of business like we were talking to Adani, they need about 1,000 transformers in a year. Similarly, companies

like ReNew, companies like Acme also require that and recently Avaada also they require

something like 700-800 transformers. Each transformer will be costing around, if I am not mistaken about Rs. 1.2 crores. So, it's a huge opportunity, it is only based on how reliable you

are and how quickly you deliver because everything is based on your delivery time. So, we are trying to set up the plant for manufacturing 100 transformers in a month. So, that means about

100 transfo

rmers in a month, 1200 transformers in a year. So, almost 4 transformers a day. So, we can easily do that. We have done that in the past with Adani, so we can do that. It's not a big thing.

Moderator: Thank you. The next question is from the line of Ganesh Ram from Unifi Capital. Please go ahead.

Ganesh Ram: So, just if you could help us understand in connection to the previous question, those are IDT, the capacity that's coming, I think you mentioned in September 2024 like what's the competitive landscape like for this particular product? And then do we see any impact on the margins on the positive or downside? Maybe that's the first question.

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Satyen Mamtara: So, the new plant will be operational by we start producing transformers from the new plant in December 2024 quarter. And there are also competitors there, but with the kind of situation everybody is either booked or they have enough to supply the transformer so that there is no such undercutting for the price on the transformer.

Ganesh Ram: Got it. And just to sort of understand how you know the realizations and margins compared to our existing product mix.

Satyen Mamtara: The realization will be very similar to the current product mix. There should not be any change, positive or negative towards the realization of this on this new transformer that we are manufacturing.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: My question is firstly, just clarifying on the guidance. If I remember correctly, I think your

previous guidance for FY25 was sales of Rs. 2000 crores for full year and around 14% EBITDA margins. Are you still maintaining the same values?

Chanchal Rajora: Subhadip, if you just heard our opening comment of Satyen sir, he has clearly mentioned that our renewal guidelines remain the same. So, Rs. 2000 crores is quite achievable and we are working on that and EBITDA margin will definitely will be on your expectations.

Subhadip Mitra: And similarly if one is to take a view 2 to 3 years down, what kind of, let's say, revenue growth over the 2-year period and let's say target margins over a 2-3 year period would you be looking to target or achieve?

Chanchal Rajora: Subhadip, next 3 years we are well posed to reach Rs. 4500 crores to Rs. 5000 crores numbers on a standalone basis with the EBITDA beta levels or somewhere 16% to 17% levels. And we also see a better growth in our consolidation books in terms of the numbers because of the backward integration and backward executions what we are doing.

Subhadip Mitra: Understood. If you could also help us with an up date on the acquisitions that you were targeting to do as well as the backward integration?

Chanchal Rajora: Subhadip, we have raised the QIP in last month and there are certain objects we have mentioned in our PD and we are working on that directions and I'll make you sure that the funds will be utilized only for those purpose and soon we will be starting working on those directions. We already started working on the backward integration side on the fabrication unit as one of the largest fabrication unit we are working on that, work has started on that part. On other side, we are working on that and when the right time will come, we will definitely announce that.

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Subhadip Mitra: Understood. And lastly, I think sir mentioned that we are looking to have the new facility having the ability to manufacture a large number of transformers on a monthly basis. So, that is going to come from the new factory which is expected by December 24?

Satyen Mamtara: We are expanding our Changodar plant. So, December 2024, Changodar plant is being expanded to include solar transformers and green hydrogen transformers.

Subhadip Mitra: Understood and the

ability to do 100 transformers in a year that will be...

Satyen Mamtara: Yes, this new facility what we are making in Changodar, you last month may visit actually you would have seen by yourself the progress there. So, we are expecting somewhere between 12,000 to 15,000 MVA yearly basis from there. So, as the Chairman sir just guided that 100 transformer of 15 MVA range will not be a big thing from here.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: So, my first question is that so there are some news articles stating that Rs. 44,000 crores of transmission projects are getting delayed by PGCIL and there are like 18 projects getting delayed by 32 months and 8 projects getting delayed by 12 months or so. So, what's your sense on the delay because that might delay the execution though it's the need of the hour and demand for transformers really good in the industry. So, is there any delay in the execution on the transmission side and how can it impact us in terms of execution if you can guide?

Satyen Mamtara: See, this is the report which we have read today in the paper about the trouble they are facing for executing the entire project as they have promised because of the availability of the fund.

But I think with PGCIL, there are other private players also like Adani and Tata Power and Sterlite, so they will be pushing in to get these orders. Now so far, whatever orders have been placed are mainly from the orders which you have received are mainly from Power Grid. Now, I don't know, why they are of the opinion that they may stole some of the project. But I don't see that kind of the feeling which we get from them, they are even now trying to get into 1100 or 1200 kV AC lines H2 or 3 of the 765 kV lines they will be converting to or 400 kV lines they will be converting to 1150 kV lines and their code for the meeting of the stakeholders to see their response, whether they will be ready with this. So, our person was the same thing, that if there is not enough order investing for 1200 kV transformer separately will be a big challenge. But we need some clarification from them. How much transformer they are going to require and on the basis of that, people will come out with the facility because it is to be manufactured in the same facility, but they are going to be much larger transformers than what they are buying today.

It will be a bank of 3000 MVA, single bank as against today, what they have is 1500 MVA. So, 1500 MVA to 3000 MVA is a big jump, but the problems will be faced in transportation also because each transformer will be weighing something like 425 to 450 tons. So, transportation well that the bridges which are built are in a position to take that load over there will have to

have a separate route for that, something like that. So, these are the challenges, but this is going to come by 2027. That is what they are expecting. So, I don't think there will be a slowdown as

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mentioned in the paper today, the small news which has come, I don't know why, but we are not getting any feeling like that from Power Grid. On the contrary, we are having meetings with them every weekly on our dispatches and how we are going to meet their targets. So, in fact they are pushing us to do more. So, which is on the contrary what is being said in the newspaper today.

Gunjan Kabra: So, you think there is not much delay in terms of not only PGCIL sir, but other ways also on the transmission side because there are lot of external factors also for them to get it executed. So, is there anything where we are not only from their side but on the other front also might be a delay in execution or are we on track because?

Satyen Mamtara: We are very much on track.

Chanchal Rajora: Gunjan, there is one more thing I want to add that a week back, if you have

seen the news article

where the central government has basically instructed power utilities to enhance their CAPEX on the T&D sides.

Gunjan Kabra: So, the enhancement CAPEX guideline is already there and there is going to be a huge demand, but that is there. I am not denying that. But just on the execution front, because you are into this business day in day out, so you might know a little more, a little better than what all of us know, so just wanted to gain an insight because this is the need of the hour that's there. I mean, because generation is happening, transmission has to be there. So, my second question is what is your strategy in terms of the export market comparatively, because there are high numbers on the transmission side of what the US, Europe and Africa going to spend on the transmission. So, what is our strategy going forward for the exports and I guess comparatively margins are also a little higher and we have got some approval. So, how are we seeing the export markets going forward?

Chanchal Rajora: Gunjan, if you have been tracking our earning calls and investor calls, our investor interaction, we have been always guiding about the export strategy that how we are focusing on the export market. Also, we have mentioned in our various calls that we have a target of reaching 25% of order book by end of FY26. And we are working on that directions. We have our full time employee based out of you can say Europe, we have our agents across the countries and we are increasing our footprints and we have significantly actually enhanced our export team. So, we are working on that direction, but in the same time, we don't want to lose our Indian customers or Indian opportunities just in order to have the export market which will give the room to the other people to enter where we are strong. So, we are balancing and working on both the sides and as guided that FY26, you will see 25% of our entire order will be from the export side.

Gunjan Kabra: Okay, got it. So, the third question is when we talk about we are getting backward integrated like into tank radiators and bushings and core CRGO, what kind of EBITDA margin like how much of that supply is right now captive use, are we sufficient in terms of our capacities? But though we are enhancing it as well, so likewise if I see a power transformer Company

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manufacturing transformers plus with you guys manufacturing with backward integration. So, what kind of margins can we see because tanks and all are also 8%-10% EBITDA margin business. So, what kind of margin expansion or maybe likewise what is the difference that we can see if we compare two players with backward integration and not backward integrated?

Satyen Mamtara: See there is a misconnect there. Today, if you see the EBIT margins with the tank manufacturers, it is more than 25%. It's huge because there is no availability of tanks in spite of so much of requirement of the tank. So, everybody is struggling to get the tanks at whatever price the tank which we are getting at Rs. 110 today is costing me Rs. 160. And if I go for export of those tanks, it will be more than Rs. 350 a kilo taking into account 20% as the transportation cost from here to America, still you will make a huge profit. So, the plant which we are thinking about or which plant we intend to have is going to be more of automatic, with less manpower, and it is going to be the largest plant in the world for tank manufacturing. It's going to be largest and I mean it. So, there are no such facilities to have such a huge capacity plant for manufacturing transformer tanks.

Gunjan Kabra: And sir 17,500 is the order inquiry pipeline that we have? So, what part of that can be addressed in FY25 in terms of tenders, any idea on that?

Chanchal Rajora: Gunjan, look the inquiries, order generations is a continuous process of business

and inquiries

that keep coming and getting materialized on the order side. So, it's a continuous process to us and as you see that every year we are increasing our order book significantly, right. There is a robust increase as compared to the FY23 to FY24 and it is going to be the significant increase in the FY25 order book also. So, I can't tell you that how much percentage and all this that, but we are working on the guided guidelines and where we want to reach to the 3 years down the

line. Just to add up some of your questions about the backward integration, the backward integration is going to add at least 100 bps in my standalone books on the EBITDA margin levels.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Sir, good evening and congratulations for a decent set of numbers. Sir in this quarter, we have seen some slowdown on a Q-o-Q basis. So, were there any factors which led to that because we were thinking that because the buying and the demand has been very strong, so you will be continuously sort of fulfilling and booking the orders also in this quarter as well?

Chanchal Rajora: Sarvesh basically, it's not this slow down. It is basically the deliverables right. There are the certain numbers we have to deliver at a certain time periods. So, this numbers are what we are based on that and there is a slightly, you can say that crunch on that because there was a small delay into the CRGO supplies because of the BIS restrictions by the Government of India sites.

But by and large, basically our revenues are now depending on the deliverables in every month

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and we are working on those directions that whatever is the marketing required, the numbers to be delivered in monthly basis, we will deliver on those lines.

Sarvesh Gupta: Did you see any impact of the elections on the deliverables in this quarter?

Satyen Mamtara: No. There is no impact.

Chanchal Rajora: It's Quarter 1 is always like this, Sarvesh.

Sarvesh Gupta: And this Rs. 4500 crores to Rs. 5000 crore in standalone revenue that you expect, this is FY28 sort of a number, right?

Chanchal Rajora: By FY27, it is 3 years.

Sarvesh Gupta: Within the next 3 years, so 2000 and then 2000 should become like Rs. 4500 crores in FY27.

Chanchal Rajora: Yes, sir.

Sarvesh Gupta: And what is the expected order inflow sort of a guidance for this year?

Chanchal Rajora: Sarvesh, as and when the order comes, we keep basically announcing that, right? Yes. But we will be having much higher order book what we had in March 31st.

Sarvesh Gupta: From a constrained perspective, like of course there's a lot of demand and I think as you rightly said, customers like Power Grid are also pushing you to sort of do more. So, what are the constraints that we are seeing currently in terms of fulfilling the demand and how do we?

Satyen Mamtara: Currently, there are some regulations and see transformer industry had built up over the last 10 years, but unfortunately the raw material suppliers could not build up on that. And with the sudden increase in raw material and with some restrictions from the Government of India, we

are facing a little problem in attaining the raw materials which is being sorted out as we speak.

Sarvesh Gupta: Raw material and the pricing of the raw material would be one thing. But in terms of other things like building a new facility, are you seeing any constraint in terms of procuring because the timelines for those machineries might also go up, given that a lot of players are planning to ramp up at the same time?

Chanchal Rajora: That is all lined up, so there are no issues there. We have commitment from them and they are genuine suppliers, so we don't worry about it.

Satyen Mamtara: So, when we are saying that December 2024 that our plant will be functional. It

is because we

know that our machines will be delivered by November 2024.

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Sarvesh Gupta: And sir, finally, if I may ask one more question, so earlier and now I think for the same level of revenues also we are doing much better margins. So, is it because the pricings have gone up or something else which is sort of playing because there is too much demand, so the transformer?

Satyen Mamtara: The pricing has gone up as well as because of operational expenses that we are working on both are building in the factor on the profitability.

Sarvesh Gupta: But mainly, it would be like because earlier when we used to do Rs. 300 crores, we used to get like 7%-8% margin. Now we are getting 12%-13%-14% margin in the same sort of scale. So, what is the primary contributor here, sir?

Chanchal Rajora: Sarvesh, to understand it, we need to understand the customer mix what we had and what are the opportunities were existing at that time. They were very limited opportunity existing in the transformer industry in 2 years or 3 years down the line whereas the opportunities are immense and the customer network and customer base is different. So, this earlier this week, the majority

of the customers over the state utilities and top of that the suppliers were more so the cut-throat

competition was there and as the few minutes back the MD sir has stated that there is ample demand for everybody. So, there is no dearth of the orders, so nobody is going and cutting the

pricing flavors, right. So, the prices have a better up in last 1 year and 1.5 years' time as well as the operational efficiency also

has increased in our organization, and both are contributing on that point. If my MVA production increases, definitely my operational efficiency increases and my margins are increasing. So, these two factors are combined contributing in this.

Sarvesh Gupta: And now that many of the producers are also sort of exporting, up to, let us say 20%-25% of their topline. So, now given that there is a lot of demand in the domestic segment itself, but of course the export I would say would be more lucrative in terms of margins, but do we feel a risk of a government intervention in terms of our export because the domestic demand might get somewhat delayed because everyone wants to export much more because margins are higher there?

Chanchal Rajora: Sarvesh, well understood it, to understand that the product which are getting exposed and product which are basically required in India at the moment are not on the same line. Majority of the product which are getting exports are either the special duty transformers or the solar IDT transformers, whereas in India requires more of the high voltage power transformers. So, we don't see any such kind of intervention from the government. And also if you just noted when I was replying to Gunjan, I said very categorically clear that we are not running for the exports. We will be basically allocating our additional quantities to the export market. So, these things, we don't see that it is coming into the picture.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

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Shrinidhi Karlekar: Sir, just wanted to know, do you guys manufacture traction transformer and are you guys seeing opportunity coming from the Vande Bharat trainset traction transformer?

Satyen Mamtara: We are working on certain projects, the STATCO M Transformers that currently we got orders for are for the Vande Bharat trains.

Shrinidhi Karlekar: And the same the traction transformer?

Jitendra Mamtara: There are two types of traction transfer. One is what we say, trackside transformers and one is which are used in the engine itself. So, we are not into the transformers which are used in the engine. We are on the trackside transformers. Trackside transformer also they have now come out with special transformer Scott connected transformer where they change the line or they convert the line, three phase line to single phase line to supply to the railways and when you have a three phase transformer like that three phase, single phase, two phase transformer, it decreases the transition line cost for the railways. So, there are major advantages and then the balance is in such a way that not a single line is overloaded. Because it is all trackside transformer, so the supply required by the railway trains is single phase, so you have to have a single phase line and it will run only single phase line, there will be a chaos in the system. So, they have a three phase to two phase line which supplies power to the engine, so to the railways. So, we are into trackside transformers, we are also into Scott connected transformers and now as Satyen said, we got the order for STATCOM transformer which stabilizes the line. They are mainly used for stabilization of the line, so that unequal voltages reduces and no disturbances in the system.

Shrinidhi Karlekar: And sir, the STATCOM transformer that goes in to grade application. Are you present in that market?

Satyen Mamtara: Yes, we are very present.

Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: I just want to understand we also deal with global peers like GE, Hitachi etc., right, probably we have made supplies to them both in India and maybe globally. In FY24, can you broadly share what percentage of our sales comes from supplies to some of the global peers?

Chanchal Rajora: Amit, I would basically request you to go through our FY24 investor presentation, so you will get all the details in that sir, broadly which is available on the stock market and our website.

Amit Mahawar: Second question, sir is on the export opportunity, now globally China used to be one of the largest suppliers to the West, almost 5 billion USD at the peak exports of Chinese Transformers globally, which is not the case right now, they don't get proper reception audience on the Western grids because of various issues including security. So, what is the total opportunity for the

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domestic transmission equipment players, if I right now foresee particularly from maybe developed markets if you have that assessment, sir?

Chanchal Rajora: So, Amit, we would be doing around 25% of our turnover in exports and not beyond that and there are enough opportunities that we are looking at in terms of export in Europe and in US, so pretty much 25% is achievable.

Amit Mahawar: So, you are saying broadly in three years' time around Rs. 1,000 crores is what you are looking at?

Chanchal Rajora: Amit, if you want to understand more about the global market scenario, anytime you can connect me, I can guide you on that.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Sir, I wanted to understand about this Scott transformer. Sir, is this kind of a onetime event that the railway is undertaking and what kind of total market, what is the term for this product?

Chanchal Rajora: Nikhil, see there are increasing the speed of the trains. So, whatever are the Transformers beside the new tracks they are building, they need to change the transformer, because with the existing transformer which are smaller in size, which were taking care of average speed of the train to be 70-80, now we are talking about average speed of 120 to 140. So, these transformers are to be replaced immediately. So, the railway is in short supply for the transformer, they are looking for the good vendors and they are doing everything to ensure that their program for electrifying the lines or increasing

the speed of the train does not hamper, so they are in a big way into this. And we are getting the opportunities every now and then from the railways for this. Besides that, metros, just look at the metros. Metros are coming up everywhere and they are expanding so much, like almost like 80% of the transformers used by metros in Delhi are ours, Ahmedabad is 100% ours, Cochin 100% ours, Goa is ours, so we have been established as a major player in the transformer also for the metros. They are similar to what you require for the trains. They are a little smaller, but they are almost the same.

Satyen Mamtara: And Nikhil, seeing the size of railway, one time opportunity railway will be how large you can analyze yourself even if it is there.

Nikhil Abhyankar: Sir, we did some math and we came out with an opportunity of somewhere around Rs. 5,000 crores. So, is that fair or will it be higher than that?

Satyen Mamtara: We will be not able to answer you this question. The Railway Ministry can give you this answer.

Nikhil Abhyankar: And just to understand the market for the solar renewable, so is it fair to assume that 1 GW of say solar we will require 1 GVA of IDT transformers? Will it be more or less?

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Satyen Mamtara: It will be more than that. What happens is IDT maybe 1 GV, but 1 GV you require for exiting the power to the grid. So, for 1 GV of power, you require 2 GV of transformer, minimum. It will be still more than that because they don't want to have any outage during the operation. So, they prefer to have little, larger transformer than they require.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Sir, I wanted to know what would be the CAPEX for this year for the expansion you are doing in the Changodar and as you have given now the guidance for next two years, the revenue should reach to almost Rs. 4,000 crores, what is our CAPEX guidance for FY25-26 also?

Chanchal Rajora: Mayank, for the current year CAPEX guidance, we have already given in our QIB documents, you can go through that and you can get these details from that. And for FY25-26, we don't see any capacity requirement as of now. It is pretty early for that.

Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: Just really wanted to get a sense of the inquiry pipeline of 175 billion, like if I could maybe get a break up on a sectoral level, what is the opportunity size that we would be looking from the solar and the green hydrogen transformer that we are going to be manufacturing going ahead?

So, just the market size, if any fair understanding of that?

Satyen Mamtara: Chinmay, currently we have only taken a few orders from select few customers of ours who have been very loyal to us, but among this Rs. 17,500 cores order inquiries, none of them are from solar. Solar, we will only start going after the first half. We will start going to people only after the first half. Once we are towards the fully functional plant, we start quoting to customers for solar transformers. So, you can expect after September, we will start quoting for solar transformers from our inquiries that there is nothing in solar.

Moderator: Thank you. The next question is from the line of Abhijeet from ICICI Securities. Please go ahead.

Abhijeet: Just one question from my end. What is the size of the order that we received for the STATCOM single phase? Could you please quantify that?

Chanchal Rajora: That is close to about Rs. 198 crores, if I am not wrong, just give me a moment. So, I think it should be around Rs. 200 crores, somewhere around Rs. 200 crores.

Abhijeet: So, about a crore per MVA?

Chanchal Rajora: Yes.

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Abhijeet: And sir, what would be the proportion of traction transformer business in our order book at the end of Q1?

Chanchal Rajora: Q1, there is nothing that we have manufactured for traction transformers.

Abhijeet: Sir, part of the order book like the entire order book out of that?

Chanchal Rajora: Around 5% to 7%.

Moderator: Thank you. The next question is from the line of Ria B from VA Securities. Please go ahead.

Ria B: Sir, the new capacity that you are adding in September 24 and December 2024, what would be the revenue contribution from each of these facilities?

Chanchal Rajora: First of all, this is September and December. Basically, it is the one capacity expansion which is basically coming by December as of now, right and this is for 12,000 MVA addition for the entire year and we are expecting close to Rs. 1,000 crores addition once it is fully function and fully operational.

Ria B: And you will expect it to be fully operational and by what is the timeline on that?

Chanchal Rajora: From the December onwards, it will be available for the production and adjust and as MD sir has mentioned that from September onwards, we will start taking the order booking for these IDT transformers.

Moderator: Thank you. We will take this as the last question. I would now like to hand the conference to Mr. Subhadip Mitra for closing comments. Over to you, sir.

Subhadip Mitra: Thank you. On behalf of Nuvama Institutional Equities, I would like to thank the Management for giving us this opportunity to host the call. Any closing comments from your side, sir. Over to you.

Satyen Mamtara: Thank you to each and every one of you for being part of the Earnings Call and participating in the call. We appreciate your support and trust in us. We hope we have been able to address most of your queries. In case of any further queries that you may have, you may reach out to our investor relation advisor and they will connect you with Chanchal. Have a great weekend. Thank you.

Moderator: Thank you. On behalf of Transformers & Rectifiers India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

Date: 10th October, 2024

Ref: TARIL/SECT/2024-25/NSE-BSE/COMPL/71

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TARIL

Dear Sir/Madam, Sub: Transcript of Earning Conference Call held on 08th October, 2024

In terms of Regulation 30 and 46 read with Clause 15 of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 08th October, 2024.

Further, in terms of Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the aforesaid Transcript of the Earning Conference Call is also uploaded on the website of the Company (www.transformerindia.com).

Please take the same on your record.
Thanking you,
Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

Encl.: As above

TARIL is one of the leading manufacturers of a wide range of transformers globally. Today TARIL is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). TARIL is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.
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"Transformers & Rectifiers India Limited
Q2 FY'25 Earnings Conference Call"
October 08, 2024

MANAGEMENT : M R. JITENDRA MAMTORA – CHAIRMAN –
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER
AND ADVISOR TO THE BOARD – TRANSFORMERS &

RECTIFIERS INDIA LIMITED

MODERATOR : M R. SUBHADIP MITRA – NUVAMA INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Transformers and Rectifiers India Limited Q2 FY '25 Earnings Conference Call hosted. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Subhadip Mitra from Nuvama Institutional Equities.

Thank you. And over to you sir.

Subhadip Mitra: Thank you. Good afternoon, friends. On behalf of Nuvama Institutional Equities, welcoming you all to today's interaction with the top management of Transformers and Rectifiers India Limited. We have with us today, Mr. Jitendra Mamtara, the Chairman and Mr. Chanchal Rajora, CFO and Advisor to the Board.

I would now like to hand over the call to the management for their opening comments before we do the Q&A session. Over to you sir.

Jitendra Mamtara: Good afternoon, ladies and gentlemen. Thank you all for joining us on Earning Conference Call.

We are delighted to have you here as we discuss our company's performance over the past quarter and first half. Following our Board Meeting earlier today, we have promptly released our financial results and investor presentation on the Stock Exchange. We are pleased to let you

know that we have a total order book of INR3,500 crores as on September 30, 2024, out of which about INR1,700 crores of orders which has flown in in the last quarter.

Looking ahead to the remainder of fiscal year 2025, we have successfully navigated through phases of stabilization, turnaround and growth. We are now focused on consolidation, expansion and achieving sustainable profitability. We have implemented strategic growth initiatives across the organizations which are already reflecting positivity in our performance. Our revenue targets for the year remain unchanged. We extend our sincere gratitude to each participant for joining our earning call and for your continued support and trust. We hope we have addressed your queries satisfactory.

Moving forward, we are excited about the upcoming milestones. The first phase of new capacity addition of 15,000 MVA will start for commercial production from January 2025. Trial run for fully automated radiator manufacturing facility up to 765 kV has already started. First phase of fabrication unit will be operational from March 2025 or little later, but not later than June 2025.

We target to be 100% record integrated organization by quarter one, '25-'26.

Depreciation for organic and inorganic growth, revenues are at a very advanced stage.

Furthermore, the visit to Europe last month focused on an increase in export share by more than 25%, strategic tie ups for creating synergies are expected with global giants in the field of renewable oil and gas, as well as special application rectifier transformers.

In addition to this, we are proud to have received the order of 420 kV Three-phase reactor with synthetic organic insulating fluid from power grid, another order for an electrical arc furnace for 175 MVA from Arcelor Mittal, Mexico. This is our first large transformer to Mittal Group for arc furnace, and the two other orders for the arc furnaces are going to follow. They are in the

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pipeline. I recently visited them and appraised them of our capacity and our new expansion plans. They are happy with that, and as I said earlier, the two other arc furnace transformers are in the pipeline beside the auxiliary transformers and large power transformers.

Once again, thank you all for your participation and support. We look forward to your continued partnership

as we progress into the next phase of our growth journey. I would now like to hand over the call, the mic to our CFO Mr. Chanchal.

Chanchal Rajora: Thank you, Chairman sir, for providing an overview of the current quarter and the first half of the year. I would like to share some key financial highlights to our esteemed shareholders. Before that, I would like to tell all of you that at this time again we are the first company to declare the result in the record time of the seven days for this quarter and the first half. This is continuously second time we have been doing this thing.

Dear shareholders, I am pleased to present the accomplishment of our company for the second quarter and the first half of FY '25, which has been one of our strongest quarters in the past decades, marked by sustainable growth and revenue profitability. Financial highlights; in Q2 FY '25, our standalone revenue reaches to INR457 crores, an impressive increase of 75% Y-to-Y and H1 figure stretched to INR773 crores, a milestone achievement with an increase of 86% compared to the H1 last year. We achieved EBITDA of INR76 crores for quarter two, a significant rise of 236% year-on-year basis, and H1 EBITDA strength at INR118 crores, increase of 348% Y-to-Y, with an operational EBITDA margin of 16.53% for quarter three and 15.28% for H1. Our profit after tax for quarter two stood at INR42.18 crores, showing a robust increase of 1,272% year-on-year basis with a PAT margin of 9.22%. During this quarter, we secured order to tallying INR1,031 crores and total order worth INR1,729 crores for the H1, highlighting our strong momentum and strong inflows. As of September 30th, 2024, our unexecuted order books stand to INR3,500 crores which will be executed in next 18 months' time. Our revenue target for the current financial year remains intact as informed by Chairman sir also, and our journey towards the US \$1 billion in the next three financial year has already started. Throughout FY '24, we have placed significant emphasis on the people, management and upskilling initiatives, acknowledging the private role of our workforce in our sustained success.

We are focused on enhancing technical skills, fostering leadership readiness and improving overall competence across our manufacturing, sales and engineering division. Our strategic recruitments in key areas such as engineering, sales and digital domains has been aligned with our business objectives. Looking forward, we are optimistic about our prospects for FY '25, anticipating enhancement across various financial metrics. Our strategies are centered on achieving a seamless balance sheet by reducing debtors and optimizing inventory management. Our ultimate aim is to transform into a debt free company in the near future, supported by clear and actionable plans already underway.

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In conclusion, we are well positioned to capitalize on the opportunities within India and outside India, evolving energy sector and other sectors. With robust corporate governance, advanced technology, superior products and dedicated team, we are confident in our path towards sustainable and profitable growth. I extend my heartfelt gratitude to our customers, the board, management, unions and particularly to our committed employees for their unwavering dedication and support. Together, let us continue to cultivate a promising future. Thank you very much. Subhadip, we can have a floor for the questions please.

Subhadip Mitra: Sure sir. please open it for Q&A.

Moderator: Sure sir. Thank you very much. The first question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: Thank you so much for taking my question. I'd like to ask a couple of questions on the finances. First one being that we've seen an unusually high other income this quarter. It's generally twice of what we see for the whole year. So, one, why is that? And two, how much it will be sustainable on a full year basis? And secondly, we see the margins for last quarter are same. So is there little room for improvement?

Chanchal Rajora: Nidhi, first question, I could able to hear you properly. Second question, I did not hear. The first question reply is that the increase into this is because of the QIP funds, what we have received is placed into the liquidity fund till we utilize it. So we have received the revenue on account of that. So that is the reason of rise into this income. And as far as sustainability of this is concerned, we are not much focused on the other revenues. We are more focused on the operational revenues, and where we are full confident that this is going to be increased and on sustainable manner, on quarter to quarter and year to year. Can you please repeat your second question?

Nidhi Shah: Yes, my second question was on the margin. Now we've seen that for the last two quarters we have seen 70% EBITDA margin. If you take out the other income, is this our target margin or are we hoping to improve margin beyond this?

Chanchal Rajora: We are hoping to improve it. This is not our target margin. Our destination is something else.

Nidhi Shah: And then what are we aiming for the full year in terms of margins?

Chanchal Rajora: In terms of the margin, we should be remaining to the same line in the full years.

Nidhi Shah: Okay. All right. And my absolute last question would be what percentage of our order book is currently exports?

Chanchal Rajora: It is around 10%.

Nidhi Shah: All right, thank you so much.

Moderator: Thank you. The next question is from the line of Ganeshram from Unifi Capital. Please go ahead.

Ganeshram: Yes, thank you for taking my question. The first question is just on the export side, right? So, I know we're targeting 25% like 2026 from the export side. What I'm trying to understand is what

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are the markets that we're trying to secure? What the go to market strategy is, and who our competitors are? And what is sort of the edge that we have? That's the first question.

Jitendra Mamtora: Ganeshram see, the competitors are all the multinational companies and from India, if you say for export, it is -- Toshiba is playing a major role in the exports. They do a lot of exports. Their export is to the tune of INR1,000 crores plus, but mainly into distribution transformers. They are not much into power transformers as far as the export is concerned. So their revenue comes from the transformers for distribution transformers and also for the transformers for the solar parts. So, they are the major competitor from here. And we are targeting the market, Europe market, African market and also the American market.

Ganeshram: Got it. Please go ahead.

Chanchal Rajora: Ganeshram, to add up what Chairman sir has told you just now, our target on the export size is more into the special duty transformers which are our expertise. Like just now in his speech, Chairman sir has explained you about the electric arc furnace, transformers from Arcelor Mittal.

So, these kind of the transformers we are targeting more because we have the expertise on that, and we are the only company who is making these transformers as of now in India.

Ganeshram: Okay. All right. So, I understood the picture in terms of a domestic competition, but overseas, the edge that you're providing is more on the cost lines or is there also knowhow involved, right.

And if it's mainly on the cost lines, what would be the differential between us and the global peers? You know, something manufactured out of India.

Jitendra Mamtora: Ganeshram, at the moment, it is not the price, it is technology, we have the technology. Technology is not an issue. Issue is the delivery. You know, so most of the overseas players are occupied for next two and half to three

years. So delivery plays a major role. And the importance

will be given to the one beside -- price they will not be considering because if I give them the transformer earlier, they will accept my higher price also.

So there is no competition as such today, it is your capacity to deliver to them in time. That is what it is. So as such, if you ask me, there is no competition. Everybody in the world is fully booked. I don't know about China, but if you look at the European manufacturer, the manufacturer from Turkey, manufacturer from Russia. Russia is, I mean, they are isolated, but otherwise also they are busy supplying to their local requirement.

And then Americana manufacturers, they are booked for another three years or more. So now they are talking about the delivery in the year 2029. So if you just say there is no competition price wise, there is no competition. We are qualified up to 765 kV transformer with our references. So it is only going to be our capacity to manufacture and deliver them in time.

Ganeshram: Understood sir. Okay, that's helpful. So going forward, how are the working capital terms on these exports, right, because considering the shipping angle that you have to export, do we recognize revenue once it reaches the customer or how does that work? And are there any offsets in terms of what we ask from our customers compared to our domestic side of the business?

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Chanchal Rajora: Ganeshram, as far as working capital side or payment terms is concerned, we have already taken quite a large of initiatives and we are slowly, slowly converting all of our customers into the LC customers, which will help us for the working capital size. As Chairman sir just explained you right now, the pricing is not a constraint, constraint is the timeline. And to meet out the timeline, even the customers doesn't mind to give us the advance also if required, particularly the companies like us. So this is not going to be any challenge in future.

Ganeshram: Understood. That's helpful. Maybe I'll keep it to the last question then, just on the new capacity.

I think now we're expecting to start it in January, earlier December, right. So was there, I mean, was it because the equipment didn't reach in time or anything? And was it part of the guidance that we are trying to consider for the full year?

Chanchal Rajora: It is because of the heavy rains in Gujarat.

Ganeshram: Okay. Understood. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Tanay Rasal from Nomura. Please go ahead.

Tanay Rasal: Hello, sir. Thank you for the opportunity. Sir as you mentioned that the capacity has been booked, all over the world. So on the supply -- I wanted to know about the supply chain constraint. Okay, we are reading that, there are some constraint on the CRGO tank as well as, certain types of bushings. So how are you navigating this supply chain? Your thoughts on this?

Jitendra Mamtora: Yes see, we have already said that we are going for backward integration in a big way. So, one of the projects is for the manufacturing of the tanks for which we have already, signed up with the agent to buy the land. And it is finalized and we have already paid them. So it is now within, by Dussehra, we should be able to get the possession of the land.

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for which we have already, signed up with the agent to buy the land. And it is finalized and we have already paid them. So, it is now within, by Dussehra, we should be able to get the possession of the land. And as soon as we get the possession of the land, we will start fabricating -- we start for the fabrication, and we are going for the ready-to-use fabrication kind of a thing. So, all the activities will be done at their end and they will come here and then fix it. So that time taken for the fabrication and the installation takes

very less time. So that is one, fabrication.

And CRGO, as far as the CRGO is concerned, we are in the advanced stage of taking over one of the processing houses in Ahmedabad for processing CRGO. And we have lined up for the supply of CRGO with the major players, like all the major manufacturers of the electrical steel. So, we are assured of the requirement which is something like, today it is something like 1,200 tons, 1,000 tons to 1,200 tons per month. So, yearly it is going to be something like 15,000 tons. So, we have the contract for the supply of more than this by which we will be able to also serve our peers, because we are taking over the plan for the processing of the CRGO. And the plant which we are taking over is one of the best in the country. And then the bushing, the bushing Transformers & Rectifiers India Limited

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also we are in the advanced stage of collaborating with one of the manufacturer. And we will be the first one to manufacture those RIP bushings which are not manufactured in India as on today. Now for OIP bushing impregnated. There are three kind of bushings you get today. One is OIP that is oil impregnated, one is resin impregnated and then one is what they call it epoxy impregnated. There is no paper involved there. So, all one, OIP we are already into it up to 220 kV and 400 kV, will start with 400 kV shortly. And for the RIP and RIF bushing, we are tying up with another manufacturer who has a track record of last 10 years into the same field. So, we don't want to experiment with our own processes and take little more time. So, we have taken a decision, conscious decision to go for the collaboration with or the technology transfer with one of the established companies. So that was tank, CRGO and bushing which we have taken care of.

Tanay Rasal: Thank you. Thank you, sir, for a detailed answer. Thank you. That's it from my side. Thank you, sir.

Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: Yes. Hi sir, congratulations on a good set of numbers. So, I just wanted to -- I think I missed it. So just wanted to get the order win that has happened in Q2 FY '25 and H1 FY '25 on a holistic level?

Chanchal Rajora: Chinmay, if you go through my investor presentation which we have given to the Exchange now you will get the entire detail into that. But just to give you a brief about that, in H1, we have got the orders of INR1,729 crores from across the sectors. And in this quarter, we got the orders of around INR1,000 crores.

Chinmay Kabra: Understood sir. Thank you. My second point was till when do we plan to attain the debt free position?

Chanchal Rajora: We are working on that direction.

Chinmay Kabra: So, I mean can we expect that...

Chanchal Rajora: I can't give you the deadline, Chinmay, because it is a very heavy capital-intensive industry. So, till the time I reach to my 10% PAT for next two years -- continuous two years. So, this position will remain. But slowly, slowly we are working on the directions to become the tax-free company.

Chinmay Kabra: Understood. And if you could provide a breakup of the revenue between domestic and exports.

Chanchal Rajora: As of now I cannot provide you those things. But yes, from my entire order book 10% is the export book.

Chinmay Kabra: Understood. And RV and...

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Chanchal Rajora: And last year, March '24, our exports was around 10% levels, and this year it is going to be more than that.

Chinmay Kabra: Understood sir. Also just wanted to gain an understanding of the capacity utilization, that is...

Chanchal Rajora: Can you please come back to question again? Because I would, we have to address almost 50 questions, 50 people now. So, it would be great if you can please join later on also.

Chinmay Kab

ra: Sure, sure.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama Institutional Equities. Please go ahead.

Subhadip Mitra: Thank you. So, my first question is, given the current order pipeline that is visible to you. Would you be guiding for any particular sales growth or margins over the next couple of years?

Chanchal Rajora: Subhadip, if you -- as I told in my speech that from this year in drill we have started journey towards a billion-dollar revenue company next three financial years. And we are working on that direction that in next three to four financial years we want to reach there. As far as my order book concern is there, the order book of INR3,500 crores which we have in right now, this entire order is going to be served in next 18 months' time.

And apart from this, we have not taken up any orders from the capacity expansion which is coming up at this moment. And apart from this, my Changodar unit which is basically up to 220 kV unit is still 50% is to be filled. So, as I told you in my entire conversations that we're targeting for almost INR3,500 crores numbers for next years, and the journey is continuing towards a billion-dollar revenue.

And as far as the margin is concerned, we are consolidating our position not only in terms of the revenue but also from the margin. And as Chairman Sir keeps guiding us always and keep telling us that in the good olden days we reached up to the 19% margin levels. So, we are aiming for that.

Subhadip Mitra: But that you would say is more like a FY '27 kind of a number or can it come faster?

Chanchal Rajora: I think it can come faster also if the way we are going it should continue.

Subhadip Mitra: Understood. Lastly sir, on the working capital, are you seeing any escalation in terms of debtor days of working capital for this particular quarter?

Chanchal Rajora: Subhadip, we are trying to reduce it quite this thing. Basically, you need to understand my debtors' composition. In my debtor composition, there is around INR100 crores number which is lying with the utilities as the retention money, which basically always comes after the project is completed. So, it is basically a money which is not due, but my index doesn't allow me to separate it, that is the reason I have to keep it into the debtors, right?

So that's the reason you will find this always into there. And as far as debtor is concerned, please do understand that when I am supplying to utilities, I have the delivery terms on the F.O.R basis

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and my payment is due when the material reaches there and accepted by the utilities. And on an average basis, every utility selling time is around 30 days to 35 days. So, these major components, if you remove it, my debtor cycle is very less.

If you see my industrial customers -- almost all of my industrial customers, either on the LC basis, or on the vendor financing basis, or on the advanced basis. So, as I have been guiding in all of my, these things, that in next two -- by next year, we have a target of around 120 days working capital cycle. And we are working on those directions. And that is probably the best working capital cycle for capital goods industry.

Subhadip Mitra: Just one last bit on potential acquisitions. You did allude to acquisitions possible on the CRGO side and the bushing side, as chairman sir was saying. Are there any other acquisitions that are on the anvil or any plans that you can throw light on?

Chanchal Rajora: No, as bushing is concerned, we are not doing acquisition, we are importing. We are taking up the entire new facility. We are basically tying up the existing manufacturer, who has got the expertise of the technology and machinery. So, he's providing entire knowhow technology and machines to us, and helping us to set up the machine unit here itself. So, it is going to be a complete

ly new facility for us.

CRGO is what we are talking about, processing unit. Yes, we are into the advanced stage. We have already signed a term sheet with the party, target company, and as soon as probably next week, we will be announcing this acquisition. Apart from this, we are working on an advanced stage on inorganic acquisition. MOU has been signed on that also. And probably in this month or early next month, that will also be completed.

Subhadip Mitra: Understood. Thank you so much. That's it for my side.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay Investments Advisors. Please go ahead.

Gunjan Kabra: Thank you so much for the opportunity and congratulations for a good set of numbers. So just I'll just complete the two questions. With respect to the demand and supply mismatch that is there, right now the demand is huge, but we are seeing that the top players, if I count like top 10, 12 players including ours, the capacity that is coming up in the market is around maybe say 70,000 MVA. So how are we seeing in terms of the new capacity that's coming up with respect to demand?

Chanchal Rajora: Gunjan, I think the same question you had asked me in last quarter and I replied to this question also. See we don't foresee any overcapacity coming in next two or three years now. And just

now that chairman sir, when he was addressing to the export issue also, he said is that right now there is no dearth of orders for anybody. There is ample amount of the orders available for every transformer manufacturer. And we are also working on that level.

You can see that right now I have INR18,000 cr ores, INR19,000 crores of inquiries pipeline, and everyday inquiries are flowing up. So that's not the constraint at all. And capacity expansion is not coming so soon. As we are the established player, we have the expertise, we have the Transformers & Rectifiers India Limited

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manpower and everything. To set up a 15,000 MVA, we are taking eight to nine months' time. So, you can imagine for the new capacity people, how difficult it will be. And apart from that, getting the right suitable manpower is going to be more difficult for those people.

Gunjan Kabra: Okay. And second is you answered a lot of questions on exports. So here I wanted to understand that in the beginning when sir said that we are doing tie ups with the oil and gas and electric arc transformers, special duty transformers is what we are focusing on exports. So here in, the energy transition which is happening because of that, the demand for power, are we focusing on that side also because there is huge expenditure that is being done in the U.S., Europe and Africa as well. So, are we focusing on the export markets, on the power transformers as well?

Chanchal Rajora: Yes, Chairman sir has addressed that issue also. And the oil and other segments, that Chairman sir has addressed, it is very recently our Chairman and our MD both have visited with our entire delegation to the European market to meet the big giant customers of Europe, and who are the major customers and major name into the world. So, these are from these factors and we are working with the strategic tie up or strategic relationship with them to have the orders from them.

So this is the area which we want to target, apart from the power transformers, as chairman sir has mentioned already. I think you missed that out, we are tying up, we are looking for U.S. also. We are looking for Europe also. And in terms of the all kind of the transformers, which is of our expertise.

Gunjan Kabra: Sir, what is the margins on the export side versus the domestic?

Chanchal Rajora: I would not like to disclose that here.

Gunjan Kabra: Thank you so much for answering.

Moderator: Thank you. The next question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors. Please go ahead.

Dhruv Agarwal

: Congratulations on a very good set of numbers, sir. Most of my queries have been answered, but I have a few questions. Firstly, as you have added up this new facility of 15,000 MVA which will start commercial production from January 2025, by when can we expect to reach the maximum capacity utilization? And you were targeting it to be 100% backward integrated organization by Q1 FY26. Would you like to revise your EBITDA margin guidance in near term, sir?

Chanchal Rajora: Dhruv, first of all, the new capacity expansion and 100% utilization will be reached by third quarter of next year, right. Second thing is EBITDA margin targets, we wanted to remain at this level same on that level, because what I have just told Subhadip is that covers up the advantage what we will be getting from the backward integration side. Just to add up in that, that will basically give me more advantage on my consol numbers.

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Dhruv Agarwal: On CRGO side, you said you are in the advanced stage of discussion. So, what kind of capacity it would be having. That is whether we would be able to fully use this capacity for internal use, like we won't close the capacity from outside, right, sir.

Chanchal Rajora: Dhruv, the capacity this unit has got is around 25,000 ton per year. At present for the next year I have my requirement of around 17,000 ton to 18,000 ton. So, whatever my requirement will be there it will be done from this place, and balance we will be selling it to the RPOs, because there is huge demand of this. And above that, as chairman sir has just told you, this is the finest facility of this country. So, it has got all approvals in place. So definitely we would like to take the advantage of that.

In this also I would like to add up one more point, that for the maximization of this facility and to take the advantage of the present situation, we have already tied up with the electric steel manufacturers for next three years. So on the electrical steel side, our next three years requirement is already tied up with the reputed mills. I would not like to disclose the names here. So the raw material of this product is being tied up by completely. And apart from that on the copper side also, we have already tied up with the reputed people with the companies. So next two years, copper

requirement is also been taken care of.

Dhruv Agarwal: Okay, fine sir. And the last question I would like to ask is, how is the demand outlook on the IDT transformer side and what kind of margins are there in this as compared to the power transformers? As going ahead will your focus be on power transmission or will it be on the distribution transformers seeing the huge demand due to the renewable energy and on the socket

connected transformer and STATCOM transformer, how do you see the demand outlook, sir?

Jitendra Mamtota: Dhruv see, IDT transformers are different than power transformers. IDT transformers are huge in numbers. And there the margins will be less but the cash flow will be much better than in the power transformers because it is all in cash. And so we get the payment, full 100% payment before the transformers are delivered. As soon as it is tested, we get them. And there is no waiting period in the sense that after the transformers are ready for dispatch.

They immediately lift it because it is -- the whole project waiting for the transformers to be shipped to the site. So, the margins will be little less as there are many players. But because of the quality issues we are getting the preference, and we get a percent or two more than the other non-regular suppliers or the large suppliers. As far as the power transformers are concerned, there is a huge demand. STATCOM, also customers for the STATCOM are also required in plenty.

And then we are getting approved by the utilities there. And the Scott connected transformers which are ma

inly used by the railways, as far as I know, our design is approved by railways and

we have started, we have already got the orders. We have the orders but we have to give one transformer, we have to get one transformer tested. So that has been done, and it is approved. So now that revenue will also be open for us.

And the demand is going to be huge for the railways, mainly because the, all the entire railways, they are increasing the speed of the trains. And when they are increasing the speed of the trains, Transformers & Rectifiers India Limited

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the power requirement is more than what it used to be earlier. And so, they have to replace all these transformers. And that is where the Scott connected transformers are in the picture, and are in the demand.

Dhruv Agarwal: In your current order book, can you just give th is breakup of IDT transformer, Scott connected transformers and the STATCOM transformer. Like what kind of order book?

Chanchal Rajora: Dhruv, we would not like to disclose all these things at this forum. If you want you can connect it to me. I can provide you the details.

Dhruv Agarwal: But this last one thing, like going forward are we seeing any huge order from this STATCOM or Scott connected transformers. Like feeling the huge TAM that is having in the railway.

Chanchal Rajora: Incoming quarter itself we are expecting this.

Dhruv Agarwal: Okay. Thank you. Thank you so much, sir. Good luck.

Moderator: Thank you. The next question is from the line of Sukant Garg from Equible Research. Please go ahead.

Sukant Garg: Hi. Thank you for giving me the opportunity. My question is basically regarding the order book.

My first question is basically regarding the order book. Could you please bifurcate from which major sectors we are receiving this order book from? As you have mentioned there are many sectors in the PPT.

Chanchal Rajora: Sukant, basically if you see my investor presentation PPT, we have clearly mentioned that my present order book is around 46% is coming from the industrial customers. 11% is coming from the state transport, and balance 43% is coming from the central utilities. And we talk about the central utility. It is majorly basically the po wer grid which is from where we are getting the orders.

Sukant Garg: Okay. Thank you so for that. And secondly, my second question is when you say that we have am order book of INR3,500 crores in hand, and we have already got INR1,031 crores of new order enclosed. That makes it INR4,500 crores I believe. And by what time we expect the delivery to happen, you know a maximum time of this INR4,500 crores?

Chanchal Rajora: The INR3,500 crores order what we have is the delivery time of these is the next 15 to 18 months' time.

Sukant Garg: Okay. And for this INR1,000 crores, the new order inflow of Q1, is that included in that INR3,500 crores?

Chanchal Rajora: That INR1,500 crores order book includes this INR1,000 crores order also. The order book of INR3,500 crores what we have as on the 30th September will be delivered in next 15 to 18 months' time.

Sukant Garg: Okay, thank you. Thank you, sir. Thank you very much. That's all from my side. Thank you.

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Moderator: Thank you. The next question is from the line of Ajay Bodke from Padigree Advisory Private Limited. Please go ahead.

Ajay Bodke: Congratulations on posting impressive set of numbers. Sir, I have two questions. First is if I look at the cash flow from operations, this deterioration from minus INR14 crores to around INR37 crores. And also, on the pre-cash flow from minus INR21 crores to minus INR0.7 crores. By when does the company expect to be positive on the free cash flow front? That's the first question.

And secondly, insofar as ROE and ROCEs are concerned, what are the internal targets that the company has over the medium term for ROE and R

OCE? And last submission I have is in the presentation, investors would really appreciate that in addition to the P&L, you also include the

balance sheet numbers and the cash flow numbers for the first half and the year-end presentation.

That will really be helpful, sir. Thank you very much.

Chanchal Rajora: Ajay, first of all, your first question is that we are already cash flow positive on operational level also. Second question is that if you want to see my balance sheet, we already hosted our H1 -- H2 balance sheet and profit and loss on the Stock Exchange. You can download from there, and also from our website. What was the second question? There's one question also I missed, which one was it?

Ajay Bodke: In terms of the targets for ROE and ROCE, what are the targets here?

Chanchal Rajora: My ROC, I think my ROC right now is around 11% level, right. And we have set up our internal targets, and we are actually slowly, slowly working on those directions. And last three quarters, if you see last four quarters, if you see slowly, slowly, the things have been improving on those directions also.

Ajay Bodke: Okay. Thank you very much for taking my questions, and wishing you all the best.

Chanchal Rajora: Thanks a lot. Thanks for your wishes.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. Thank you so much for taking my question. A lot of my questions have already been answered. So just wanted to know like we have like, kind of aggressive growth targets. Like I think you were saying FY '26, INR3,500 crores, and this year also INR2,000 crores. So, any kind of risk we see, kind of like something that can be a roadblock or just like how do you see the environment? Everything going good, but then is there something that looming in the corner that can hamper us?

Chanchal Rajora: Darshil, basically if I am targeting INR3,500 crores in next financial year, it is based on the order book, what I have right now. And the negotiations which are basically going to realize in next coming quarter and or two is based on that. And we don't foresee any risk into that. Second point is that in terms of the long-term risk is concerned, as far as our concern is there, our industry is concerned, next five to six, seven years, we don't foresee any risk in this industry.

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Darshil Jhaveri: That's great to hear, sir. Yes, that's it from my side sir. Thank you. All the best, sir.

Chanchal Rajora: Thank you.

Moderator: Thank you. The next question is from the line of Yash Mehta from Aart Ventures. Please go ahead.

Yash Mehta: Thank you. My question has been answered. Thank you.

Chanchal Rajora: Thank you.

Moderator: Thank you. The next question is from the line of Ganeshram from Unifi Capital. Please go ahead.

Ganeshram: Thank you. So, I'm back. So I just wanted to understand one more thing. So we haven't started taking any orders on the IDT transformers yet, right?

Chanchal Rajora: Ganeshram we already have the -- we are already producing the IDT transformers. It is not that it is a new thing. What I said is that we have not started taking orders for our new facility which we are come up from the January onwards because our Chairman and MD is on a very clear -- they have given us a very clear direction, till we have 95% completion of the facility no order will be taken for that. So that is the reason we have not taken the order for the additional 15,000

MVA which is going to be start from the next, early next year.

Ganeshram: Got it. This is the new capacity where you're saying you can make about 100 transformers a month and it's fully automated that one, right?

Chanchal Rajora: Yes.

Ganeshram: So, in the INR2,000 crores guidance that you sort of given for top line, we don't include any numbers from this?

Chanc

hal Rajora: It is not that.

Ganeshram: It's not that. Okay and then one more thing I just wanted to understand on the margin side of things was earlier we suggested that margin for the full year would be similar to Q4 of last year, but we already exceeded that in Q1 and Q2 and to sort of hit INR2,000 crores the next two quarters will only be stronger from where we are right now.

So why do we then feel like margin will still end up maintaining at the current levels, what is happening between the top line and EBITDA that we might be missing out? Is it growth in overheads because of the new capacity?

Chanchal Rajora: Ganeshram, first of all thank you for reminding me about Q4 and now. And I hope that it is a positive thing and positive sign which is happening. You all will appreciate it. I agree on that.

Now coming back to your question, Ganeshram, is that margins which are basically we keep disclosing or we keep getting it is based on the delivery terms, delivery of the product what we have in hand.

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And there are maybe possibility that we might be having some product which may have a little bit less margin. We might be having some product which may have the more margin as compared to the other products. So this margin percentage may vary little bit here and there. And being a finance guy and being a Marwari mentality guy, I would like to be on the conservative side as far as the margin is concerned. You will be more happy that if I tell less and deliver more.

Ganeshram: That's a good problem to have. Thank you.

Moderator: Thank you. The next question is from the line of Surabhi Saraogi from SMIFS Capital. Please go ahead.

Surabhi Saraogi: Okay. Thank you for the opportunity. Sir my question is what is the order inflow that you are expecting in H2 and next financial year?

Chanchal Rajora: Surabhi, If I want, I can take the order of INR1,000 crores every month. That is the vicinity I have it.

Surabhi Saraogi: Okay. And sir can you throw some light on this INR18,000 crores order pipeline?

Chanchal Rajora: What light do you want me to throw in this?

Surabhi Saraogi: Like at what stage it is and how much out of this do you hope to secure and by when?

Chanchal Rajora: Surabhi these orders are at different levels. Few may be on the very advanced level which may be getting in next quarter time, few will be next fourth quarter time or few will be on coming next financial year, but if you see the -- our presence and our expertise side, yes around 25% to 30% order strike ratio is there out of this.

Surabhi Saraogi: Okay. And sir one last question is can you give some outlook regarding revenue breakup for quarter 3 and quarter 4?

Chanchal Rajora: We have, I think our Chairman and myself both have told in our speech that guidance which we have given at the beginning of this year will remain intact.

Surabhi Saraogi: Okay sir. Thank you. That was helpful.

Chanchal Rajora: Thank you.

Moderator: Thank you. The next question is from the line of Dhruv Agarwal from Niveshaay Investment Advisors. Please go ahead. Sorry to interrupt you sir. May I request you to please use your handset?

Dhruv Agarwal: Better ma'am?

Moderator: Yes sir.

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Dhruv Agarwal: Sorry on the green hydrogen project sir where the demand is around 2,300 transformers annually. How is the demand outlook on that sir and going forward how many players like would be there in this and from this how much would still be able to cater from this sir?

Jitendra Mamtota: Dhruv, as on today we are the only qualified supplier for the hydrogen transformers. What is unfortunately happening is all the projects which were expected to start early next year has been delayed for some reasons or other maybe because of the viability or the margins which they expect from that. So the p

rojects are delayed, but we are today the only qualified supplier for the green hydrogen transformers.

Green hydrogen or manufacturing hydrogen. So they are the rectifier transformers and we are the only qualified supplier. There is no competition from India as on today. I don't know what is going to happen if the availability of the transformer is not there. If they are unable to supply them in time they may risk with somebody else or they may import it from China. Otherwise, there is no other manufacturer who is today qualified for supplying those transformers.

Dhruv Agarwal: Okay. So, sir like right now how is this market right now? Is there any orders coming towards

you as you are the only qualified players and what kind of margins are there in this sir?

Jitendra Mamtara: The margins all these transformers when they come, they will be large in numbers. So you can't expect more margins than what you are getting today. And we would not like to charge more or increase our margins in those transformers to attract other competitors. We would like to keep our margins safe or at a reasonable level so that no other manufacturer can get into. This is what our strategy is.

Dhruv Agarwal: Okay. So are there any orders like pitching into the market or is it something like how is the market outlook on this?

Jitendra Mamtara: All the projects are delayed. We have supplied some transformers to GE for American market.

That's all after that nothing has come so far, but it should come anytime. Once they are ready with the -- because the project itself will take their own time. The main thing is the converters which they want or electrolyzers all the large players like Adani or Reliance, they want to establish their own plant for manufacturing of electrolyzers. So, it is in very preliminary stage I would say as far as India is concerned.

Dhruv Agarwal: Okay. On international side also there are no such demands or something like that, sir?

Jitendra Mamtara: We have started receiving the inquiries, but it is at a slow pace.

Dhruv Agarwal: Okay. Right sir. And just last one question sir, as we are targeting around INR2,000 crores in FY25 top line, sir. So till now till quarter 2 we have already done around INR800 crores of revenue. So the run rate from quarter 3 should be around INR600 crores. So is it achievable in order to cater for that INR200 crores of top line sir? Is it achievable to have this INR600 crores of run rates from quarter 3?

Chanchal Rajora: Dhruv basically the production planning and delivery planning what we do, we do based upon the delivery terms and dispatch schedules. So whatever is the dispatch schedule is there based

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on that production planning is done and we have the vicinity of the dispatch schedule. So based on that we are coming up with that number and as of now I speak to you, we are firm on those numbers and 100% those will be delivered.

Dhruv Agarwal: Okay. So we are very confident of achieving the run rate of INR600 crores from quarter 3?

Chanchal Rajora: I don't think that I said that we will do INR600 crores, but I said that we will achieve the target what we are guiding for.

Dhruv Agarwal: Okay, sure sir. Okay. Thank you so much for this guidance.

Moderator: Thank you. The next question is from the line of Agastya Dave from CAO Capital. Please go ahead.

Agastya Dave: Thank you very much sir, and congratulations on great performance. It's great to see the company really turning around now. Sir, I have just two questions. One is a previous participant was asking you about capacity utilization? So can you share those numbers for last 2 years and also for the first half, if you have set up numbers, would do?

Chanchal Rajora: Okay. Agastya, in last year we have actually delivered around 50% of the capacity utilization. And this year, we are aiming around 75% to 80% capacity utilization level.

But I would like to

add up one more thing is there, the more we will be delivering the numbers in units, in the higher number, we will be increasing our internal capacity in house itself.

Because the thing is, majority of the orders, what we have right now are of the repeat design levels where the design interventions are not there. So, the production time and the turnaround time will reduce quite largely. Today I have the capacity of around 14,000 MVA annualized, this capacity can easily go up to 20% higher with this kind of the operational efficiency things.

Agastya Dave: So that was exactly my -- the clarification that I wanted to ask. So, this 50% and 75% at what day should we take in terms of MVA? So, basically sir, can you share the volume numbers?

Chanchal Rajora: It was based around 37,000 MVA level.

Agastya Dave: And that 75% target is also on 37,000 or are you including 3 months of the new capacity?

Chanchal Rajora: Let me tell you, this year when we will be concluding this year, we will be delivering somewhere around 40,000 MVA, and still we will have some capacity to be utilized.

Agastya Dave: My second question and last question is on the working capital side. So, there is a substantial improvement, it looks like on your receivable side, during the first half, receivables have not spiked. So, sir, as you scale up your revenues and you start approaching your \$1 billion turnover numbers, what kind of receivables would you be comfortable with? Because you have also set a target for yourself to become debt free. So, receivables as a percentage of revenues have to come down drastically. So, first of all, what steps are you taking and what level of working capital should we assume going forward?

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Chanchal Rajora: Agastya, my wish is to have zero day receivables. But practically that is not possible, right. So that is the one thing. But yes, we are targeting receivable levels of around 90 days in next 3 years' time. The steps what we have done is this, the first and more important steps what we have done, slowly, we are converting all entire industry customers, private industries or industrial customers to the LC basis. And by and large we are successful in that. Almost all the big houses are either on the LC or on the vendor financing for us.

Second, what we have done is that where particularly when it comes to the utility, in last year what we have done and early this year, what we have done is that we have started delivering on the zero shortages basis. So that as soon as the Transformer reaches there, we got the clearance and our payment gets in process, right. That is one thing.

The biggest improvement what we have done is and we could able to do it that we could able to eliminate the customers who are the bad pay masters from our order book. That is helping us in a by and large manner and we are targeting into that. Even if a customer is giving me the 10% margin and his payment term is bad, I would like to not to deal with that customer.

So that is, I have a very simple theory. One of my very close friend, who is one of the very big Investor into the Investor Industries, he kept telling me that Chanchal, if my money is with the village, then what is the point of doing this business. So we work on that direction that we are first focusing on the collection and then we will be doing the business.

Agastya Dave: Sir, this improvement to 90 days, would it be linear or would it be back ended or would it be front ended? If I look at the next 3, 4 years?

Chanchal Rajora: It will be composite of all.

Agastya Dave: Okay sir, thank you very much for your answer, sir. Thank you very much, and all the best.

Moderator: Thank you. The last question is from the line of Chandan Kumar who is an Individual Investor. Please go ahead. Mr. Chandan, I would request you to unmute your

line and speak sir.

Chandan Kumar: First of all, I want to congratulate you on this good performance. My question is your debtor days is approximately 174 days which has increased from last year. And cash conversion cycle is also increased from last year, which is 188 days. I want to ask you what measures you are taking to reduce this, sir.

Chanchal Rajora: Chandan, I think I have addressed this issue three times already in this entire conversation. I addressed this and I also explained that why, what is the composition of my debtor is. So, this issue, I think I have addressed it on the number of times also into my various discussions also. Can you take next question please?

Moderator: Thank you. Ladies and gentlemen, that was the last question for today.

Chanchal Rajora: You can take the questions from Mr. Raj Saraf and Kunal Bansal, because they have been waiting since long.

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Moderator: Sure sir. The next question is from the line of Raj Saraf who is an Individual Investor. Please go ahead.

Raj Saraf: So, first of all, I should take the opportunity to congratulate on the blockbuster number you posted. Most of the question has been answered. But I need some more color on this organic and inorganic growth avenue which you said in the presentation that are in advanced stage. The timelines and the revenue opportunities for that.

Chanchal Rajora: Raj, thank you very much, and first of all, and I'm sorry that you have been kept waiting on this, where you have been very patient on this thing. Raj, this organic, inorganic acquisition growth, what we are talking about that. This is timeline as I already told you that it may take a couple of months to get into the entire board into that. But if you see the revenue size, it may add up around

INR700 crores to INR800 crores revenue on the first year itself in our books.

Raj Saraf: So, the follow up question for that, sir, if it is going to conclude within this financial year, then there should be a revenue opportunity for this year also. So, we can very well overachieve the guidance you have given for this FY '25. Am I getting it correct?

Chanchal Rajora: That might be the possibility.

Raj Saraf: Yes. Thank you very much. I hope you should maintain the same growth trajectory for the company, and we should achieve the new heights. Thank you very much.

Chanchal Rajora: Thanks for your wishes, Raj.

Moderator: Thank you. The next question is from the line of Kunal Bansal who is an Individual Investor. Please go ahead.

Kunal Bansal: Yes hello. Sir, thank you for the opportunity. I have one question with respect to the CRGO. You said that we have already contracts in place for the supply. But as we understand, the price of CRGO is continuously increasing. So, with respect to this, do we face any challenges to our margins?

Chanchal Rajora: Kunal, the price has now stabilized. Second point is that since the Government of India has started approving the BIS certification for the other mills also, we do see that the price correction is going to come pretty soon. Second point is very recently they have also given the BIS to the POSCO who is a major player, and POSCO will start supplying the material from the early next month onwards basically from December onwards itself. So, price correction is going to be taken place pretty soon in this thing. Third point is that your another question is that we do have the pass-through facility with the most of our customers. So, we don't feel any challenges on this side. It doesn't impact on our money.

Kunal Bansal: Understood, sir. Thank you so much.

Moderator: Thank you. The last question is from the line of Khushi Jain from Padigree Advisory Private Limited. Please go ahead.

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Khushi Jain: Hello. Congratulations on your great numbers. I have

a very small question. It's regarding your consolidated cash flow statements. When do we expect the consolidated cash flow statement, the net cash from operating activities to be positive, because currently it shows a INR37.59 crores negative number.

Chanchal Rajora: By the end of this financial year, Khushi.

Khushi Jain: Okay. Thank you so much, sir.

Moderator: Thank you. Ladies and gentlemen. We will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Jitendra Mamtara: Thank you, all the participants. We thank you very much for joining us. And we hope you are satisfied with the queries which are answered to your satisfaction. Thank you very much.

Moderator: On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

Date: 16th January, 2025

Ref: TARIL/SECT/2024-25/NSE-BSE/COMPL/090

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051
Trading Symbol : TARIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 08th January, 2025

In terms of Regulation 30 and 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 08th January, 2025.

Further, in terms of Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the aforesaid Transcript of the Earning Conference Call is also uploaded on the website of the Company (www.transformerindia.com).

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

Encl.: As above

TARIL is one of the leading manufacturers of a wide range of transformers globally. Today TARIL is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). TARIL is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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Q3 FY '25 Earnings Conference Call "
January 08, 202 5

MANAGEMENT : MR. JITENDRA MAMTORA – CHAIRMAN –
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. SATYEN MAMTORA - MANAGING DIRECTOR –
TRANSFORMERS & RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER
AND ADVISOR TO THE BOARD – TRANSFORMERS &
RECTIFIERS INDIA LIMITED

MODERATOR : MR. SUBHADIP MITRA – NUVAMA WEALTH
MANAGEMENT LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Transformers and Rectifiers India Limited Q3 FY25 Earnings Conference Call, hosted by Nuvama Wealth Management Limited. As a reminder, all participant lines will remain in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Subhadip Mitra from Nuvama Wealth Management Limited. Thank you and over to you, sir.

Subhadip Mitra: Thanks, Ryan. Good afternoon, friends. On behalf of Nuvama Wealth Management, welcoming you all to the Q3 FY25 Results Call of Transformers and Rectifiers India Limited.

We are joined today by the top management of the company, represented by Mr. Jitendra Mamtora, Chairman, Mr. Satyen Mamtora, Managing Director, and Mr. Chanchal Rajora, CFO and Advisor to the Board. I would now like to request Mr. Satyen Mamtora to begin with his opening comments. Over to you, sir.

Satyen Mamtora: Good afternoon, ladies and gentlemen. Thank you all for joining us on this earnings call. We are delighted to have you here as we discuss our company's performance over the past quarter. Following our board meetings earlier today, we have promptly released our financial results and investor presentation on the stock exchange. We are pleased with our order book position and the diverse range of orders secured throughout the quarter across various sectors including renewable energy, private industries and power utilities. Notably, our new orders this quarter amounted to INR631 crores. Our unexecuted order book as on December 31, 2024 stands at INR3,686 crores currently. We have inquiries worth INR19,000 crores under negotiation or in the bidding stage.

Moving forward, we are excited to share our milestones. Acquired controlling stake in CRGO processing unit, making 100% backward integrated. Also entered into supply agreement for mother coil. CRGO contributes about 30 %-35% of the total raw material of transformers. PGCIL approval process initiated for the fully automated dilator facility. Successfully completed 500 MVA short-circuit test. Highest MVA tested and highest number of units manufactured in a single month.

Additionally, we are pleased to share that we have entered three technological tie-ups aimed at supporting our backward integration goals. These collaborations will help us enhance our capabilities, reduce dependencies on external suppliers and improve our overall supply chain efficiency. We expect them to be operational by Q4 FY26.

Throughout FY25, we have placed significant emphasis on people management and upskilling initiatives. Acknowledging the pivotal role of workforce in our sustained success, we have focused on enhancing technical skills, fostering leadership readiness and improving overall competence across the manufacturing, sales and engineering divisions. Our strategic improvement in key areas such as engineering, sales and digital domain has been aligned with our business objectives.

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We would like to take this opportunity to express our sincerest gratitude to all our stakeholders for our continued trust and support. Your confidence in us drives our commitment to delivering value and we look forward to further strengthening our partnerships as we move forward in this growth phase. We extend our sincere gratitude to each participant for joining our earnings call

for their continued support and trust.

We hope we have addressed all your queries satisfactorily. Once again, I thank you for your participation today.

y. I will now hand over the call to our CFO, Chanchal, who will take you through the financial details of the quarter.

Chanchal Rajora: Thank you, Satyen sir, for providing an overview of the current quarter. I would now like to share some key financial highlights with our esteemed shareholders. Dear shareholders, I am pleased to present the company's performance of Q3 FY25, which has been a period of notable growth in both revenue and profitability.

In terms of the financial highlights, in Q3 FY24, we had our stand-alone revenue from operations stood INR545 crores, reflecting a strong year-on-year growth of 49%. Our EBITDA for the quarter was INR87 crores, marking a significant increase of 136% compared to the previous year, with an operational EBITDA margin of 15.69%. Additionally, our profit after tax for Q3 was INR50 crores, showing a healthy year-to-year growth of 276%, with a PAT margin of 9.12%.

Our revenue target for the current financial year remains intact, and we have also started preparing ourselves for FY25-26. Looking forward, we are optimistic about our prospects for FY25, anticipating enhancements across various financial metrics.

Our strategies are centred on achieving a streamlined balance sheet by reducing debtors and optimising inventory management. Our ultimate aim is to transform into a debt-free company in the near future, supported by a realisable plan already underway. The main emphasis of the company is on the CPIR model, which is basically cash, payable, receivable and inventory management. I believe that these four pillars are most important for working capital management. We intend to achieve a revenue target of INR3,500 crores plus in next financial year.

Raw material tiers for the year-round requirements are already in place, and shop floor is all ready to take up the new revenue targets. As stated earlier in many of my interactions, I am happy to inform you that we are on the right path to achieve a US 1 billion revenue in the next 3-4 financial years. In conclusion, we are well-positioned to capitalize on opportunities within the India-involving energy sector.

With robust corporate governance and advanced technologies, superior products and dedicated teams, we are confident in our path towards sustainable and profitable growth. I extend my heartfelt gratitude to our customers, board, management and particularly our committed employees for their unwavering dedication and support. Together, let us continue to cultivate a promising future.

I also thank all of you for joining us. Thank you. So with this, we can start Q&A please.

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Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Raj Sarraf from Finvestors. Please go ahead.

Raj Sarraf: Sir, congratulations on a very good set of numbers. And sir, while going through your presentation, I noticed that the order booking in Q3 is INR631 crores, which was actually more than INR1,000 crores in Q2 and even in Q1 the number was very good. So the dropping in order booking numbers, how to read that while going through media and all available resources, we are coming to know that the transformer is in a very right spot. So this is the question, sir. And the second question is, sir, the QIP, which we have planned for INR750 crores. So are we looking for any position near term or what is this for?

Chanchal Rajora: Raj, thank you for joining us. As far as the order book is concerned, Jitendra will take you to that thing. And as far as the QIP is concerned, let me tell you that we have no intent to raise the money near future.

It is just enabling approval we have taken from the Board so that if any good opportunity comes across, we are ready for that. We have no intention right now to raise

any funds in next two

quarters or three quarters. As and when a good opportunity comes, we would definitely would like to come to the investors for support.

As far as order book is concerned, this is a deliberated strategy of the company as we don't want to take the orders in a hurry. We are already booked. And now we are more focused on the orders, which has got the high margin as well as the payment terms are quite good.

We have made a very clear strategy that there is no hurry in going on each and every order. We have a very strong order book already in place. And we also have a very strong inquiry in place. So, orders will be taken as and when we feel that is the right order for the organization. Thank you.

Raj Sarraf: One question is, sir, the margin which I am seeing in Q3 is 16.5, which was about 17% in Q2. And we are actually on the scale of operation, we are producing so much now. So, why this scale of operation is not kicking in, sir? Am I reading something else?

Chanchal Rajora: Sorry, I did not understand your question.

Raj Sarraf: Sir, the EBITDA margin, sir, which is right now 16.5%, which was in Q2, was about 17%. And we are actually increasing our scale of operations. So, in this case, sir, the margin should increase or am I reading something, I'm missing something else, sir?

Chanchal Rajora: Look, Raj, the EBITDA margin is just 0.7%, which is different from the Q2. You need to understand that we have a different product mix and we have a different product portfolio. So, it basically depends on the product portfolio. In some products, we have some higher margin, some we have less margin. So, this margin is going to remain in this range itself.

But apart from that, the significant thing I would like to address to you, though we have the 0.9 % to 0.7% less EBITDA as compared to the last quarter, our P AT line has increased as compared to the last quarter, which is a very significant achievement for us. And as I have been telling in Transformers & Rectifiers India Limited

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all the introductions that my more emphasis is on the P AT, that I want to reach the 10% P AT level. And I'm happy to say that we are very, very close to that.

Raj Sarraf: Yes, thank you, sir. And, sir, the long -term guidance of \$1 billion revenue, which in the presentation in the last conference call, which was, sir, we are seeing that in the next three years, we'll be meeting \$1 billion revenue. And then, sir, when the CFO spoke, sir, the timeline was three to four years. So, is it three years or four years, sir?

Chanchal Rajora: Raj, you know, the metrics keep changing, right? W e want to achieve it in the next two years' time. But how the metrics work out, it will depend on that. So, three to four years, I think, is a reasonably very good line.

Raj Sarraf: Yes, okay. Thank you. Thank you very much, sir, and congratulations once a gain for posting a performance like that, sir. Thank you very much.

Chanchal Rajora: Subhadip ?

Moderator: Yes, sir. Please go ahead.

Chanchal Rajora: I request that at one point in time, if we can take one question, so that others will have the opportunity also.

Moderator: Okay, sir. I'll make the announcement as well.

Chanchal Rajora: Thank you.

Moderator: Ladies and gentlemen, a request from the management is to restrict to one question per participant. Our next question comes from the line of Manish Ost wal from Nirmal Bang Securities Private Limited . Please go ahead.

Manish Ostwal: Yes, sir. Thank you for the opportunity. Most of the questions already answered. Only I have one question. Where the current gross debt on the balance sheet and the net working capital absolute figure?

Satyen Mamtara: Sorry, we didn't get your question , Manish.

Manish Ostwal: I'm asking sir, what is the gross debt on age on 31st December and what is the working capital figure at a

ge on 31st December?

Chanchal Rajora: Mani sh, I'll address this question when I 'll present you my quarter 4 audited numbers, please. Because since we have not disclosed the balance sheet, so under the guidelines of SEBI , these figures cannot be disclosed here at this moment.

Manish Ostwal: Okay. And secondly, sir, we are hearing so much of debate on the slowdown of the economy, government spending. So compared to the H1, how do you see the things in your business, whether things are picking up or gradually picking up? Can you make comment on that? That would be great. Thank you.

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Satyen Mamtara: Manish, if you look at our this quarter order book, that stands at INR631 crores. And our unexecuted order book for the next 18 to 24 months is INR3,686 crores. So there is no slowdown as such in terms of in frastructure development in India. We have inquiries worth INR19,000 crores under negotiation or in bidding phase. So there is a lot of opportunity for all this business.

Manish Ostwal: Okay, sir. Thank you.

Moderator: The next question comes from the line of Subhadip Mitra from Nuvama Wealth Managment Limited . Please go ahead.

Subhadip Mitra: Yes, thanks. So two questions from my side. Firstly, just wanted to understand a little bit clearly

on the guidance. I think I heard in your opening comments that we are looking at about INR3,000 crore s revenue by FY '26.

Chanchal Rajora: INR3,500 crores , Subhadip .

Subhadip Mitra: INR3,500 crores . And for FY '27, sir, is there a number? I think we were looking at a number closer to INR4,000 crores, INR4,500 .

Chanchal Rajora: Let us achieve the next year numbers first.

Subhadip Mitra: Understood. And the margin trajectory, I think in the past also you have mentioned that you are looking to move towards 17% plus kind of a margin by FY '27. Are we still holding on to that?

Satyen Mamtara: Currently we are.

Subhadip Mitra: Understood. Secondly, in terms of, one, the utilization of the QIP funds that we raised some time back and the benefit of the backward integration and M&A that you are seeing. So how much of the quantum has got utilized? How much is yet to be done? And secondly, how do you see this backward integration into CRGO and the other proposed M&A activities helping in terms of your margin expansion?

Chanchal Rajora: Subhadip , the earlier participant I told that the balance sheet things we cannot disclose right now. So we are submitting our details about the QIP utilization to the exchange time and again so that I can't right now tell you these things. Yes, but we are on the right path to invest in funds on the right place and right proposition. That is one thing I can make you sure that it is going to add a significant improvement in my top line as well as in my bottom line. And as far as how this backward integration is going to benefit us, I would request my Chairman to put up his thought on this.

Jitendra Mamtara: Thank you, Chanchal . It is going to be minimum 4% increase in the PAT when we put all the projects online, on track. Because it is not -- I mean, some of the product is meant for us, some of the products also for us and for selling it to the market. But the advantage which we are going to get using our own product will reduce my raw material by about 4% total.

Subhadip Mitra: Understood. And you envisage all these benefits panning out by FY '27 or could it take slightly longer?

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Jitendra Mamtara: No, before that.

Subhadip Mitra: I read you. Okay, understood. That is it from my side. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Gaurav Shukla from Finvestors. Please go ahead. Gaurav, please proceed with your question. Since there is no response, we

move on to

our next question which is from the line of Shivam Dave from Prodigy Investments. Please go ahead.

Shivam Dave: Hi, congrats on the great set of numbers. In terms of the 15,000 MVA c apex that we are incurring right now, where are we in terms of the process right now?

Chanchal Rajora: Shivam, this project is on quite high track and we expect this to be completed by February, March and we expect early next year the operation will start and also if you have seen in the presentation, our chairman has said that from this quarter we will start taking orders for that expansion.

Shivam Dave: So, it should start from Q1 next year ?

Chanchal Rajora: Yes.

Shivam Dave: Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Ganeshram from Unifi Capital. Please go ahead.

Ganeshram: Congratulations on the numbers. I just have two questions. First on the INR3,500 crore s guidance for FY26, how much of that will be coming from our existing capacity and how much from the capacity that you will be commissioning in Feb, March? So, just if you could give us some granular details on the ramp -up and how that fits into your guidance.

And the second one is with the CRGO backward integration. So, I understand it's 30%, 35% of your cost, but if you could just give us a broad scale that on a sustainable level, what is the RM cost in our transformers on a blended basis and other than the CR GO, what are the other components that influence the cost?

Chanchal Rajora: Ganesh, first of all in this 3,500 there is no addition of the facility which is coming up. All is from the existing set of the system. This is one. As I told you earlier also, we have not even started taking the orders for the expansion facility. You can see that I already have a INR3,600 crore s order book. So, we'll be able to do that.

Satyen Mamtara: So, Ganesh, the 3,600 order book is for the next 18 months to 24 months. So, we would be doing INR3,500 crores partly from the existing facility and partly from the new facility that we are going to start.

Ganeshram: So, there is no additional amount we should expect over the INR3,500 crores from the new

facility you're saying. This will be executed, but I mean basically the existing order book will be spread across the new facility?

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Management: Yes.

Chanchal Rajora: Now, about your second question Ganeshram as we told that CRGO is 35% of my raw material component. That itself is quite a significant amount and CRGO is the second most expensive product also in my product line.

Ganeshram: Yes. So, the remaining items, what will it be?

Chanchal Rajora: Sir, this is the product mix and this is lots of items - lots of components involved that we would not like to discuss here in this call.

Ganeshram: Understood. And maybe the last one I heard you are answering another participant by saying you're being a bit selective in your order inflow. So, if you could just give us a sense on the order that you have now accepted in the INR600 crore order, what would be the incremental margin compared to our existing margin?

Management: Ganeshram this is a business question which I would not like to discuss here.

Ganeshram: Understood. Thank you sir.

Moderator: Thank you. The next question comes from the line of Rajit Aggarwal from Nilgiri Investment Managers Private Limited. Please go ahead.

Rajit Aggarwal: Good afternoon, sir. Thank you for giving me the opportunity to ask the questions. Is it possible for you to comment on the data days? If you can't disclose your absolute numbers, how has the movement been in debtors days in Q3 compared to Q2? Has it worsened, is it still the same or has it improved?

Chanchal Rajora: It has improved, sir.

Rajit Aggarwal: It's improved. Great, sir. And are there any over-

dues from any of the government clients, public sector undertaking?

Chanchal Rajora: There is no overdue.

Rajit Aggarwal: There is no overdue. Okay. And lastly, sir, is it possible to throw some more light on the acquisition that you have made as to the cost of the acquisition? By when do you think it will be operational and by when will it start to accrue or when will the EBITDA margin start to show improvement because of that facility because of the backward integration?

Chanchal Rajora: The acquisition has already started doing our work. It is basically an existing facility and it has already started doing our work. The EBITDA improvement from this particular acquisition will start from the Q1 next year when this is 100% integrated with our system.

Rajit Aggarwal: Wonderful, sir. And the cost of the acquisition?

Chanchal Rajora: Sir, with the SEBI guidelines I am bound not to disclose that.

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Rajit Aggarwal: Okay, sir. Thank you. Thank you for the time, sir.

Moderator: Thank you. The next question comes from the line of Vignesh from Ksema Wealth. Please go ahead.

Vignesh: Just want to understand the demand from the Europe side, sir. Last conference, I believe we had a discussion with the European client. So, just want to understand that. The orders from the European client, sir. How is the situation?

Chanchal Rajora: Look, Vignesh, the orders keep coming from all the corners, right? European also, we got some orders in last quarter and this quarter also. And we are in discussion at the various levels with the other clients. But let me tell you one thing very categorically clear. The opportunities are quite huge in India and much better than the other part of the world. So, my focus is first to engage the opportunities which lies right now here.

And we are working on those directions. And we are discussing with, not only with the Europeans, we are discussing with a few of the American clients also. Very recently, few American clients have visited. And as and when the good amount of the order comes, we always keep announcing it to the exchange also.

Vignesh: Okay sir, going forward, we see foreign orders increasing or it is mostly towards the domestic thing which will be the majority of the order book?

Satyen Mamtota: So, Vignesh, we would like to limit our export orders to 20% and not beyond that. Rest, we want to develop India and that's why we are keeping our 80% capacity for India.

Vignesh: Okay, sir. That was helpful. Thank you. All the best.

Moderator: Thank you. The next question comes from the line of Ashish Soni from Family Office. Please

go ahead.

Ashish Soni: Out of 90,000 order book, how many are we expecting to convert for our order?

Chanchal Rajora: Well, brother, Ashish, it keeps getting converted as and when we want. Right now, as I told you that we are not focused on the taking the left and right orders. We are more focused on the orders which are high yield generated to us and quick payment things, right? If I want to take the orders, I can take INR1,000 crore s order every month. That is right now the scenario of the market. But we are very, very selective on the order size.

Ashish Soni: Is it like maybe 25% of 90,000 approximately? Any guesses?

Chanchal Rajora: Sir, we have a target as I told you that in any of our discussions, we will keep telling that we will be having an order book of INR4,000 crore s plus by the end of this financial year. And we are working on those direction completely.

Ashish Soni: Okay. Thank you. All the best.

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Moderator: Thank you. The next question comes from the line of Vishnu Boyapatil , an investor. Please go ahead.

Vishnu Boyapatil: Hi, sir. Congratulations for the good set of numbers. And I

am glad to see as an investor for

looking at these numbers. Thank you, sir. And my question is from that side , previously, you had said that 19,000 enquiries which we will convert 25 % to 30% conversion rate. Is it right, sir?

Satyen Mamtara: Generally, yes.

Vishnu Boyapatil: And is it intact in this quarter also, 25% to 30% or any change in that percentage conversion?

Satyen Mamtara: It is difficult to say because the market is very, what should I say, good at this point of time. So, who wants to take the order, the people, the companies who does not want to take the order because they are full with the orders, then their prices will be higher like us. We have quoted, now we have started quoting at higher margins now. So that, the conversion may be not 25 %, 30%, it may be 15 % to 20%.

Vishnu Boyapatil: Okay, I understand, sir. Thanks for that one. And next question is, we had PAT margin, PAT profit after tax nearing to 10%. In coming quarters, we may cross the 10% confidently, sir?

Chanchal Rajora: Vishnu, basically, if you have been hearing all the conversation, I always say that my target is to reach to the 10% PAT levels. And sustainable mode, if I continue that, that will be a great achievement for us.

Vishnu Boyapatil: Yes, okay. And we are going to for QIP, is it for both organic and inorganic growth in near future?

Chanchal Rajora : The first question which I answered is that there is no plan of raising fund right now. We have just taken enabling approval. And as and when if any opportunity comes, we will think over that. But in near future, there is no such plan.

Vishnu Boyapatil: Yes, okay. That's all from my side, sir. Thanks for the opportunity you have given me, sir. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Congratulations on excellent set of numbers consistently after quarter after quarter. My query is about the export potential and any risk of duties being levied by the Trump government and the increase in impact of increased Red Sea and the factors leading to increased freight rate and opportunity size in India expected growth rate. Thank you.

Chanchal Rajora: Okay, Vivek, just if you heard, MD sir has just told that we don't want to increase our export abruptly. We just want to, we will just focus that we should have a 20% order book by end of next financial year from the exports. And we would like to restrict on that. The opportunities lies in India are much, much better than the export .

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And we first wants to adopt the policy of India first. As far as the government policies and all this concern, we don't see any changes much in these policies coming. And freight rates are the rates which is keep coming and going. And generally now we have stopped taking the orders on the CIF basis.

We are more focused on the orders on the FOB basis or exports basis. So changes in the freight won't affect on us.

Moderator: Thank you. The next question comes from the line of Jainam from Saltoro Investment .

Jainam: My question is about the new fully automated radiator facility that you are seeking approval

from PGC IL. So I wanted to understand -- I guess it's a high value product. If you could explain what is its utility and will it be focused on the exports or domestic market? And at what stage of PGC IL approval are we? If you could explain that, that would be great.

Management: It is not a high value product. The cost of the radiator in the transformer raw material, if you consider the transformer raw material, the cost of the radiator will be around 8% to 9%, not more than that. And there are a lot of opportunities for export for the radiators also. But before exporting, we want to be sure that the quality which comes out of the plant meets with the requirement of the foreign customers.

plant meets with the

requirement of the foreign customers.

So we will wait for the right opportunity. Once fully we are satisfied, we will start exporting.

There is no dearth of the orders as such. Most of the people who are making radiators are fully booked. Their delivery time has gone to something like 10 to 12 months now in India. So there is no dearth of the orders.

You can get the orders but in absolute terms, the cost of the radiators or the percentage of the radiator cost is only 8% of the total cost of the transformer, raw material cost of the transformer.

Chanchal Rajora: And secondly is that first we wanted to become 100% backward integrated in radiators for our own requirement. And as far as the PGC IL approval is concerned, we have just initiated it for the 765 KV class approvals. So we have just initiated it. So it will take some time to get it.

Moderator: Thank you. The next question comes from the line of Ishita Lodha from S van Investments.

Ishita Lodha: My question is related to the coalitions directly...

Moderator: Ishita, sorry to interrupt you there but your audio is not clear. Could you please repeat your question? It's still not clear. Yes, Ishita. Please go ahead.

Ishita Lodha: I have a question. -- And I also heard that some of the raw material would be sold in the market.

How much would be sold in the market?

Chanchal Rajora: I cannot hear her question clearly. But whatever I heard is that she is talking about the acquisition what we have done right now, right? So, just to, if I am right, then the first target is to utilize that acquisition for completely in-house purpose. And after that, if anything is available, we will be selling it to the peers, right? But we say it cannot be at the present scenario. It cannot be more than 15% of the total capacity available.

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Moderator: Thank you. The next question comes from the line of Abhishek Shah from Ambit Limited.

Abhishek Shah: Just a question on the post this 16,000 MBA capacity expansion. What would be our estimated revenue capacity of our install base? And just to clarify, our FY25 revenue target was around INR2,000 crores, right?

Chanchal Rajora: Yes, Abhishek. Our FY25 revenue target is INR2,000 crores. And we are still on that target. And we hope that we will be able to achieve that. And secondly, post this expansion, we will be somewhere around 55,000 MBA levels.

Moderator: Thank you. The next question comes from the line of Mayank Bhandari from AMSEC.

Mayank Bhandari: Sir, as you highlighted, the order book by the end of this year would be INR4,000 crores. Next year revenue guidance is INR3,500 crores. The execution timeline you also highlighted is 18 to 24 months. So, what am I missing here? Is it like you are getting more orders, more shorter orders? Or how INR4,000 crores of order book will translate into INR3,500 crores of revenue?

Chanchal Rajora: Okay. Mayank, just to inform you that we have three facilities. And all these three facilities produce different kind of transformers. When we are talking about INR4,000 crores order book, we don't count much of the order from the distribution facility because these are the orders which are the short-time orders.

Say order comes in a month or two months time, we make the orders and give it to that. When we talk about the INR4,000 crores order book, majority orders is for which is there for 200 plus KV plus transformers. Right. Our second facility, Changodar, also produce the mid-level transformers. That is also the lead time is around three to four months time. So, this combination is good enough to give us the targets which we are telling right now.

Moderator: Thank you. The next question comes from the line of Nikita Goyal from Subhlaxmi Family Office. Please go ahead.

Nikita Goyal: Hi, sir. Congratulations on a

good set of numbers. I just have this one question. Green hydrogen

transformers which you are the sole qualified supplier, so how much market share is from this particular product? How does this product push to your market share?

Jitendra Mamtara: The market share is today around 18 -- between 18% and 20%. I am talking about EHV transformers. Transformers in the air support ...

Management: She's talking about the green hydrogen. That has not started.

Jitendra Mamtara: Green hydrogen has not yet started. Green hydrogen is still in prototype phase, ma'am. The

project has not taken up the project as yet. That is a very initial stage. They are making prototype and checking the -- Finances and all. So, it is going to take time.

Moderator: Thank you. The next question comes from the line of Surabhi Saraogi from SMIFS Capital Limited . Please go ahead.

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Surabhi Saraogi: Hello. Thank you for the opportunity, sir. Sir, I have just one clarification. In your opening remarks, you said that you have become 100 % backward integrated with the acquisition of -- what was the name of the entity that you mentioned?

Chanchal Rajora: Posco Poggenamp Electrical Private Limited

Surabhi Saraogi: Okay. It is the CRGO processing unit that you have acquired, right?

Chanchal Rajora: Yes.

Surabhi Saraogi: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Shukla from Finvestors . Please go ahead.

Gaurav Shukla: Sir, my question is regarding -- in last conference, you have said that if you want, you can take INR1000 crore s order. And I want to know, sir, what the factors affecting the order book ? Why you cannot take much, much order? And second, sir, regarding CRGO. Is there any CRGO scarcity in the transforming system?

Chanchal Rajora: Okay. Gaurav, first question is that why I am not taking this order because I don't want to pay the late delivery charges to the customers. Second point, as I told you time and again, I was mentioning that we wanted to leverage on the pricing as well as on the payment terms. So, we are very selective on the customers, basically on the payment terms and the pricing side. So, that is the thing.

And as far as the CRGO is concerned, yes, CRGO is a scarcity in the country. India doesn't produce the CRGO. And there are -- the processing of the CRGO is more important because there are not much good processing centers are available in the country.

Moderator: Thank you. The next question...

Chanchal Rajora: Subhadip , can we please take two last questions, please?

Moderator: Okay , sir. The next question comes from the line of Amit from PL Capital . Please go ahead.

Amit: Yes. So, first question is kind of a clarification. You talked about a \$1 billion revenue in next three financial years. Are we talking cumulative number of 9 000 to 10,000 collectively in 36 months?

Chanchal Rajora: I don't think that I should reply this question, Amit. How can I reach to a \$1 billion revenue if you are talking about a collective number of 5 years or 4 years?

Amit: I just wanted a clarification on what you have written in your second question.

Chanchal Rajora: I don't think that I should even reply this number. I am talking about a year number, a year revenue.

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Amit: Annual \$1 billion , right?

Chanchal Rajora: Yes.

Amit: And second...

Moderator: We have lost the line for Amit. We'll move on to our next question from the line of Naman Parmar , Niveshaay Investments . Please go ahead.

Naman Parmar: Yes, good afternoon, sir. Thank you so much for the opportunity. So, I just wanted to understand on the macro side. So, how much the transmission work has been completed till now? Being a largest player in the power trans

former, you will be better able to give understanding on that?

And secondly, I wanted to understand on the lead time in the export market?

Jitendra Mamtara: See, we have no idea about how much transmission projects are completed because, every day, because of the new solar plants coming up, the requirements are getting bigger and bigger. But we have no absolutely idea about how many projects are there today. We only know about how many tenders are there. So, we don't keep track of the transmission projects.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Subhadip Mitra for his closing comments.

Subhadip Mitra: I would like to thank the management for giving us this opportunity to host the call today and for spending so much time with us answering these questions. May I now hand over the call to sir for his closing comments ?

Jitendra Mamtara: Thank you everyone, for participating in this conference call. And we really thank you all for

your good wishes, for our good results. Thank you very much.

Moderator: Thank you. On behalf of Nuvama Wealth Management Limited , that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

Date: 15th April, 2025

Ref: TARIL/SECT/2025-26/NSE-BSE/COMPL/011

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051
Trading Symbol : TARIL

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call held on 08th April, 2025

In terms of Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earning Conference Call with analysts and investors held on 08th April, 2025, to discuss the Audited Standalone and Consolidated Financial Results for the quarter and financial year ended 31st March, 2025.

Further, in terms of Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the aforesaid Transcript of the Earning Conference Call is also uploaded on the website of the Company (www.transformerindia.com).

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

Encl.: As above

TARIL is one of the leading manufacturers of a wide range of transformers globally. Today TARIL is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). TARIL is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers and Rectifiers (India) Limited
4Q FY '25 Conference Call "
April 08 , 202 5

MANAGEMENT : MR. JITENDRA MAMTORA – CHAIRMAN –
TRANSFORMERS AND RECTIFIERS (INDIA) LIMITED
MR. SATYEN MAMTORA – MANAGING DIRECTOR –
TRANSFORMERS AND RECTIFIERS (INDIA) LIMITED
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER
AND ADVISOR TO THE BOARD – TRANSFORMERS AND
RECTIFIERS (INDIA) LIMITED

MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING
LIMITED

Transformers and Rectifiers (India) Limited
April 08 , 2025

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Moderator: Ladies and gentlemen, good day , and welcome to the Transformers and Rectifiers (India) Limited 4Q FY '25 Conference Call , hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Dharendra Tiwari. Thank you , and over to you, sir.

Dhirendra Tiwari: Thank you very much. Good day, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to 4Q FY '25 post -result conference call of Transformers and Rectifiers (India) Limited.

The company today announced a very strong set of numbers and I congratulate the management to deliver yet another very strong quarter. To discuss results and the outlook, I am glad to welcome the management team represented by Mr. Jitendra Mamtoraji, Chairman ; Mr. Satyen Mamtoraji, MD ; and Mr. Chanchal Rajoraji, CFO and Advisor to the Board.

With these words, I now invite Satyenji to give initial remarks, post which we will open the floor for Q&A. Satyenji, over to you. Thank you.

Satyen Mamtoraji: Good evening, ladies and gentlemen. Thank you for joining us today on our FY '25 earnings call. We are pleased to connect with you as we close out with a remarkable financial year and share our performance highlights for both Q4 and full year.

Earlier today, our Board of Directors approved the audited financial results of FY '25 and the same have been released to the stock exchanges along with investor presentation. The financial year 2024 -'25 has been a landmark year for our company, marked by record -breaking operational performance, technological advancement, and strategic growth initiatives that we have significantly enhanced our positioning in the transformer industry.

We have achieved the highest -ever production in the company's history, manufacturing 29,118 MVAs up from 16,425 M VAs in FY '24. This has directly translated into record high revenue growth, supported by strong execution and healthy and diversified order book. Our total order inflow now for FY '25 stood at INR4,504 crore s, the highest in our history. This robust inflow has resulted in an unexecuted order book of INR5,132 crore s as of March 31, 2025, ensuring clear revenue visibility for the next 15 months to 18 months.

One of the most significant milestones was securing a landmark order of INR740 crore s from GETCO in March 2025, the largest single order in our company's history and probably the largest by GETCO as well. This win exemplifies our industry leadership and customer trust. We also successfully raised INR500 crore s via QIP, executed in record time. The capital will be instrumental in furthering our backward integration plans and expanding o ur manufacturing capacities.

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Q4 '25 highlights . Q4 saw successful completion of dynamic short -circuit testing of 500 M VA, 400 k V, a key technical achievement that reinforces our engineering progress. We also completed short -circuit testing with an 8.8 M VA inverted duty transformer, meeting the latest CEA specifications.

Our fully automated radiator facility has progressed well, with PGC IL approval process formally initiated during the quarter. Another major highlight was the record number of transformers tested in December 2024, both in terms of M VA and in total units, underscoring our internal capability and streamlined operations.

During Q4, we entered into technological tie -up to accelerate our backward integration journey. This collaboration enhance d our in -house capabilities, reduce d our dependenc

y on external

sources, and improve d our supply chain resilience. We proudly completed acquisition of a controlling stake in a CRGO processing unit by achieving 100% backward integration in one of the most critical raw materials, which constitutes of 32%-35% of transformer cost input.

Looking ahead, as we transition into FY '26, our focus remains firmly on consolidation, global expansion and sustainable profitability. Our long -term vision to become a US\$1 billion revenue company within next 3 years remains intact , and we are confident of achieving it through consistent execution and customer -centric innovation and robust financial discipline.

Our strategies include strengthening backward integration, investing in automation and digital transformation, focusing on clean, sustainable energy solutions in line with India's power sector ambitions. With strong fundamentals, industry -leading capabilities and high -quality order pipelines, we are well positioned to navigate the opportunities and challenges of the coming year.

On behalf of the entire leadership team, I extend my heartfelt gratitude to all our stakeholders, customers, empl oyers, suppliers, Board members and investors. Your continued trust and support remain s the cornerstone of our journey. Together, we are building a future ready organization that not only leads in the transformer industry, but also contributes meaningfully to India's evolving energy landscape.

Thank you once again for joining us today. I now hand over the mic to our CFO, Mr. Chanchal, to take you through the financial performance in greater detail. Thank you.

Chanchal Rajora: Good evening, all of you, and thank you, Satyen sir, for your comprehensive overview and strategic insight on what has been a truly transformational year for the company. Your leadership has been instrumental in guiding us through a period of strong execution and growth.

It gives me immense pleasure to share with you the record -breaking financial performance achieved by your company, FY '25, a year that marks a new height in terms of the revenue, profitability, and operational strength. I first want to give small quarterly performance snapshots before I take you through the entire year journey.

Let me start with our performance for the final quarter for the financial year. In Q4 FY '25, our stand -alone revenue stood at INR647 crores with EBITDA margin of the quarter at 17.1 % and Transformers and Rectifiers (India) Limited

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a PAT margin for the same quarter was 11.6 %. Together, these back -to-back strong quarters reflect s the impact of improved execution capabilities and sustained demand from both the domestic and export markets.

I'll just give you now the full year financial highlights for FY '25 vis-à-vis FY '24. At the beginning of the year, the company has guided a revenue target of INR 2,000 crores in the financial year FY '25 , and I am proud to inform you that we have ac hieved the group revenue of INR2,051 crores with a PAT ma rgin of 10.1% in FY '25 that shows the journey path the company is going through.

Moving to the full year performance, on a stand -alone basis, we reported a revenue of INR1,950 crores , a significant 53 % growth as compared to FY '24. EBITDA stood at all -time INR320 crores , up from INR125 crores in the previous year, making a 149 % increase. EBITDA margin improved to 16.12 % for the entire year as compared to 10.03 % in FY '24, indicating better operating leverage and cost efficiency measures taken by the organization.

Profit after tax came to INR187 crores , a jump of 325 % as compared to INR41 crores of the last year. PAT margin improved 9.45 %, up from 3.24 % in FY '24. On a consolidated b asis, the revenue target of INR 2,051 crores versus the INR1,294 crores of FY '25. EBITDA margin on a consolidation basis is INR359 crores and the PAT of INR216 crores .

Key fina

ncial ratios and operation metrics. We continue to strengthen our balance sheets and improve our capital efficiencies. During the year, the return on capital employed was improved to 22.76 % from 6.7 % as compared to last year. Return of the investment increased to 23.13 %,

up from 0.95 % of the FY '24.

Debt -to-equity ratio reduced to 0.2 % compared to 0.84 % last year, reflecting our progress towards becoming a net debt-free company. The debtor day reduced significantly to 114 days from 156 days as compared to last year. FY '25 was also a year of decisive actions and strategy expansion for the company.

The company has raised INR500 crores through QIP proceeds, among the fastest fundraisers in the Indian capital market, reflecting the investors' confidence in our long -term vision. Acquired a controlling stake in the CRGO process unit, ensuring 100 % backward integration for a critical raw material component.

Launched two major capacity expansions. 15,000 MVA capacity expansion started in April 2024, the Phase 1 operation by May 2025. During the year, the company has also started a capacity expansion of 22,000 MVA at the EHV transformers expansion at its Moraiya facilities, which is expected to be completed by February 2026.

These projects will take our total manufacturing capacity to 75,000 MVA, enabling us to cater the rising demand from all the corners of the industry. In the next 15 months, the company will be spending INR 550 crores on capex expansions to strengthen its organic as well as backward integration growth, with the target to become 100 % backward integrated.

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Outlook and the closing remarks. Looking ahead of FY '26 , we are entering the year with a robust unexecuted order book of INR5,132 crores and a well -diversified pipeline of inquiries from both domestic and international markets.

Our focus area remains continued margin expansion through operational efficiency, enhanced return ratios, strengthening backward integrations, becoming a debt -free company within the next 1 to 2 years ' time. We are fully committed to our long -term goal of reaching US\$1 billion in revenue within the next 3 financial years, and we believe that we are well on track to achieve this vision.

In conclusion, I would like to express my deepest gratitude to all the stakeholders, our customers, investors, Board members and especially to our hard -working employees for their continued trust and belief in our journey. With your support drives our passion to deliver excellence and create a long -term value. We are excited about the opportunities ahead and remain confident in our ability to capitalize on them with discipline, agility, and ambitions.

Thank you once again for joining us today, and now I request the moderator to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from Bharat Shah from ASK Investment Managers Limited .

Bharat Shah: My hearty congratulations , Jitendra bhai, Satyen bhai and Chanchal ji. This is a remarkable testimony to something that you charted out some time back and a really delightful execution, I must say. Just two initial points that I wanted to understand. The margin in the fourth quarter in particular is quite healthy and surprisingly robust. Is this operating margin of almost over 19% for the fourth quarter on a consolidated basis? Chanchalji, is this representative of the picture ahead in terms of the margins?

Chanchal Rajora: Sir, good evening. How are you, sir?

Bharat Shah: All well. Thank you.

Chanchal Rajora: Thank you for joining us. It's really a privilege to have you here. Sir, quarter 4 , there are a couple of orders that we have executed were at very , very excellent margins . And that's why this quarter 4 margin is looking a

little bit robust. But on the futuristic side, the margins what we are showing on a yearly basis will be the guided margins, sir.

Bharat Shah: I see. And which we should take into account is what kind of a range?

Chanchal Rajora: 16% to 17% level, sir.

Bharat Shah: Okay. For the year ahead.

Chanchal Rajora: Yes, sir.

Bharat Shah: Sure. And as we move to the journey of \$1 billion, which means from little over INR2,000 crores in the year gone by. So by '28, we are seeing turnover more than quadruple. And I assume given

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the operating leverage and the other benefit that will accrue, our profit should grow at a rate faster in that journey.

Chanchal Rajora: Yes, sir. I agree with you, sir. As I guided always , our target is to reach to a 10% PAT level.

And we are basically targeting that . And as you said correctly, the margins will improve as well as the resource will improve drastically, sir.

Bharat Shah: Fantastic. Once again, congratulations. And I think I was also very impressed that on 8th of April, a week after the year has gone by, not only results have been announced, but audited results have been announced. This is remarkable. So once again, congratulations, Jitendra bhai, Satyen bhai and Chanchal ji. This is something to look forward to .

Jitendra Mamtara: Thank you, Bharat bhai. And one thing which is very close to my heart is the backward integration which we are doing, which will definitely give us a lead over other players as far as the order booking and the margins are concerned and also improving the quality of the goods which we are going to make , because everything is going to be in -house.

So, we will save time as far as the inspections are concerned , because today the inspectors, the utility inspectors, they go to place to place to do the inspection. Here they have to visit only one place to do all the inspections. So that will also give us a faster lead time. And we are very confident about this. Thank you, Bharat bhai, again for joining us.

Bharat Shah: Thank you. And all the very best.

Jitendra Mamtara: Thank you.

Moderator: Thank you. Your next question comes from Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal : Yes, sir. Thank you for the opportunity. My question on your improvement in working capital this year compared to last year. So how do you see this is sustainable or what is the sustainable working capital we can think when you talk about \$1 billion revenue?

Chanchal Rajora: Manish, thank you very much for joining us . And the working capital what we are showing here, if you have been actually hearing us, we are targeting at the level of around 120 days working capital. And I'm pleased to say that we are quite on that track. And it's a sustainable working capital for throughout the year.

But on our other side, our target is to reach 200 days levels. And as the revenue will increase and the margin will build up and resource will build up, this is going to be a very, very sustainable target.

Manish Ostwal Okay, sir. And I'm referring the recent CNBC interview where the management set INR8,000 crores of order for next year. Given the performance and the given the current pipeline, will you revise that number or the INR8,000 crores is the number which we are looking to achieve in the next financial year?

Satyen Mamtara: So, next financial year, our order book input will be around INR8,000 crores?

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Manish Ostwal Order book will be INR8,000 crores, not the order inflow right, against the INR4,500 crores which you have reported this year.

Satyen Mamtara: Yes, because we are going to dispatch the INR3,500 crores worth transformers this year. So, our order input will be around 8,000 -- order UEOB will be around INR8,000 crores.

Manish Ostwal Yes. And lastly, sir, on the product innovation side, I mean, the high voltage transformers, any innovation we have done during the year. Can you talk about something on that front, which came high in value and margin accredited for us?

Chanchal Rajora: Manish, we are actually all -- into all kinds of the transformers right now. Yes, for this year, we are targeting that we wanted to get into the HVDC segment, and pretty soon we will be into that line. Otherwise, if you say about the HV transformers, we have the capability to make up to 1,200 kV transformers and no transformer has been built more than that so far now.

Manish Ostwal And one small data point, can you split the capex for '26 -'27. And last time you shared the product -wise and the customer -wise order book breakdown. This time it is not available in the presentation. Can you share the data? Thanks.

Chanchal Rajora: Okay. Manish, '26 - '27 capex, we have not identified, we are working on those numbers so far. Firstly, our target is to become the 100% backward integrated and for that Board has allocated INR550 crores, which will be used for the backward integration as well as to the organic growth what we are eyeing for 22,000 MVA in this year. So that will be come up.

As far as the customer breakup is concerned, in our present order book around 45% is the utility business and around 55% is the EPC and other businesses comps. As far as the product is concerned, 70% of our product is on the 220 kVA plus and 30% is on the other transformer sides.

Manish Ostwal What is the export share of the order book?

Chanchal Rajora: Not only order book, basically if I could tell you in revenue around 15% to 17% is the export shares. And order book is also around 15%. And as you have been hearing us that we have targeted to remain around 15% on the export order book size.

We don't want to increase more than that because the opportunities are very, very high in India,

and margins and payment terms are much, much better now in India.

Manish Ostwal Absolutely. Thank you.

Moderator: Your next question comes from Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami My first question is on the growth that you are building up in 1 billion revenues. So, it was based mostly on the government capex or are we basing on the private capex? And also now that we are venturing into EHVAC and HVDC, how confident are we given that the transformers capacity in the industry is also rising? How competitive are we in that segment, and what sort of margin we'll be able to maintain there?

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Chanchal Rajora: Anupam, what was your first question?

Anupam Goswami : The growth that you are building, it is based on government utility or mostly --?

Chanchal Rajora: Anupam, basically if you see in my present order book is 45%, 55%. We have the customer mix and that shows that we have the diversified customer range. And second point is that let me tell you that the grid expansion in India is taking a very, very fast pace.

If I give you a very small example, that as per the CA only in next 6 years basically, 381 transformers are required for the grid expansion, which is 220 kVA plus transformers and around 193 reactors are required. And at present, we even don't have the 50 % capacity of that in India. And the growth in the grid expansion is taking a very, very fast manner.

So, by both the levels, the requirements are coming and we are serving both the clients on that level. And second point is that that margins have reached up to the level where we don't want to increase the margins much, as our Chairman's philosophy is very, very clear that we should not increase the margins to open the doors for us.

Yes, HVDC we are entering and we are quite compatible in terms of the HVDC. As we have the manufacturing excellence or

engineering excellence for the other products also, same we have in this also.

Anupam Goswami So in HVDC, do we intend to tie up with something, because I believe HVDC only few players are qualified? Have we gotten any order or approval as of now?

Jitendra Mamtara: Anupam, there are no orders as such. But they've been promised by the central [24:37 -Inaudible], they will give us the work for the repair of the transformers. And once they are comfortable with what we do on the transformers, which we are going to repair, because there is a huge failure of the HVDC transformers in the grid.

So, they are very much keen to have the players who are homegrown or because of the Indian - make philosophy of our Prime Minister, they are going to give us a trial order for that. And once we get it, we will do it on our own.

But as far as the technology is concerned, we are not going to get the technology from anyone, nobody is going to share that. Now if you see even 400 kV and 765 kV, technology is not available. If somebody has to do it, he has to do it on his own.

Anupam Goswami Okay, sir. So lastly, if you can give some light on the kind of capacity transformers India is building up in the next two, three years and the kind of demand – demand you already mentioned.

Will there be any refurbishment of old transformers and those orders along with this?

Jitendra Mamtara: Anupam, the old transformers are going to be replaced. The transformers which are older than 35 years, they are going to be replaced. But they are not plenty, because we have started building 400 kV line since last only two decades and 765 kV only since last 15 years. So, there are not going to be many transformers for repairs of 400 kV or 765 kV, but in the years to come, it is going to be.

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Anupam Goswami Thank you, sir. I'll join back in the queue.

Moderator: Thank you. The next question comes from Bhalchandra Shinde from Motilal Oswal Asset Management Company. Please go ahead.

Bhalchandra S hinde : Hi, sir. On the current order book, what will be your execution cycle?

Chanchal Rajora: 15 to 18 months.

Bhalchandra S hinde : And since we have started the CRGO steel plant, what kind of an inventory will need to keep and how the cost impact or cost benefit one should see based on the steel price movement?

Chanchal Rajora: We have already tied up with the couple of mines for the long term, mills for the long -term supplies. So, we'll be not keeping the inventory much into our facilities. They are going to supply us on monthly basis to us. So, there is no such inventory built up is required.

And more than the margins and these things, this acquisition will improve us the quality as well

as the operational efficiency and delivery time, which will automatically end up increasing our margins.

Bhalchandra S hinde : And so -- because of the benefit of advances received for the --.

Moderator: Really sorry to interrupt. Shinde sir, we had lost your audio in between and there is a lot of background sound also coming from your line. So, if you can repeat the question once again.

Bhalchandra S hinde : Can you hear me now?

Moderator: Yes sir, this is much better.

Bhalchandra S hinde : So in working capital improvement, how much is the benefit because of the advances received from the customer?

Chanchal Rajora: Not a significant improvement on that basis, Mr. Shinde, it is an overall a holistic approach what organization has taken, that is basically yielding the improvement in the working capital.

Bhalchandra S hinde : Got it. And overall, what will be our targets as you said in FY '26 for order inflow?

Chanchal Rajora: Just I think a question back, our MD has actually replied that. So, our target is to have the INR8,000 crores order book by end of the next year.

Bhalchandra S: Got it. Thanks.

Chanchal Rajora: Sagar, c

an you please stick to one question by every person, because there are lots of people are in queue, please.

Moderator: Definitely. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference, please restrict your questions to one each per participant. If you have any follow up questions, you may rejoin in the queue. Your next question comes from Samarth Khandelwal from ICICI Securities. Please go ahead.

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Samarth Khandelwal : Good afternoon, sir. Congratulations on a very good quarter. Sir, my question is on the special duty transformer side, which I believe is the area of market is exports. First question is that how will the tax impact this demand for special transformers from us? Yes, that's with respect to special transformer, that's it.

Jitendra Mamtara: Samarth, the market for the special transformer is growing very fast, mainly because of the speed which has taken up for production of the green hydrogen and ammonia. There is going to be huge requirement of transformers for that. We have been getting inquiries from all over the world for the supply of these rectifier transformers. So, the business is going to grow in a big way. So, there's going to be a huge requirement for those transformers as well in the coming years. And as far as India is concerned, we are the major supplier of these rectifier transformers, and the transformers for the furnaces, whether it is electrical arc furnace, whether it is submerged arc furnace. So that business is also growing very fast. Have I answered your question, Samarth?

Samarth Khandelwal : Yes, you have. Thank you. I'll join back in the queue.

Moderator: Thank you. The next question comes from Mayank Chaturvedi from HSBC Mutual Funds. Please go ahead.

Mayank Chaturvedi : Yes, thank you for the opportunity, sir. Just a clarification, you said the manufactured MVA for the year stands at about 29,000 MVA. But when we had discussed 2Q FY '25 results, it is guided that there will be around 40,000 MVA with a revenue of about INR2,000 crores.

So the realization per MVA was about 5 lakhs per MVA. But now it seems it has risen to about 7 lakhs per MVA. So, can you just clarify what the difference that has come out in the second half of FY '25 on the realisation and the realties, please?

Jitendra Mamtara: Mayank, this is wrong perception of the people that realization of the - per MVA realization is just for the namesake. See, if you make a larger transformers, like if you make a 500 MVA, 765 kVA transformer, which is single phase, which is around today, the 500 MVA transformer costs about INR20 crores. If you talk about 500 MVA transformer, three phases of 400 kV, it is costing you INR32 crores.

So it is just for the namesake, you can't decide the per MVA realization of the transformer and come to the conclusion about the margins. Like reactors, reactors are, again, 7 lakhs to 8 lakhs per MVA. But they are different.

So, every transformer has a different per MVA realization. If you go for a smaller transformer, the realization will be something like 15 lakhs per MVA. So, it does not tell you anything about the realization per MVA. But 29,000 MVA or 30,000 MVA and INR2,000 crores of revenue comes to around 6 lakhs per MVA. So that's fairly good.

Mayank Chaturvedi : Yes. Okay. And just a follow up on this. Safe to say that, you are now operating at 70% -75% utilization and that will get fully utilized in the next year?

Satyen Mamtara: Yes, we are currently at 60% -65% utilization. Next year, we should reach about 80% utilization.

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Mayank Chaturvedi : Okay sir. Thank you.

Chanchal Rajora: Mayank?

Mayank Chaturvedi : Yes sir.

Chanchal Rajora: Thank you very much for your continuous conf

idence and support.

Mayank Chaturvedi : Pleasure is mine, sir. Thank you.

Moderator: Thank you. The next question comes from Pritesh Chheda from Lucky. Please go ahead.

Pritesh Chheda: Two-three things, I missed your volume number for FY '25 and I missed the CRGO backward integration. So, do we do right now make any CRGO or this is all incremental that you're talking about?

Jitendra Mamtara: See, this is a process house. It just processes the CRGO.

Pritesh Chheda: Yes, I know.

Jitendra Mamtara: It is just the processing.

Pritesh Chheda: So the lamination...

Jitendra Mamtara: Yes, Pritesh, tell me.

Pritesh Chheda: Go ahead, sir. So, I'm just saying, were you making your laminations earlier or this is first time you will make it?

Jitendra Mamtara: See, we have taken over a company which was into this business. So, we have taken 51% stake in it. So, we don't have to look for the technology partner or anything. The person is already there, he's working on that, and we are adding on two more lines for manufacture of CRGO of different configuration, and also the CRGO for the reactor coils. The reactor coils, there are only two people who are doing it now. So, we'll be the third party to be doing it.

Pritesh Chheda: Okay. So basically the volume that this company was doing and will do what is that number?

Jitendra Mamtara: See, they were not doing much because they had a lot of financial issues and all that and they had some conflict of interest with Posco who were their partners. So now they are not there, but Posco has assured us a particular supply so that we are not short of material when the time comes.

Pritesh Chheda: So when you said 100% backward integration between next year your whole volumes will be -- the laminations will be all that's how it will be?

Jitendra Mamtara: Yes. CRGO will be almost 100% ours almost I say because sometimes the larger rating are many and then limited capacity of the larger machine. So we may have to buy from outside or we may get it done on job work.

Pritesh Chheda: And the volume number?

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Jitendra Mamtara: 80% will come from our own company.

Pritesh Chheda: Sir, I asked the volume number for FY 25. What was your transformer volume number?

Chanchal Rajora: Pritesh, if you exactly wanted to understand what - how many numbers we are producing, we have lots of different, different kind of...

Pritesh Chheda: No, I asked the - sir, I am asking the MVA. You gave out the MVA number?

Chanchal Rajora: 28,882 MVA.

Pritesh Chheda: Okay, perfect. Thank you very much.

Chanchal Rajora: Sagar?

Moderator : Yes, sir.

Chanchal Rajora: Sagar, I request you to please take one question at one time, please.

Moderator : Sure. The next question comes from Rucheeta Kadge from Iwealth. Please go ahead.

Rucheeta Kadge: Hello, sir. Very good evening. Most of my questions are answered. Just one question on the capex side, as you're saying that we'll do around - in the next 15 months around INR550 crore s of capex. So how much would that be in FY '26?

Chanchal Rajora: FY '26 should be close to around INR400 crore s.

Rucheeta Kadge: INR400 crores. Okay and that would mainly be spent on the backward integration part?

Chanchal Rajora: Backward integration as well as in organic growth.

Rucheeta Kadge: Okay, so how much for the backward integration and how much for the organic growth?

Chanchal Rajora: Rucheeta, as of now we don't have the perfect numbers, but just say it will be 40% should be on organic growth and 60% should be on the backward integration side.

Rucheeta Kadge: Okay, and just so just to confirm, next year.

Moderator : Sorry to interrupt Ms. Rucheeta. May we request you to return to the question queue for follow-up questions?

Rucheeta Kadge: Sure.

Moderator : Your next question comes from Kaushal S

harma from Equinox Capital Ventures Private Limited. Please go ahead.

Kaushal Sharma: Hi, sir. Very good evening. Am I audible?

Chanchal Rajora: Yes, please.

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Kaushal Sharma: Yes, so my question is on the industry side. Like I've heard that there is great opportunity in the US side because there is some disruption on their great side. So and we have recently faced some reciprocal tariff in our industry. So are we expecting a good momentum in the export market as far as the US is concerned and what kind of tariff impact in our industry would impact our margin in future?

Satyen Mamtara: So we are - we would be doing around 10% of our total turnover next year in exports.

Kaushal Sharma: So do we have any impact on this reciprocal tariff on our margin?

Satyen Mamtara: No, there is no reciprocal tariff. Our products are exempted from tariffs.

Kaushal Sharma: Okay, sir. Thank you.

Moderator: Thank you. Your next question comes from Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: Hi, Jitendraji. Congratulations on a very good set of numbers. So, one question is that orders that got delivered this quarter, you mentioned that were of high margin. So which segment was that in terms of type of transformer?

Chanchal Rajora: Extra high voltage transformers.

Gunjan Kabra: So our order book is also in the high voltage transformer majority of the order book. So why can't the margin sustain in spite of we being the most backward integrated player in the industry then?

Chanchal Rajora: Gunjan, look we have the product mix with us and the customer mix. So it's not, it's not there that with every customer we have that much of the margin. So on an average basis, so the margins will remain somewhere around 16% to 17% bracket as we told you.

Gunjan Kabra: Okay. And sir in the beginning of the year, we had 17,000 crores of order pipeline and now it is around 22,000 crores. So how much of the 17,000 has been converted in terms of orders in the industry itself and right now how much would be from the high kV side and how much would be from the IDT side, any idea on that?

Chanchal Rajora: Gunjan, basically, if you see that out of 17,000 what the inquiry lines we have, we already got around INR4,500 crore of the orders. So that is there. And apart from that, we still have 22%, INR22 crore. If you see that sorry INR22,000 crore. If you see the success ratio, you can see we are already reaching to the next year requirement.

Gunjan Kabra: So the 17,000 has already been...

Chanchal Rajora: Particularly all these inquiries are basically around 17%, sorry 70% is on the EHV transformer side and 30% is from the different product mix side.

Gunjan Kabra: Okay. Perfect.

Chanchal Rajora: Thank you.

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Gunjan Kabra: Okay. I'll get back in the queue. Thank you so much.

Moderator: Thank you. Your next question comes from Vishal Singh from Finvestors. Please go ahead.

Vishal Singh: Thanks for the opportunity, sir. And thank you again for - congratulating you for surprising us again with superlative blockbuster numbers. So my questions are mainly answered, but one thing which was left behind was that we are doing a capex of 550 crore in the next 15 months. So what is the process of fundraise, is it through QIP or something?

Chanchal Rajora: No, as of now, not.

Satyen Mamtara: We've already raised the funds through our last QIP, so we wouldn't be needing any more funds.

Vishal Singh: Thank you very much for that. And sir can you give us the breakup of the export in - in countries like 10% which we are doing, though you have decreased it from 15% to 10%, is really nice as per the current situation?

Satyen Mamtara: So we would be exporting to almost all developed countries

of the world.

Vishal Singh: Understood. But can we just know, you must be knowing that we are directly talking about US, what sort of numbers from the US?

Satyen Mamtara: Sorry, I didn't get your question.

Vishal Singh: What sort of percentage we are expecting to export to US?

Satyen Mamtara: We will see. As time goes by, we will see how much we are exporting to the US and how much we are exporting to other countries of the world.

Vishal Singh: I am not sure as of now.

Chanchal Rajora: Vishal, US is not that focus for us. Our focus is that where there is the more revenues coming up.

Vishal Singh: Unders tood. Thank you very much, sir a nd good luck.

Moderator : Thank you. Y our next question comes from A aryan Saluja from Derby Asset. Please go ahead.

Aaryan Saluja: You mentioned your philosophy about not fo cusing on margin to open doors, b ut as on the l ast con call we have discussed about the CRGO scarcity and backward integration. Where do you see that playing out in terms of margins in the future as we have already attained 19% without them playing out yet?

Satyen Mamtara: Sorry, I didn't understand your question clearly. What is it?

Aaryan Saluja: You have told us that your foc us is not on margin improvement?

Chanchal Rajora: Aaryan, our focus what my - our intent is that our focus is not to increase the margins by increasing the prices. Our focus is to increase the margins by increasing the operational

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efficiencies. And coming back to the question what you have asked is that we have achieved a standalone margin of 16% and 17% level, which is the sustainable margin for the industry and for us.

So, we don't want to increase the prici ng to open the door for others t hat is what is meaning.

Second point is that on the backward integration size, what we are looking up that the margins what we will be getting from that, that will be the additional margin will be adding up in our revenues and margins.

Aaryan Saluja: Okay. Thanks.

Moderator : Thank you. Your next question comes from Siddhant Gupta from RV Investments. Please go ahead.

Siddhant Gupta: So, congratulations on a good set of numbers. So, all my questions have been answered. So, I will just ask one question. So, can you comment on the bottom line?

Chanchal Rajora: My bottom line is 10% dear .

Siddhant Gupta: And going forward, will it remain same or like any changes we can expect?

Satyen Mamtara: It will remain the same.

Siddhant Gupta: Okay, sir. That's it. Thank you.

Moderator : Thank you. Your next question comes from Shivam Da ve from Prodigy Investments. Please go ahead.

Shivam Dav e: Yes, I just wanted some clarity on the balance sheet. There is a sharp i ncrease in your non - current trade receivables. What does that account for?

Chanchal Rajora: Shivam, basically in our receivables, there are the two kinds of the receivables. The one is the receivable which are the due for the payment and second is the receivables which is basically retention money lies with the utilities, which comes basically after the project is completed. So, these non -current rece ivables are the receivables which are not due for the payments.

Shivam Da ve: So, that is INR336 crores , right?

Chanchal Rajora: Yes, sir. That is INR336 crores. So which will be realized in next 6 months to 12 month's time.

Shivam Dav e: Okay. So, that is very helpful.

Chanchal Rajora: As soon as the projects will come. And also there is a part of that into the - in that the receivables which are basically related to the March sales. So, then those are not due because once the product will reach there, then these will be due for that payment. So, it is for the better understanding for the investors.

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Shivam Dave : Okay. And another ju

st a follow up if I can ask the 15,000 MVA capex that we have, when would that come online?

Chanchal Rajora: The first phase will start from the May 25 in 2 months' time.

Shivam Da ve: So, that should first phase should include how much?

Chanchal Rajora: The first phase should include around half of the volume and by as progress by Q2, the entire will be available for the commercial production.

Shivam Dav e: Okay. That is it from my side. Thank you.

Moderator: Thank you. The next follow up question comes from Samarth Khandelwal from ICICI Securities. Please go ahead.

Samarth Khandelwal: Sir, we did a technical tie up for manufacturing bushing this quarter. Could you elaborate on that and how much of the raw material cost and sir percentage of raw material cost, the bushing cost and how much will be the benefit?

Chanchal Rajora: Samarth, these technology tie ups are related to the backward integration components, mainly for the bushing and the insulation products. These are basically, they may not be coming under the AB category of the raw materials, but they are very critical components for the transformers and their lead times are quite high to mitigate that lead time and to mitigate the availability of the product immediately, these backward integrations are being done.

Samarth Khandelwal: Okay. Thank you.

Moderator: Sure. The next question comes from Prerak Gandhi from Neumerc Research Lab. Please go ahead.

Prerak Gandhi: Hello, sir, and congratulations on a stellar set of numbers. So, hello, am I audible?

Chanchal Rajora: Yes, sir.

Prerak Gandhi: Yes. So, sir, with respect to the 22,000 MVA that capex which we intend to plan to incur, so where do we see the finance coming from that, how do we - how are we going to finance capex?

Chanchal Rajora: From the internal accruals and the QIP proceeds what we have with us.

Prerak Gandhi: Okay. And sir with respect to the CRGO backward integration, how much margin improvement do we see once the CRGO is completely backward integrated?

Chanchal Rajora: Sir, it won't increase much of the margins. We may end up having 0.25% on the product basis, but it is going to improve my operational efficiency and quality, which will give me the extra leverage on my production capacity.

Prerak Gandhi: Okay. And sir, just one more question, if I may. Sir, are there any bottlenecks with respect to the power and transmission industry because we are seeing a lot of slow government capex as well.

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So, the transmission distribution industry entirely depends on the government capex. So, are we seeing any slowdown, are there any major bottlenecks which we are facing, considering that we also have a major chunk of power in distribution transformers?

Satyen Mamtara: No, there is no slowdown in terms of government spending in the power sector at all, power and energy sector at all.

Prerak Gandhi: Okay. Thank you and all the best.

Satyen Mamtara: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Dharendra Tiwari for closing remarks.

Dhirendra Tiwari: Thank you very much and I would like to thank the management of Transformer Rectifier to give us the opportunity to host the call. Before I end, may I invite Satyen ji for his closing remarks, please.

Satyen Mamtara: I would like to sincerely thank each of you for taking your time and joining us today in our rings call. We hope that we have addressed all your queries and we look forward to many more meaningful interactions with you in the future. Thank you.

Dhirendra Tiwari: Thank you very much and we can close the call now.

Chanchal Rajora: Thank you. Thanks, Sagar and thanks, Tiwari ji.

Dhirendra Tiwari: Thank you, Chanchal ji. Thank you. Thanks a lot and all the best for future

and now we can

close the call. Have a good evening. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

Date: 04th August, 2025

Ref: TARIL/SECT/2025-26/NSE-BSE/COMPL/035

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051
Trading Symbol : TARIL

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call - Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

In terms of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earnings Conference Call with analysts and investors held on 01st August, 2025, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June, 2025.

The said Transcript of the Earning Conference Call is also uploaded on the website of the Company (www.transformerindia.com).

Please take the same on your record.

Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited

Rakesh Kiri
Company Secretary

Encl.: As above

TARIL is one of the leading manufacturers of a wide range of transformers globally. Today TARIL is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). TARIL is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers and Rectifiers (India) Limited
Q1 FY '25 Conference Call "

August 01, 2025

MANAGEMENT : MR. SATYEN MAMTORA – MANAGING DIRECTOR –
TRANSFORMERS AND RECTIFIERS (INDIA) LIMITED
MR. CHANCHAL RAJORA – CHIEF FINANCIAL OFFICER
AND ADVISOR TO THE BOARD – TRANSFORMERS AND
RECTIFIERS (INDIA) LIMITED

MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING
LIMITED

Transformers and Rectifiers (India) Limited
August 01, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Transformers and Rectifiers India Limited Q1 and FY '26 Earnings Conference Call hosted by Antique Stockbroking Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stockbroking. Thank you, and over to you, sir.

Dhirendra Tiwari: Thank you. Good day, ladies and gentlemen. Let me extend my warm welcome to you to discuss 1Q FY '26 results of Transformers and Rectifiers India Limited. To discuss results, I am pleased to have with us today Satyen Mamtora, MD and Mr. Chanchal Rajora, CFO and adviser to the Board. Before starting the call, let me again congratulate the entire team of TRIL for outstanding performance yet again.

With this, I hand over the call to Mr. Satyen for initial remarks. Over to you.

Satyen Mamtora: Good evening ladies and gentlemen, a very warm welcome to all of you and thank you for joining us on our Q1 FY '26 earnings call. It gives me a great pleasure to connect with you at the beginning of what promises to be an exciting transformative year for our organization. Earlier today, our Board of Directors has approved the audited financial results for the quarter ending June 30, 2025. And the same have been submitted to the stock exchanges and published along with investor presentation.

Let me begin with some of the key highlights from this quarter. During quarter 1 FY '26, we recorded a total order inflow of INR665 crores reflecting the strength of our market position and customer confidence. This momentum has translated into unexecuted order book of INR5,246 crores as of June 30, 2025, providing strong revenue visibility for the next 15 to 18 months. A standout achievement this quarter was securing a single largest export order in our company's history valued at USD16.6 million from one of the leading energy EPC from the country -- from Botswana.

This milestone underscores not only our growing international presence but also our ability to deliver complex and high-value solutions to global customers. On manufacturing front, we are making strong progress on our capacity expansion and backward integration roadmap. The construction of our new 22,000 MVA manufacturing capacity at Moraiya facility has commenced. This facility will be reaffirming our commitment to operational excellence. In parallel, we have initiated expansion of our CRGO processing unit along with construction of our new backward integration units aimed at enhancing quality control and supporting long-term vision for self-reliance.

These strategic initiatives are aligned with our ambition to become a global force in transformer industry. I am pleased to share that we remain firmly in our track journey towards achieving USD1 billion in revenue over the next 3 financial years.

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On behalf of the entire leadership team, I extend my heartfelt gratitude to all our stakeholders, customers, employees, suppliers, board members and investors. Your continued trust and support remains the cornerstone of our journey. Together, we are building a future ready organization that will not only lead transformer industry, but also contribute meaningful to India's evolving energy landscape.

I'll now hand over -- before handing over the mike to, CFO, Mr. Chanchal, I would like all of you to please welcome Mr. Mukul Srivastava. He joined us as a position of CEO and help us grow in the manufacturing sector.

I hand over now to our CFO, Chanchal, to take you through the financial performance in greater detail.

Chanchal Rajora: Good evening, everyone, and thank you Satyen sir for the strategic overview and you're inspiring leadership through what has been a period of strong execution and transformation. I'm pleased to take you through the financial performance for the first quarter of FY '26, which builds the momentum of last year and reflects our continued focus on the profitability and sustainable growth.

Let's begin with the key highlights of the quarter. Revenue from the operation stood at INR510 crores on a stand-alone basis, marking a 64% year-on-year growth over the same quarter last year. EBITDA came at INR97 crores, showing 127% increase year-to-year, driven by the scale benefits and improved cost efficiencies. Profit after tax was INR60 crore, a significant 227% year-to-year growth reflecting strong operational performance and discipline in executions. Improvements of the operational efficiency and process optimization has begun to reflect positively on our profitability. Our EBITDA and PAT margins have expanded meaningfully over the period -- over the prior year, and we continue to maintain the sharp focus on the cash flows and working capital management.

We also continued to improve across our key operational and financial resources ratios and strengthening our balance sheet further and enhancing return on capital metrics. As of 30th of June 2026 in quarter 1, our current ratio stands 2.25 reflects a strong liquidity. The trade receivables days is at 126 days, which includes the retention money also. While the trade receivables are at 72 days, indicating the better working capital cycle management.

Looking ahead, we remain committed to the driving margin expansion, enhancing capital efficiency and progression towards becoming a net debt-free company next over 18 to 24 months. We are fully committed to our long-term goal of reaching USD 1 billion in revenue in the next 3 financial years and we believe that we are well on track to achieve this.

In conclusion, I would like to express my deepest gratitude to all of our stakeholders, our customers, investors, board members and especially to our hard-working employees for their continued trust and belief in our journey.

Your support drives us -- drives our passion to deliver expense and create long-term values. With that, I conclude my remarks, and thank you all once again for the continued support and interest. We will now open the floor for the questions. Thank you.

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Moderator: The first question is from the line of Manish Ostwal from Nirmal Bang.

Manish Ostwal: Good set of numbers, another great execution in the business. My question on our annual report, which we have released recently. So there's a trade receivable in the non-current assets which is sitting INR336 crores versus INR2 crores last year. So can you explain why the trade receivable is sitting in the noncurrent asset, basically, to understand because it should be part of the -- your current assets. So why we have put it that way?

Chanchal Rajora: Manish, thank you for this question, and welcome on this call. Manish these are the noncurrent nature receivables, which includes the retention money, which we are going to get from the utilities in 1 to 1.5 year time and also it includes the revenue debtors which are not immediately due for the payments. So this classification has been done by our auditors on their advice to understand better the exact trade receivable cycle what company is having.

Manish Ostwal: So what is the typical time frame to receive this money of INR336 crores?

Chanchal Rajora: Look, this is not INR336 crores, out of INR336 crores around INR180 crores was around on the retention money, which we basically get in 12 to 15 months' time with the utilities. And it is a

continuous process, which is keep coming. Next question please, Shruti.

Moderator: The next question is from the line of Samarth Khandelwal from ICICI Securities.

Samarth Khandelwal: Sir, firstly, congratulations on the performance. So my question is regarding what would be the size of specialty transformers for the company as opportunities?

Satyen Mamtara: Sorry, I didn't get your question.

Samarth Khandelwal: The size of special duty transformers that the company has. So what would be the annual...

Satyen Mamtara: It's around 35% of the turnover.

Moderator: The next question is from the line of Raj Sarraf from Finvetors.

Raj Sarraf: Congratulations first of all for posting once again very stellar set of numbers. So just wanted to ask the margin which is bumped up if I compare the same from last financial year quarter 1. So is it sustainable? And what would be -- how we assess the PAT margin going forward keeping

all backward integration keeping in mind, which is coming in the next 3, 4, 5 quarters?

Satyen Mamtara: Raj, yes the margins are sustainable. Backward integration is going to help us in a great deal in terms of protecting our profits, but also with Mukul sir joining us, we are working towards operational excellence, and we are working towards how to grow operational profit. So that is going to help us more in terms of -- not raw material cost, but in terms of how efficiently we run our plants now. So that is going to help us a lot in securing our margins.

Chanchal Rajora: And Raj, just to continue what our MD has told just now, if you see that last 3 quarters, quarter-by-quarter, we are strengthening our margins. And this shows the trend is sustainable and on the right direction.

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Raj Sarraf: Okay. And just one other question. Now if I see government of India target to have a solution of high voltage transformer that is going to be actually double than the last we have done in financial year '25. So though we have targeted the number of INR3,500 crores that is very phenomenal, so what is the -- by seeing the execution capacity and the capacity which is coming on right now to execute, so is the execution can be in line with what is the country going to install the capacity going forward?

Chanchal Rajora: Every transformer manufacturer is trying to align itself towards the country demand. And we are also working on that direction and we hope that we all will be able to cater the country's requirements pretty soon.

Raj Sarraf: Okay sir. Any ballpark number, sir, if you can guide us for margin and PAT margins going forward?

Chanchal Rajora: We are at the levels which are already going on has been -- I have been telling throughout my call that around 17%, 18% is the numbers, which is a sustainable number and we are working on that direction and we are delivering that numbers. Right?

Raj Sarraf: Once again congratulations and wish you best luck for the future.

Moderator: The next question is from the line of Ashish Soni from Family Office.

Ashish Soni : INR18,000 crore order book, when do you expect and what percentage are we expecting to convert for next...

Chanchal Rajora: How much?

Ashish Soni : You have INR18,000 crore order book, right?

Chanchal Rajora: No, no. these are inquiries under negotiation.

Ashish Soni : Yes, yes. So that one, how many are you expecting in the next 2 quarters or 3 quarters out of that?

Satyen Mamtara: So we should be closing our order book next year at around INR5,000 crores.

Ashish Soni : But I think you guided -- if I recollect last quarter, you guided...

Satyen Mamtara: The INR5,000 crores next year. So on 1st April 2026, our unexecuted order book would be INR5,000 crores, and we are expecting around INR3,500 crores of turnover of this -- on this year.

Ashish

Soni : So next year, you'll again start with INR5,000 crore order book, that's what you are saying because if I recollect...

Satyen Mamtara: Yes, that's what I am saying.

Ashish Soni : Last quarter, you told I think INR8,500 crores by next year order book wise, if I recollect.

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Chanchal Rajora: Look, Ashish, what we -- what MD is trying to tell you is that we are basically now working on the directions where we can have the high-margin order books and high-margin revenues and higher margin orders. We are targeting that we should have the number of somewhere around INR5,000 or INR5,500 crores plus order book, which will give the high yield revenue instead of going for each and every order, right? Yes, that's what we are targeting.

Moderator: Your next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, wanted to understand what is now if you can give us some color on the TAM offers like where -- which transformers level we are at and that capacity what is the TAM growing at? And export any scenario or any color if you can fetch and after this tariff how difficult or any challenge we will face or not?

Chanchal Rajora: Anupam can you repeat the first part of the question again?

Anupam Goswami: Capacity of transformers we are in, in that, what is -- how is the macro scenario looking at? How is the market looking at and what kind of growth you are looking and also in the export point?

Chanchal Rajora: The country is planning to expand a lot of capacity, almost doubling the power generation

capacity. So we -- I mean, like any other transformer manufacturer, we are also trying to add the capacity and this scenario is likely to remain there for at least 5 to 7 years. That is what we also expect. As regards to your question on exports, we are looking at certain areas for exports.

You know that we won an order from one of the major customer at USD 17 million from Botswana. But we are a little bit choosy because already with the existing order book we have, we have little scope for expanding on exports.

Satyen Mamtara: Our exports remain at 10%.

Anupam Goswami: Sir, any exposure to U.S.?

Satyen Mamtara: Not currently. Nothing that we have in hand.

Moderator: The next question then Ankur Goyal from Green Portfolio.

Ankur Goyal : Okay. So my question is after all expansions are complete, how much revenue and order execution does management expect will come from each plant?

Chanchal Rajora: Ankur, if you remember that we have been in the last 2, 3 quarters, we have been guiding that we are working on a direction of \$8 billion revenue -- \$1 billion revenue, and this revenue basically includes the expansions that we are doing here. So as we are targeting for next three year number, so this includes the revenue which is coming from the expansion also.

Ankur Goyal : Okay. And sir, my second question is regarding receivable days. As you know that from past quarter, receivable days are improved significantly. How sustainable is this in the context of raising volumes and new client segments?

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Chanchal Rajora: This is a long -- this is a long -term sustainable figure what we are eyeing and the last 3 quarters, if you see that we are continuously delivering that.

Moderator: Next question comes from the line of Samarth Khandelwal from ICICI Securities.

Samarth Khandelwal: My question is regarding recently government came out with that they'll be promoting -- coming out with a incentive scheme for producing in India high voltage related transmission equipment.

So do we see any opportunity there? How do we think about this?

Chanchal Rajora: It is not for the transformers actually, but we are still exploring if anything something is there for us. But it is not for us.

It is basically the equipment like RIP bushings and others.

Samarth Khandelwal: Okay. Okay. Sir, one more question, if I may. This is with respect to the capacity -- expansion capacity we are undertaking. Could you outline by when it will come live?

Satyen Mamtara: Sorry, which capacity are we talking about?

Samarth Khandelwal: We are undertaking an expansion of manufacturing.

Satyen Mamtara: Moraiya plant should be operational by end of quarter 2.

Samarth Khandelwal: The 15,000 MVA capacity?

Satyen Mamtara: The expansion yes, yes. The expansion of Moraiya plant should be operational by end of quarter 2.

Moderator: The next question comes from the line of Rajesh Vora from Salto Investment Advisors.

Chanchal Rajora: Shruti, I have a small request. Please take the repeat questions at the last once all people who are in line are finished. Please request participants to one question at one time.

Moderator: Next question is from the line of Rajesh Vora from Salto Investment Advisors.

Rajesh Vora: Congratulations on a great set of regards. I wanted to understand the competitive scenario. So on one hand, the incumbents are raising their capacity given the demand. And on the other hand, there are new players who are also trying who are in low voltage and entering into 400 KV and higher voltage class, so I want to understand how does it move from in a couple of years of time and for new players, particularly, how long does it take for them to certify and start competing with players like us? If you could take through that kind of positioning ourselves to deal with the competition, that would be great.

Satyen Mamtara: Rajesh, see, currently, our unexecuted order book is INR5,246 crores -- live inquiries which are in finalization stage in the next 2 quarters. And we are hopeful that we should be ending our year with at least INR5,500 crores order in hand executable for the next year. New competition is coming, yes.

But at the same time, that competition has to have their PQs met. As long as the PQs don't meet, which will take at least another 18 months for them to meet PQs. So I don't see there any change

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in the scenario in terms of T&R's orders. And also there is so much business and demand in the market that even with the new players that are coming in, not much effect is going to be on established manufacturers.

Rajesh Vora : Yes. So given the demand, how many players can it typically accommodate given the fact that it's a 7 -year cycle as you're seeing and with new players also entering, how many players can it accommodate?

Chanchal Rajora: As many as new players are coming, demand is so huge right now not a problem.

Satyen Mamtara: And plus, Rajesh, you also have to understand that when T&R is looking now with all the expansion that we are doing and all the backward integration, we will have a certain advantage over the raw material cost of everything. When we have that advantage on the raw material cost and also the deliveries of the raw material, definitely, we are going to be at a better advantage than them.

Moderator: The next question is from the line of Rucheeta from I -WEALTH.

Rucheeta: Congratulations on a good set of numbers. So my question was more on the gross margin side.

From the last 2 quarters, we've seen a bump up, right, from 30% to 35%. So what has led to this?

And is this gross margin a new normal for us?

Chanchal Rajora: Rucheeta you can consider that.

Satyen Mamtara: We are on an ongoing process of constantly upgrading our manufacturing facilities. We are in the process of manufacturing excellence. So yes, you can consider this as a new norm, but things will change as we become more efficient in terms of manufacturing transformers.

Chanchal Rajora: On a positive side.

Satyen Mamtara: On a positive side, yes.

Rucheeta: OK

ay. So as a nd when CRGO comes, our margin should improve even further?

Chanchal Rajora: Generally, yes, but there are always tailwinds to the business.

Rucheeta: Because if this margin continues then with operational efficiency and all of that...

Chanchal Rajora: Yes. Operational efficiency improvement is an ongoing process, which we do continuously.

Satyen Mamtara: It is a constant ongoing process.

Moderator: Our next question is from the line of Priyesh Babariya .

Priyesh Babariya : Sir, just one question on the order inflow side. We are seeing kind of a 5% decline in terms of order inflow on a year -on-year basis, considering we have secured around INR700 crores of orders. When we look at, let's say, our peers, specifically into this segment only, they are -- they have shown almost twice order inflow compared to us ?

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And also when we -- the second question is when we look at, let's say, when we are targeting INR5,000 crores of order book and largely, we have secured approximately around INR525 crores for the domestic orders. So we will need approximately around INR4,000 crores of orders.

So have we lost any market share, I mean, in the current quarter, considering peers are showing a very strong growth in terms of order inflow. So just wanted a color on the same.

Chanchal Rajora: Priyesh, if you have been following us our earning call, in last earning call also MD sir has very categorically said that now we have become pick and choose in terms of the order. We are choosing the order considering what is the revenue margins we are making as well as what is the delivery time is there. So we are not going after every order, and we don't want to go that.

So whenever as and when good opportunity comes, we are taking into that. As far as the INR5,000 crores, INR5,500 crores order book is concerned, please understand I have right now INR18,000 crore plus inquiries and which is every day is building up. So if I take 20%, 25% of that, also I'm reaching to that numbers also.

And it's again on me that how much number we can take into that. And please also understand that in this -- the distribution transformers, which our one unit make, we don't have any inquiry of that because that is a cash and carry order book. So there's nothing like that, that we are losing to anybody. Yes, we have become more smart in selection of the orders.

Priyesh Babariya : Okay. Understood. Sir, can I squeeze one more question, please?

Satyen Mamtara: Yes, tell me.

Priyesh Babariya : So this gross margin expansion that we are seeing for the current quarter, that is first quarter, approximately around 200 bps of expansion. Is it a function of more of a, let's say, kind of a scenario of pricing power or the raw material cost has been declining? Just wanted a color on the same.

Chanchal Rajora: It is basically the combination of various factors. Price increase is also there. Operational efficiency is also there and the better control on the raw material also there. This is there.

Priyesh Babariya : Okay. And incremental order inflows, how has been the pricing scenario as of now?

Chanchal Rajora: In same levels.

Moderator: The next question is from the line of Bhavya from KRISS PMS.

Bhavya: Congratulations for the good set of numbers. Sir, how much is the margins in the export orders that we just won?

Chanchal Rajora: Margins are at the same level nowadays, Bhavya.

Bhavya: Okay. And sir, out of the INR18,000 crores inquiry, how should be the pipeline of exports in the inquiries?

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Satyen Mamtara: The size of the exports would be a round 25%, but the orders that we would aim at would be only 10% of the total turnover next year.

Bhavya: Okay. Understood. And what geographies...

Satyen Mamtara: More than 10% of

exports, Bhavya.

Moderator: The next question is from the line of Sourav Khara.

Sourav Khara : Sir what gives you the confidence that you will continue the current growth trend?

Chanchal Rajora: Sorry, Sourav, I could not understand what you are trying to tell.

Sourav Khara: What gives you the confidence that we will continue the current growth trend?

Chanchal Rajora: Yes, sir. We are fully confident in order book and inquiry reflects that also.

Sourav Khara : Sir, what is our current capacity utilization?

Chanchal Rajora: Last year, last year, when we ended up in March, we were at around 65% capacity level. And this year, we are targeting to reach around 85% to 90% level.

Moderator: The next question is from the line of Abhijeet Singh from Systematic.

Abhijeet Singh : Sir, my question is on the new product introduction that we are planning on. So in the last few calls, we are talking about the green hydrogen transformer. And so one is how is that product panning out? How is the market response for that product? And how much sales order inflow and order book does it contribute to us? And apart from the green hydrogen transformer, is there any other new product or a new category that we are planning to enter into?

Satyen Mamtara: See, the green hydrogen transformers are currently at the R&D stage because these are going to be large transformers. So we are currently under R&D stage and to make them financially viable, that project -- to make them financially viable, such large transformers will still take some time.

But they are currently in R&D stage.

Abhijeet Singh : Sir, any TAM that you can give right now, I understand maybe for the next 1 or 2 years the market may be limited. But going forward, let's say, because we are also anticipating strong demand for green hydrogen. So in that context, can this be really big for us in the next 4, 5 years?

Satyen Mamtara: I seriously did not understand your question, can you please repeat your question?

Abhijeet Singh : Sir, my question is, what can the target addressable market for green hydrogen transformers in, let's say, next 4 to 5 years?

Satyen Mamtara: See the financial viability of the project is going to be the governing factor on it. So we really can't estimate how big the market is going to be. However, what we are planning and what we have been doing, we could touch around INR500 crores to INR550 crores in terms of hydrogen transformers.

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Abhijeet Singh : Right. That's helpful. So last on the export strategy, so if I'm not wrong, we talked about 10% of contribution from exports. Is that correct?

Satyen Mamtara: Yes.

Abhijeet Singh : Okay. So we are basically focusing more on the domestic market as of now because of the huge demand that is coming up.

Satyen Mamtara: Yes.

Moderator: The next question is from the line of Aditya Agarwal from Finavenue .

Aditya Agarwal : Sir, I just wanted to ask that is there any slowdown in inquiries under negotiation? Like in the Q4, we had an inquiry under negotiation of somewhere around INR22,000 crores, whereas it is somewhere around INR18,000 crores right now and also on the order.. .

Satyen Mamtara: It is 18,000 MVA -- INR18,000 crores, sorry, yes.

Aditya Agarwal : Yes INR18,000 crores. And on the order inflow side, in the Q4, we had an order inflow of roughly around INR2,200 crores. And over -- in the Q1, it is INR665 crores. So is there any slowdown in the order inflow side that we are hinting in the overall space? Or is it just the seasonal factor?

Chanchal Rajora: No, this is not a slowdown. These are long drawn projects with a large gestation period. So it is not that it will go on a uniform basis. So some pluses and minus it can happen. 18,000 itself is a large number. So I mean, beyond that, beyond 10,000 numbers, it is such a large number that some f

luctuation can happen. So this is no indication of slowdown.

Satyen Mamtara: And historically, if you see in quarter 1 and quarter 2, the order book is normally slow. And once quarter 3 comes, order book starts picking up.

Aditya Agarwal : Okay. Okay. And sir, any plans for moving to HVDC, like in the previous con call, we said for that we are looking for 1,200 kVA side, so is there any progress?

Satyen Mamtara: Yes. Still exploring, nothing concrete as of now. Whenever we will have something concrete, we shall let you know.

Moderator: The next question is from the line of Amit, an individual investor.

Amit: My question is like in our INR3,500 crores of revenue this year, how much will be coming from U.S.A.? And we have a vision of \$1 billion of revenue by FY '28, whether the tariff imposed by

Donald Trump can affect our vision of FY '28?

Satyen Mamtara: We currently have no inquiries from U.S., and we are very wary of getting any inquiries from U.S. or -- so there is nothing that can harm us either way.

Chanchal Rajora: Amit, also just for your information, this transformer comes under the strategic list of everywhere in the world. So nothing is going to affect.

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Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Satyen Mamtara: I would sincerely like to thank each and every one of you for taking time to join us today for your continued trust in our journey. We hope we have addressed most of your queries, and we look forward to many more meaningful interactions with you in the future. Thank you.

Moderator: Thank you. On behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Date: 17th November, 2025

Ref: TARIL/SECT/2025-26/NSE-BSE/COMPL/056

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra - Kurla Complex,
Bandra (E), Mumbai - 400 051 Trading Symbol : TARIL

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call - Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

In terms of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the Earnings Conference Call with analysts and investors held on 10th November, 2025, to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September, 2025.

The said Transcript of the Earnings Conference Call is also uploaded on the website of the Company (www.transformerindia.com).

Please take the same on your record. Thanking you,

Yours faithfully,
For Transformers and Rectifiers (India) Limited Rakesh Kiri Company Secretary

Encl.: As above

TARIL is one of the leading manufacturers of a wide range of transformers globally. Today TARIL is second largest Transformer manufacturing company based on Capacity in India. It has capability to develop world class power, distribution, furnace and specialty transformers with world class infrastructure at three plants around the city of Ahmedabad (Gujarat, India). TARIL is managed by a highly skilled and experienced team of approximately 1200 employees, who consistently ensure that each and every activity factors in an adherence to high quality benchmarks established by the organisation.

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"Transformers and Rectifiers India Limited
Q2 FY26 Earnings Conference Call "
November 10 , 2025

MANAGEMENT : MR. SATYEN MAMTORA – MANAGING DIRECTOR –
TRANSFORMERS AND RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – DIRECTOR FINANCE –
TRANSFORMERS AND RECTIFIERS INDIA LIMITED

MODERATOR : MR. SUBHADIP MITRA – NUVAMA INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the Transformers and Rectifiers India Limited Q2 FY 26 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Subhadip Mitra. Thank you, and over to you, sir.

Subhadip Mitra: Thank you, Bho omika. On behalf of Nuvama Institutional Equities, welcoming you all to the 2Q FY 26 Results Call of Transformers and Rectifiers India Limited. We have with us today the senior management of the company represented by Mr. Satyen Mamtora, Managing Director; and Mr. Chanchal Rajora, Director Finance. I will now hand over the call to Mr. Satyen Mamtora for his opening comments. Over to you, sir.

Satyen Mamtora: Good afternoon, ladies and gentlemen. A very warm welcome to all of you, and thank you for joining us on our Q2 FY '26 earnings call. It is a pleasure to connect with you and once again as we continue our journey of transformation and growth. Earlier on Saturday, our Board of Directors approved the financial results for the quarter ended September 30, 2025, which have been submitted to the stock exchanges and published along with the investor presentation. Let me share some key highlights and developments of the quarter. During Q2 FY '26, our revenue stood at INR460 crores, with an EBITDA of INR65 crores. The revenue during the quarter was lower primarily due to temporary operational challenges. Firstly, there was a shortage of key raw materials, particularly CTC, and this led to clearance delays and impacted production schedules.

Secondly, heavy rainfalls across several regions affected manufacturing sites and readiness, leading to deferred delivery of high-value projects, and resulting in elevated finished goods and work in progress levels. Margins were also impacted this quarter mainly due to delivery of the last batch of low-margin orders and effect of fixed costs on reduced revenue.

Despite these short-term challenges, the fundamentals of the business remain strong, the company continues to execute its capacity expansion and backward integration projects as per plan. The Moraiya facility is progressing well, while Changodar expansion is slightly delayed due to the monsoon and equipment delivery issues, is expected to be operational in the next quarter.

We deliberately moderated fresh order intake on H1 to align with the extended deliveries, delivery schedules and capacity planning. However, we expect a strong order inflow in H2, with a robust pipeline of opportunities exceeding around INR8,000 crores. For the full year, we remain confident to achieving at least 25% revenue growth over FY '26, with target of around INR2,600 crores with EBITDA margin of approximately 16%.

Before I conclude, I would like to address the matter related to the World Bank project that has surfaced recently. The project in question is nearly back 4 years back and pertains to Transformers and Rectifiers India Limited
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transformers supplies made to TCN Nigeria, which was completed successfully with all payments received.

This was a World Bank funded project, and we have not received any communication from World Bank post-2023. In relation to it, we would like to reiterate that none of our current or under discussion orders are funded by World Bank. As process-driven organization, corporate governance and compliance remain at the helm of everything that we do. This commitment enabled us to declare our audited results.

Its within just 8 days of quarter close, a testimony to our discipline and transparency.

On behalf of the entire leadership team, I would like to thank all our customers, employees, suppliers and investors and Board members for their continued trust and support to the organization. Together, we are building future-ready organization poised for global leadership in the transformer industry.

I am pleased to inform you that Chanchal Rajora has been elevated as Director of Finance with a larger capacity, and I hand over -- Chanchal has been elevated as Director of Finance, who will be looking after our -- the finances of all our projects. And with the larger capacity, I hand over to him now to take through you the financial details. Chanchal?

Chanchal Rajora: Thank you, sir, and good afternoon to everybody. And I know that today, when you all are here, you must be having lots of questions about the company and company's performance. I will be

happy to address all of this. Thank you, Satyen sir, for the strategic overview and the continuing leadership during what has been a period of steady execution and realm of sense. I'm also pleased to share that I have been elevated as the Director of Finance with the company, and I would be like to sincerely thank you the Board and management for the trust and opportunities extended to me. It's an honor to continue contributing the TARIL's journey and, therefore, the strength and sustainable growth.

During the quarter, our stand-alone basis revenue operations stood to INR428 crores compared to INR446 of Q2 FY '25. The moderation was primarily due to the temporary supply side of constraint and the deferred projects delivery. I'll be explaining them further during this call.

EBITDA comes to INR42 crores against the INR76 crores Q2 FY '25, with the margin affected by the execution of the lower margin orders and also the lower capacity utilization as well as the delay in the deliveries to particular PSUs because of the unreadiness of the sites.

Profit after tax stood INR17 crores. Whereas in consol basis, revenues from the operation stood at INR460 crores compared to INR461 crores of Q2 FY '25. EBITDA comes in INR65 crores in Q2 FY '25, and the profit after tax stood INR37 crores. A very unique feature in this quarter is that all our subsidiaries are doing excellence results.

And the profit from the subsidiaries are increasing year by year and quarter by quarter, which shows that company's backward integration strategy is working very well. And the way the -- the manner the company's plan to come up with the backward integration facilities that has been basically reflected in this particular quarter.

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Despite these near-term impact, our financial position remains very strong. We continue to maintain healthy liquidity, with a current ratio of 3.45, and efficient management of receivables and payables. Our focus on the cash flow generation, working capital optimization and the cost control has enabled us to maintain sustainability even during a softer revenue quarter.

The company's balance sheet remains robust, supported by the steady operating cash flow and the conservative leverage profiles. Investment in the capacity expansion and the backward integration are progressing as planned, and are expected to contribute meaningfully to the cost efficiency and margin improvement from mix quarters.

Looking ahead, we expect a significant robust H2 FY '26, driven by the normalization of supply conditions, improved plant utilization and execution of our strong order book. For the full year, we are on the track of achieving at least 25% revenue growth for over FY '25 with an EBITDA margin of around 16%. Our commitment to becoming a net debt-free within the next 18 to 24 months remains unchanged.

Before I conclude, I would like to draw all of your

attention to what just MD sir has explained

about the World Bank. I would like to add little on this. This World Bank funded orders, we have executed for the TCN in Nigeria. The order quantity was -- the quantity was 70 transformers worth of 24.7 million and all these orders have been executed in FY '22, except with the three transformers, which has got accidented during the discharges in Nigeria, which was rebuilt and resend to them in FY '23, '24.

The 90% payment of entire transformers, we had received in FY '22 itself, and the balance, 10%, we have received in the first quarter of this year, right? Till at present, from our order book, we don't have any single order, which is funded by the World Bank, neither in our inquiry book, any order, which has been funded by the World Bank.

Our company is focused on the India growth history. Company wants to contribute main to Indian growth. We don't intend to increase our exports also, and we don't increase to extend any of the project, which is funded by any of authorities like World Bank or Asian development banks.

In conclusion, I would like to thank our investors, Board members and the team members for their continuous confidence support. We remain firmly focused on financial discipline, sustainable growth and the long-term value creation to all of our stakeholders. With I conclude my remarks, and thank you all once again for joining us, and now I will all -- now let the floor open for the questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Piyush Kumar from Magnus Hathaway Investments.

Piyush Kumar: Am I audible?

Management: Yes, you are.

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Piyush Kumar: Yes, my first question is regarding the inquiries under negotiation. So currently, as of Q2, we have around INR18,700 crores of orders under negotiation. So can you just shed some light from which sectors and industries are these orders coming from mainly?

Satyen Mamtora: So these are mainly from national utilities and state utilities. Some of them are from GETCO, some of them are from PGCIL, NTPC, and the likewise.

Piyush Kumar: All right. So sir, currently, we have around INR5,472 crores of unexecuted order book. So can you just shed some light around -- over the next 2 quarters, how much can we execute out of it?

Chanchal Rajora: Piyush, I just addressed this issue that as we said that we are trying to basically achieve 25% over and above what we have achieved in last year. We are hoping that in this next 2 months -- 2 quarters' time, we will be somewhere around INR1,600 crores to INR1,700 crores of execution.

Piyush Kumar: All right, sir. Sir, just one last question on the World Bank debarment, sir. What TARIL is doing to clear its image because there are a lot of fear in the market around TARIL now, and the World Bank has debarred it. So are there any long-term consequences of this investigation?

Chanchal Rajora: Look, there is -- this is no investigation. This is -- World Bank has basically debarred us for not participating in near tenders. As of now, as I told you, we don't have any inquiries or orders which is related to the World Bank. We just -- as you all came to know about this last quarter, we -- last month -- last week, we also came in the last week.

We are already taking up the matter with the World Bank. And we'll be shortly replying to the World Bank on these matters. As MD has explained to you very well that if our corporate government and processes are not that strong, you would have not been able to declare our results within 8 days from the end of the financial year.

So we are very strong on our corporate governance side and our processes side. We are taking out with the World Bank. Since we were busy in our quarter end and H1 audits. And now -- tomorrow

we only, we are taking up with the World Bank issue. We are writing them on that and as well as we'll be sending a clarification to the exchange on these regards.

And I would like to ensure everybody on that, that there is no business, which is going to affect because of this, because as we don't have any issue, then we don't have any business. Also, I would like to add that if we -- look, this order, which we were up to 2020. We have concluded in 2022.

Last batch of payment we received in April, May 2026 -- '25. It means this year only. If World Bank had any issue, they would have stopped our payment, but they did not do it and they come up with this now in November. So we also need to address it very categorically and very clearly.

And I would like to tell you in past also, TARIL has come strongly -- came up strongly whenever such issues have come up. And this time also, we will rebound greatly. Don't worry about that.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, regarding this World Bank, I think the World Bank ...

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Moderator: I'm sorry to interrupt you, Mr. Balasubramanian, but your voice sounds muffled. Can you please fix your handset?

Balasubramanian: Right. Now it's fine, madam?

Moderator: It's still muffled. Please speak through phone.

Balasubramanian: I'm now audible, madam?

Moderator: Yes, sir.

Balasubramanian: Sir, actually, World Bank and Vice Presidency, the other dividend signed issued a notice for sanction proceeding on July 30, I think which is your final debarment. I just want to understand these are the inquiry pipeline, which is related to exports nearly 25%. Is there any impact on those export later held pipeline last four to five months? And how is current pipeline is there? And what is your concrete strategy to balance both the domestic demand with the higher margin potential of exports?

Chanchal Rajora: Bala, first of all, I would like to tell you that the order inquiry line, what we have as on today is 90% to -- I say, 85% to 90% is the indigenous inquiries, right? And all other inquiries, which export inquiries are there, there is no government entity or there is no World Bank funded or no -- any other funded projects is involved into that.

So it is not going to have any impact on us, either on the value or on the margin side or any other side. Yes. It is the matter related to the image of the organization, which we are going to take a very, very aggressive with the World Bank. As they said that they have sent a letter to us, the mail to us on July this year, we haven't received that.

So we are going to ask them that whatever the things are there, we are ready to work with them. And if you've seen that letter also that they have mentioned it that we have cooperated with them in past if anything has come up, right? So we strongly believe that this will be resolved very

soon. And as far as the business is concerned, it is not going to affect at all on that.

Balasubramanian: Okay, sir. Sir, on the 35 to 40 percentage of revenue comes from particularly transformers, like foreign and rectifiers in these segments having higher margins. And what are the strategy to grow in this segment and is that cross-selling opportunities to the existing to our transformer customers? And how does the growth outlook of likely the major key consumers of furnace or transformers impacting this segment process?

Chanchal Rajora: Satyen, sir, I would like you to address this, please?

Satyen Mamtora: Sorry, Bala, I couldn't get your question clearly. Please can you come back again?

Chanchal Rajora: Sir, he wants to understand that special duty transformers, which is our specialization, how is the outlook of that business?

Satyen Mamtora: That business is currently looking very lucrative

e. There are a lot of projects that are coming up

in certain countries, which require these special duty transformers. And apart from one of our Transformers and Rectifiers India Limited

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other competitors from Italy, we are the only qualified vendors for this. So the inquiry pipeline for this is close to about INR400 crores, INR500 crores.

Balasubramanian: Okay, sir. Sir, we have guided a 85% to 90% kind of utilization by this year. This plant utilizations, I think we are starting nearly 22,000 MA of new capacities. And if you could share, is there any risk of execution bottlenecks in terms of project delays? And then if we can ramp up this new capacity?

Satyen Mamtora: So the Changodar capacity is slightly delayed by one quarter. But once the Changodar capacity is up and running, I think by end of this quarter, we should be very -- fairly well be placed at a very high because we have orders on those also. And we are currently holding ourselves not to take orders as long as the capacity is not completely up. There are certain unforeseen reasons because of which we have had some issues in completing that project.

Balasubramanian: Okay, sir. So my last question, we are expanding into CRGO processing unit and other...

Chanchal Rajora: Bala, can we please allow others to have any questions? Can you from again, please? Because I'm seeing on the screen there a lot of people are saying that why one person is having so many question. I hope you don't mind.

Moderator: The next question comes from the line of Gayatri from Amity.

Chanchal Rajora: Moderator, can you please ask everybody one question at a time so that other can have opportunity because we are almost 480 people in this call today.

Moderator: Sure, sir. Please go ahead, Ms. Gayatri?

Gayatri : So sir, question is related to the business. I just want to understand, do we have any pipeline updated with World Bank for this INR5,000 crores? Do you have any addition to that?

Chanchal Rajora: No, there is nothing in our order pipeline related to World Bank.

Satyen Mamtora: And not in our inquiry.

Gayatri : So we can say that the entire 18,000 belongs to India only and some other locations apart from World Bank?

Satyen Mamtora: Yes.

Gayatri : Okay. And sir, do you have any update -- I got it. So sir, do we have any other updates related to this quarter as profit has been reduced by drastically. So will be -- it will be covered in the next quarter for October, November, December, do you think it or still we have some issue with the books?

Satyen Mamtora: I think one of the reasons why we have also -- there is some the downturn in the profitability is because we have given ESOPs to our people, and that is one of the reasons we wanted to make sure that everybody is now aligned in the growth of the organization. So organization-wise, we Transformers and Rectifiers India Limited

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have taken a decision that we will give ESOPs to everybody and so that everybody is aligned, and that is the reason why you see some downturn in the profitability.

Gayatri : Okay. I have one more -- one last question. Can I go?

Chanchal Rajora: Gayatri, just to end up what MD has said and what is your question is that, look, this is one of the quarter. In a long term, when we're talking about the long-term growth in long-term business, one quarter can come like this, where we have a less margin and less profits. But in coming quarters, the profit will again bounce back on to the levels what we have been achieving last three, four quarters.

And I assure that in these quarters, the profits will be much, much higher. You don't need to worry about that, right? There is one addition as we started in this -- from this quarter in our

company's books is that, which may have the impact on the bottom line is that earlier August, the company had

issued some stock options to around 26 lakh plus stock options to its employees.

And as for the Ind AS guidelines, we have to make the provisions for the expenses, which we'll be having once the options will start getting vested. So around INR3.76 crore's impact will come on the -- is coming into the bottom line on that. And every quarter, it is going to come up. So we will be -- from next quarter, we'll be working on that because of some good operational efficiency and some good other returns, we should be able to minimize that one.

Gayatri: Thanks hope so because I'm invested in since it was trading INR50. But today, I'm getting some fear. Apart from that, we had some issues with the government body last from 3 or 4 years back with some certifications but I'm pretty much sure that company will come up with this issue again with the profitability but hope so that should come up on the early days by next quarter.

Moderator: The next question comes from the line of Subhadip Mitra from Nuvama Wealth.

Subhadip Mitra: Sir, just wanted to understand that you did mention that the guidance for this year, we are now looking at a number of around INR2,500 crores, which is a cut from what we were expecting earlier. How much of this guidance cut is because of the delay in the Changodar facility? How much is because of the development of certain projects that you mentioned earlier because of shortage of components, et cetera? And how much of this do you think can be recovered over the rest of the year? And on similar lines, if you can also talk about some color on next year, which is, let's say, FY '27 and '28, how do you see those numbers panning out?

Chanchal Rajora: Subhadip, very well asked this question. Let's just tell you that, first of all because of the Changodar facility, not much impact has come on the revenue guidance of earlier, around 10%, 12% should be the impact of that. The majority of the impact, what has come, has come because of the short -- because of the short supply of the raw material, particularly on the CPC and bushing side.

Look, when last year, we were not getting the CPC from the indigenous customers, we started importing them, right? And we were the first company to import -- start importing the CPC and Transformers and Rectifiers India Limited

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giving it to the indigenous customers. What has happened only this quarter, the government of India has come up with the requirement, obviously, the touch copper has come up.

Then copper, whatever is importing -- needs to be basically have the BIS certification. So it took some time to us to make the customer authorities understand that this does not -- the material, what we are importing does not come under that review. And because of that reason, almost 12 jobs of ours were stuck for quite some time in the custom clearance.

And then we -- with the help of the other authorities, with the help of the Power Grid Letter, we should be able to convince these customs to clear them up. So that has just impacted for the business side. So this is going to be basically save not that much of the trains into the requirements into system is coming up.

We are trying to recover as much as possible in the F2, but you should understand that job are jobs, which has been made. If a job is -- it's not this product is not one day, maybe it's acquired 35 days to make the product. So to say that, that is the reason we are saying that we will be using somewhere from business this year. As far as the next year is concerned, we are very optimistic about the next year. And I don't think that anything going to be changed in the next year. We will be completely on track for the next year business.

Subhadip Mitra: So can I assume that next year's number if I...

Satyen Mamtara: Subhadip, I think next year numbers, we'll tell you in this quarter's Board meeting, first, and second

y, adding to what Chanchal has said, from what I have seen, Changodar plant has made a dent of about 25%, 30% in terms of loss of production, which we will be able to make up in this month because the plant is getting much larger, we'll be able to make some of it in this quarter -- in the next quarter.

Subhadip Mitra: Understood. Understood. And with regard to the bushing and the CTC short supply, because since that supply is not in our hands, can that remain a challenge going ahead?

Satyen Mamtara: So Subhadip, by December or I think September next year, we should have our own CTC plant, which would be doing about 1,500 tons a month up and running. Our RIP in bushing plant also should be in June 1, production should be starting in June. So with all that in place, we should have relatively less issues about CPC and bushing next year. Even our tank manufacturing unit should be up and running in August. So all our new projects will be up and running very soon.

Moderator: The next question comes from the line of Ashish Soni from Family Office.

Ashish Soni: Sir, your 1 billion aspiration target by FY '28, what are you doing to achieve that? And any risk

mitigation plan, like I think you said your current expansion for cost are there. What mitigation steps are we taking? And can you highlight on that?

Chanchal Rajora: Ashish, the '28-'29 target still remain the same, and we are under position that we will be achieving that target, right? Look, whatever risk we have foreseen is -- look, whatever risk we are foreseeing, we had already started working on them with having the backward integration Transformers and Rectifiers India Limited
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facilities that every year in that way, right? And we hope, as I just -- MD has just explained that by, say, the quarter 3 of next year, all these facilities will be in place.

So that -- to achieve that target, there is no problem. We will see into that. Yes, this quarter, I would like to add that why the Changodar facility has got delayed in results. So one very, very important aspect of this, that in this year, the rates are so huge that almost for 2 months, we did not have any work in that plant.

And then the equipment got supplied because of that -- this rain and all these things, which is basically was not in our hands. We are trying that ASAP. We should be able to conclude that -- those bottlenecks, and we're working out on that. Regarding the material mitigation is concerned that whatever CPC problems we have faced, we have overcome that.

Our customers understood the other things, so we will not have a real problem. And bushing is that we are trying to overcome with finding a new market, new customers, new suppliers of that. And we are making that the government utility should accept those products. So that we will be able to mitigate that. So '28-'29 guidance, we don't see any problems yet.

Ashish Soni: Just add on to this. Do you think you can achieve INR5,000 crores revenue next year if your guidance holds based on what you are telling...

Chanchal Rajora: I'm optimistic on that. I just know that MD sir has said that when we come up in the next quarter with you, we will give you the firm numbers of the next financial year.

Moderator: The next question comes from the line of Mayank Chaturvedi from HSBC.

Mayank Chaturvedi: Sir, on the revenue guidance cut, may I ask, due to this dispatches getting delayed, what are the liquidated damages that we might be looking at from the customer due to these delays?

Chanchal Rajora: Mayank, my apologies, I missed you in the morning. First of all, I was in a flight actually. My outlook to what has happened that, this delay is -- are not because of the other issues, particularly delays are there because of the site readiness and all other issues, right? And the liquidity damages, wherever the delay is there, particularly with the Power Grid

, as we are basically under

-- we are already accounting for them.

And we are also in touch with them to basically come out with a solution, where if there is a product delayed from our side, there is a product, which is getting delayed from their side also once the site, which is there. So some amicable solution will be there and the liquidity damage are not that much. We are already providing them for. So it won't have any impact on our profitability side. That much I can assure you.

Mayank Chaturvedi: By when you say you're providing for them, you mean you've taken provisions for it in this first...

Chanchal Rajora: Yes. We always -- as per the internal guidelines, our auditor insist us on for the -- any delay supplies provisions and all. So our company have a practice to take care of those provisions.

And also when we quote to the pricing and when we quote to the customers, we already take the Transformers and Rectifiers India Limited
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risk alignment in discussion, and that is already in build with the price that we give it to the customers.

Mayank Chaturvedi: Okay. And sir, on ESOP stock, can you tell me how much effort was recognized for this quarter?

Chanchal Rajora: INR3.76 crores.

Mayank Chaturvedi: Okay. And sir, I see in the balance sheet, there is a reclassification between noncurrent trade receivables and current trade receivables was about INR340 crores in non-current margin. Can you elaborate on that?

Chanchal Rajora: Mayank, all these noncurrent trade receivables are basically the retention money, which is line with the customers, which we -- which they give us in project completion. And whatever retention money is beyond 6 months, it has been taken into the noncurrent trades.

Mayank Chaturvedi: Okay. But I see that it has been reclassified for the margin also, that's why I ask.

Chanchal Rajora: Yes.

Mayank Chaturvedi: Okay. So you expect that to get realized. And last question on this World Bank debarment, they also noticed to also say that any MDB-funded projects, I mean their debarment will be followed

by other MDB funded projects also, somewhere on those lines. So do we have any projects in an order book or in the pipeline right now, which are funded by any development banks?

Chanchal Rajora: Mayank, basically let you explain to you and all, right? World Bank or these kind of entities are basically mainly funding to the project, of which is of the African countries, right, where the African country does not have the money with them and they go to the World Bank or ADB anywhere, right? And most of these projects are either on the side delivery basis or deliver it on the client side or the execution, everything involved into that.

If you've been following it up in, say, in last three consecutive calls, we affirm that we have stopped putting on the delivered side businesses on the export orders. Any inquiry, which has come into that manner, we will stop that because it takes well a lot of time, our capital gets involved into that. Whatever the export opportunities we are offering, we are either offering on the export basis or FOB basis.

So this is -- basically this is -- this will have no impact on us at all. In our present order book, there is no business, which is of the government entities of any of the African countries or any other countries, right? And inquiries also, there is no such inquiry, which is of this kind. Fundamentally, company has decided that we will not go beyond 15% on the export side. Fundamentally, we have decided we will not put any CIF or FOR delivery export order. And fundamentally, we have decided that we will be more focused on the payment cycle rather than on the volume of the business. So this particular debarment will not affect anything on us. In fact, we are surprised that why World Bank has come after 2, after 2.5 years for that. That is the...

Moderator: The next question comes from the line of Anupam Goswami from SUD Life. Transformers and Rectifiers India Limited
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Anupam Goswami: First question on the around revenue guidance that we have had, how much Changodar facility falls into that, how much of a volume we can make of...

Chanchal Rajora: Anupam, there is background sound is there for you. If you can just move it down and then somebody is talking, I think, around you. So I cannot hear you.

Anupam Goswami: Yes, sir. Sir, just -- sorry, sir. Is it better now?

Chanchal Rajora: Yes.

Anupam Goswami: Okay. Sir, on the revenue cut, how much of the Changodar facility revenue are we are building in second half? And about another 22,000 MVA that we are targeting, what sort of expansion time line we can see?

Chanchal Rajora: Anupam, the 22,000 MVA, we are coming up in the Moraiya plant, right? And that 22,000 MVA, just as MD said, that it was in line. And we can say that from fourth quarter -- by fourth quarter, this will be completed, and revenue impact was -- this start coming from the quarter 1 of the next year, right? As the Changodar side is concerned, it's presently around say, around 20%, 25% revenue loss is there because of the delay. But in coming months, that is going to be mitigated on that line. So from next year onwards, both these things will be together.

Anupam Goswami: Okay. And sir, when second half, how much of a margin are we looking at targeting? Because this time, the execution also was lower and some deferment has happened. I'm guessing some - - now onwards, it will recover. And so hence, should we go back to the -- our margin what we delivered in the last previous quarters?

Chanchal Rajora: Definitely, we will be near there. And we will try to better that up.

Moderator: The next question comes from the line of Samarth Khandelwal from ICICI Securities.

Samarth Khandelwal: Sir, my question is on margins. So for us to exit, in fact, related for a 16% and looking at around 300 EBITDA we'll have to do in the next quarters. So what factors make you confident in achieving? Could you go over the factors that helped you be confident about achieving this number? And also, secondly, what order book do you look at when exiting FY '26?

Chanchal Rajora: Samarth, the order book, I think the MD in his speech has addressed this issue. From the beginning of the -- rather from the beginning of the first board meeting of this year, which was related to the Q4 of last year. We said that when we close this current financial year, we should have order book somewhere close to INR8,000 crores. And we are hopeful that we will be -- rather than we are sure that we will be having that order book.

Coming to your second question, is this Samarth, there are two fundamental things I would like to address it here. First of all, the confidence of getting that margin is my order book. But the order book, what I have is on a very significant gross margin. So that will be the first parameter. Second parameter is this that the operational efficiencies.

If I build more and if I supply more transformers, my operational cost is going down, right? My fixed costs will go down only MVA basis. So that will automatically add up into my EBITDA

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margins. I'll just give you a small example here. At almost INR80 crores of the transformers, we could not able to fit into the revenue in this quarter because the government sites were not ready because of the heavy rents.

If those were into my revenue in this quarter, my EBITDA margin would be somewhere near to -- close to 16% because these are the high-volume business, and my operating cost goes down because of that. So same levels, the same thing, which is -- I am confident in this quarter, right? The more I will produce and supply more, I will have

the margin into that.

And presently, we are, as sir MD has expressed in this meeting, that last batch of old orders has now almost finished up. So now whatever order book we have is on a significant good margin. So that will be the biggest confidence for us to have to reach into the -- to reach into the old margins, rather bettering up.

Samarth Khandelwal: Okay. And sir, any anticipated -- because of the raw material, which was unexpected and why would that not happen again if I have to factor that?

Satyen Mamtora: So we -- Samarth, we have already worked on it. And as Chanchal explained to you earlier, we had imported a few CTC for few reactors and transformers. But because of the delay in customer and explanation to the customer why we needed, this issue had occurred. Now since it is a process now and the customer is also aware of how -- why it is and how it is, the delay should not be there any further.

Moderator: The next question comes from the line of Viren Deshpande from Alphapeak Investments.

Viren Deshpande: I'm Viren Deshpande. See, actually, the inventory in this quarter, as you rightly mentioned, is about INR155 crores. And normally, we have inventory hardly of INR2 crores or about INR15 crores, INR20 crores. At the end of the way also we had inventory of INR49 crores. So as you mentioned that there were delays in execution and the billing. So can you quantify the impact of this in this quarter sale? Had we had the normal inventory?

Chanchal Rajora: Mr. Deshpande, just let me explain you or elaborate more for, right? If you see my inventory, in my inventory, we have INR226 crores of the advanced WIP, and we have around INR79 crores of the -- INR80 crores of this finished goods, right? We generally don't have any finished goods or hardly any finished goods at the end of the quarter because we planned it accordingly. So that our FD does not line here. It got built.

So that's a really detailed process of planning from our side that if it is a FOR delivery, the lower distance supply job should go first. So that by the end of the month, it should reach to the site and we can recognize the revenue. If that case would have been not there, my inventory of WIC as well as the finished goods would have been around INR225 crores instead of INR310 crores or INR320 crores. So would have been INR100 crores would have been add up into the revenue, which is immediately getting added.

Viren Deshpande: And in that is your -- in this quarter?

Chanchal Rajora: Yes.

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Viren Deshpande: So you expect this INR100 crores turnover which has been postponed in this quarter, which will be billed in this quarter apart from the normal growth we will be having in the third quarter and fourth quarter?

Chanchal Rajora: Yes, sir.

Viren Deshpande: No, actually the capacity utilization last time you mentioned was hardly 65%. And this year, due to these delays, the capacity inflation must have fallen further?

Chanchal Rajora: Yes, sir. Yes, as of particular in this quarter, it has gone down. It has gone down. But we are targeting that once we close this year, we should reach around 70% level.

Satyen Mamtora: The other thing is we have already manufactured these transformers. These are either in transit or lying somewhere close to the site and because of Road availability or because of the infrastructure issue that the roads to the site or the road to that specific substation have been washed away. There has been an issue.

So if you look at it, operationally, we have made this transformer. It is just that because of certain processes and certain rules and regulations, we could not build these transformers. So the operation is still at 65%, 68% but because we could not build it, it is showing less. So in this -- by end of this quarter, you should actually see, whatever we lost in the la

st quarter will come up

in this quarter.

Viren Deshpande: Yes. So that INR100-odd crores or something more than that will get added and...

Satyen Mamtara: So operationally, the efficiency or the plant utilization has not gone up or down. It is just that there are certain issues which we could not address or which could not have been avoided. We are having this issue. Overall, the whole year, you would look approximately at INR2,600 crores, INR2,700 crores.

Viren Deshpande: So on that only, you mentioned that currently, our order book as on 30th September is about INR5,500 crores, 30th September order book?

Satyen Mamtara: Yes. Yes. Yes.

Viren Deshpande: Because in the presentation, 30th June is mentioned, INR5,400 crores something. So on September and also the order book remains the same, INR5,500 crores.

Satyen Mamtara: Yes.

Chanchal Rajora: No. Let me clarify. Presentation, I think presentation, maybe it is in 30th June, it might -- 30th September, it might have return 30th June. I need to see on 30th of June, our order book -- look, the thing it is my order book on -- as on 30th of June, was something around INR4,400 crores. I have executed around INR4,500 crores of the orders, and I got new order of around INR600 crores. So INR100 crore s difference has come up into this.

Viren Deshpande: So the order as on 30th September will be how much?

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Chanchal Rajora: INR5,500 crores.

Viren Deshpande: About INR5,500 crores. And we expect to end the year with an order book outstanding of about INR8,000 crores. So we expect significant -- almost INR3,000 plus crore s orders in the second half. Is it correct?

Chanchal Rajora: Sir, if you see in my last year?

Satyen Mamtara: Viren, see we have -- this quarter also, we have executed some orders of the previous years that have come with low profitability. And we have learned a lesson that nothing beyond 16 to 18 months, we want to book. Now booking for 2.5 years and at the end of year after 3 years you will ask us why there is less profitability. We are taking a conscious call that we do not want to book anything, which is beyond 18 months, 18 months is also the fastest.

Viren Deshpande: Right. About INR5,000, INR6,000 crores...

Satyen Mamtara: We have taken some conscious calls so that we are efficiently running the organization.

Viren Deshpande: Right. So you -- around INR6,000 crores of order book will be a good target to have order book because th at will be about 2 years or 1.5 years. That will be a reasonable thing because the margin is very important instead of only having the orders.

Satyen Mamtara: Yes, exactly. Exactly my point. So we want to curtail our order taking right now, where we are sure that whatever we are taking is executable, and there are no early charges on those orders also.

Viren Deshpande: Because if the delay leads to inflation and again, if you don't get escalation in your order, that becomes a problem and then a disappointing thing. Instead of that, it is better to have reasonable order book instead of having a very large order book and not executing anything. So -- and this a backward integration project of CRGO, which we had initiated about 6 months back, that is going to help us in increasing our operating margins by about at least 2%, it was mentioned. So is it likely to happen in this year or it will happen sometime next year?

Chanchal Rajora: This is Chanchal, it is not only the CRGO. It is basically all the backward integration activities are going to end up 200 to 250 bps in our business.

Viren Deshpande: But when it is likely to happen?

Chanchal Rajora: Sir, say, next year, effect will start coming down.

Viren Deshpande: Next year, from Q1?

Chanchal Rajora: Yes, sir.

Satyen Mamtara: Chanchal, we'll take last few calls and then we'll end the meeting. Chanchal?

Chanchal Rajora: Yes, sir?

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Satyen Mamtara: We'll take last few calls and then we'll end the meeting, please.

Chanchal Rajora: Yes.

Moderator: The next question comes from the line of Roy Menez from Flagpoint Capital .

Roy Menez : Am I audible?

Chanchal Rajora: Yes.

Roy Menez : Just a very basic question. I just wanted to understand what was the reason behind letting go of big 4 auditor and appointing an internal audit or as your main strategy auditor? Any plans of

going back to a big 4 or more reputed one?

Chanchal Rajora: Sorry, I did not understand your question, sir.

Roy Menez : I'm saying just wanted to understand what was the rationale behind going from big 4 auditor, statutory auditor, to your internal auditor would now become a strategy auditor? Any plan on going back to a big 4 statutory auditors...

Chanchal Rajora: Sir, my internal auditor is Ernst & Young, right? And my statutory auditor is one of the largest auditor of this country, right? So the big 4, we had long back with us and an additional basis, we come -- we changing the statutory auditors. The presented statutory auditor is one of the most reputed auditors in this country, and internal auditor, as I told you, is E&Y. There is no basically leeway from the company that we have moved away from our side.

Roy Menez : Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Satyen Mamtara: Chanchal, closing comments, please.

Chanchal Rajora: I would like to thank you, everybody on behalf of the Transformers and Rectifiers India Limited.

And I would like to also assure all of you that company is into the very right direction. You don't need to worry about a small hiccup which has come in this quarter. This is -- in a long journey, these kind of small, small hiccups keep coming.

And I would like to make you -- all of you comfortable that the organization is working for this -- to build up a great organization, which is going to come up in very near future. And I would like to thank you, everybody for supporting us and request you to keep support us in this entire journey. Thank you very much and looking forward to see you soon.

Satyen Mamtara: Thank you all.

Moderator: On behalf of Nuvama Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2026

Date: 16th January, 2026

Ref: TARIL/SECT/2025-26/NSE-BSE/COMPL/076

To,

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400 001 Security Code : 532928 To,
National Stock Exchange of India Limited Exchange Plaza, C-1, Block G, Bandra - Kurla Complex, Bandra (E), Mumbai - 400
051 Trading Symbol : TARIL

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call - Disclosure under Regulation 30
of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015

In terms of Regulation 30 and other applicable provisions of the SEBI (Listing Obligations
and Disclosure Requirements) Regulations, 2015, we send herewith the Transcript of the
Earnings Conference Call with analysts and investors held on 8th January, 2026, to
discuss the Unaudited Standalone and Consolidated Financial Results of the Company
for the quarter and nine months ended on 31st December, 2025.

The said Transcript of the Earnings Conference Call is also uploaded on the website of the
Company (www.transformerindia.com).

Please take the same on your record. Thanking you, Yours faithfully,
For Transformers and Rectifiers (India) Limited
Rakesh Kiri Company Secretary and Compliance Officer

Encl.: As above

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"Transformers and Rectifiers India Limited
Q3 FY '26 Conference Call "
January 08, 2026

MANAGEMENT : MR. SATYEN MAMTORA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TRANSFORMERS AND
RECTIFIERS INDIA LIMITED
MR. CHANCHAL RAJORA – DIRECTOR FINANCE –
TRANSFORMERS AND RECTIFIERS INDIA LIMITED

MODERATOR : MR. VIKRAM DATWANI – NUVAMA WEALTH
MANAGEMENT LIMITED

Transformers and Rectifiers India Limited
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Moderator: Ladies and gentlemen, good evening and welcome to the Transformers and Rectifiers India
Limited Q3 FY '26 Conference Call , hosted by Nuvama Wealth Management Limited. As a
reminder, all participant lines will be in the listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during this
conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand over the conference to Mr. Vikram
Datwani from Nuvama Wealth Management Limited. Thank you and over to you.

Vikram Datwani: Thank you. Good evening, everyone. On behalf of Nuvama Institutional Equities, I welcome
you all to the third quarter FY '26 results conference call of Transformers and Rectifiers India

Limited. We are joined today by Mr. Satyen Mamtara, Managing Director and CEO, and Mr. Chanchal Rajora, Director Finance. I would now like to hand over the call to the management for their opening remarks. Thank you and over to you, sir.

Satyen Mamtara: Good afternoon, ladies and gentlemen. A very warm welcome to all of you and thank you for joining us today for Q3 FY '26 earning call. I am Satyen Mamtara, Managing Director and CEO of the company.

We truly appreciate your time and your continued engagement with our company. It is a pleasure to connect with you once again. As we continue our journey for transformation, discipline, execution and sustainable growth, earlier today our Board of Directors approved financial results for quarter ended December 31, 2025.

These results have been duly submitted to stock exchanges and are available along with our investor presentation. Let me begin by sharing some of the key highlights and strategic developments from the quarter. In Q3 FY '26, the company delivered revenues of INR704.21 crores with an EBITDA of INR114 crores. The performance during the quarter has been exceptional and marks a clear inflection point in our operational momentum.

Improved execution, better project conversion and enhanced capacity utilization and tighter cost controls across the organization have contributed meaningfully to the performance. These results clearly demonstrate that we are back on stride and well positioned to achieve our stated revenue profitability objectives for the year.

Particularly significant milestone during the quarter was the receipt of exceptional HVDC repair order from PowerGrid. This order is strategically important as it makes TARIL the first Indian origin company to receive HVDC repair order, underscoring our growth, technological capabilities, engineering credibility and trust from marquee customers. This achievement reinforces our position in the high voltage and advanced transformer segment and opens new long-term opportunities in HVDC ecosystem.

As communicated earlier, during the first half of the year we consciously moderated fresh orders intake. This was deliberate and strategic decision aimed at aligning new orders with extended delivery schedules, strengthening execution discipline and ensuring optimal capacity planning. I am pleased to share that this approach is now yielding results. Looking ahead, we expect strong Transformers and Rectifiers India Limited
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order inflow during the second half, supported by a robust and diversified UEOB close to INR8,000 crores across domestic and international markets.

In parallel, we are making steady progress on our backward integration, which is a critical pillar of our long-term competitiveness, margin sustainability and supply chain resilience. We have planned six backward integration facilities and execution is progressing as per schedule. The CTC plant is targeted for commissioning in FY '26-'27

, followed by Press Board facility in Q3

FY '26-'27 and RIP bushing plant in Q4 FY '26-'27, along with the first phase of our fabrication facility during the same period.

I am happy to share that civil work of all these facilities has already commenced and equipment orders are firmly in place. These initiatives will significantly enhance our in-house value addition, reduce external dependencies and improve cost efficiency over long and medium term. Alongside backward integration, we also continue to expand our core manufacturing footprint through organic capacity expansion.

Our Changodar facility expansion is on track and completion on Q1 FY '26-'27, while Moraiya is expected to be operational in Q2 FY '26-'27. These expansions will support higher volumes, improve execution flexibility and enable us to cater to a strong demand visibility we see across all our order pipelines. For the full financial year, we remain confident of delivering at least 25% revenue growth over FY '25.

We are targeting revenues of approximately INR2,600 crores along with EBITDA margin of around 16%. This confidence is underpinned by strong execution visibility, healthier order mix, benefits from operating leverage and structural improvements that we are making across the organization. Equally important, we continue to strengthen our governance framework and internal processes.

Corporate governance, compliance and transparency remain at the heart of everything that we do. I am particularly proud to highlight that we have declared our audited financial results within eight days of quarter's close, reflecting our processes, discipline and commitment to best-in-class disclosure standards.

Before I conclude, I would like to sincerely thank our customers for their trust, our employees for their dedication and resilience, our suppliers and partners for their continued support, our Board members for their guidance and the most important, our investors for their continued confidence in our long-term vision. Together, we are building a future-ready organization with

the ambition to emerge as a global leader in the transformer industry.

I now shall invite Chanchal to take you through the financial performance in greater detail.

Chanchal, please.

Chanchal Rajora: Yes. Good evening, everyone. Thank you, Satyen sir, for your insight, for leadership remark and for setting the strategy contest stop for the quarter. It gives me the great pleasure to address you that today as we discussed our quarter 3 FY '26 performance, a quarter that clearly reflects the strength of our execution capabilities and resilience of our business model and the benefits of the strategic initiative we have been implementing over the past several quarters.

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I am pleased to report that quarter 3 has been a strong quarter for the company marked by a sharp improvement across all the key financial parameters. Revenue on the stand-alone basis from the operations stood to INR704 crore s as compared to INR428 crore s of quarter 2 FY '26. The growth was driven by the improved supply side, normalization, higher plant utilization and timely execution of the projects across the key segments.

The momentum seen during the quarter validates to our confidence in a strong second half of the year. EBITDA for the quarter came to INR114 crore s with the margin expanding to 16.19%.

The margin improvement was preliminarily led by the better operating leverage, a higher share of execution from the healthy margin orders and early benefits of cost optimization.

Profit after the tax stood INR71 crore s reflecting not only the strong operating performance but also the disciplined financial management across the organization. Further, on the consol basis, revenue for the quarter stood to INR737 crore s against INR460 crore s during Q2 FY '26,

EBITDA stood to INR129 crore s and PAT to INR76 crore s.

Importantly, quarter 3 also marks a turning point in terms of structural margin improvements.

We are confident that margin sustainability will improve going forward. The backward integration facility and the developments are expected to further enhance the cost efficiencies and reduce external dependency over the medium term.

Looking forward, we enter Q4 and the next financial year with strong visibility. Our order book remains robust, execution pipelines are healthy and the plant utilization levels are expected to remain elevated. For the full year FY '26, we have been confident of delivering the revenue of around INR2,600 crore s along with EBITDA margin of around 16 % to 17%. Beyond 2026, our focus remains on profitable growth, return ratio improvement and disciplined capital allocation. Before I conclude, I would like to express my sincere appreciation to our team across operational finance, supply chain and projects for their relentless focus and execution excellence. I would also like to thank our Board and investors for their continuous trust and support as we work towards building a strong, more resilient and a future-ready organization.

With that, I conclude my remarks. Thank you once again for joining us today. We are now happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Avikshit Vijay from Global Consilient Research. Please go ahead.

Avikshit Vijay: Thank you for the opportunity. So, I just had a few questions in mind. Last quarter, I remember you telling that we had about a deferment of INR100 crore s in revenue because of the monsoon.

And if we adjust this quarter's revenue to that, the adjusted revenue growth comes to about 13%.

Is this the normalization we are looking at going forward?

Chanchal Rajora: Vijay, it was not INR100 crore s. It was INR70 crore s, INR70 crores to INR72 crore s. That benefit, we have got it in this. But also, we are around INR 40 crore s of the same revenue, which we could not be able to take in this quarter also.

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Avikshit Vijay: Okay, sir. Okay, thank you so much. And one more question on that. And if we are targeting a \$1 billion revenue by FY '28-'29, it means that we are targeting about 48% CAGR and top-line from the current levels. Can you help us understand what will drive the growth from here?

Chanchal Rajora: Look, Vijay, we have been guiding about \$1 billion or INR8,000 crore s revenue for FY '28-'29.

This has got the various factors into that, not only the growth of the transformer business, but also the growth of the backward integration facilities, what we are putting up. The backward integration facilities itself are going to give us a robust business, as well as the growing demand of the industry is going to give us the huge amount of the new businesses.

As we see that, today we are at around INR5,500 crore s under Executive Order Book, and by close of this year, we will be having around INR8,000 crore s of Order Book hand. And we

expect the same growth in coming years, and that is driving us for that.

Avikshit Vijay: Okay, sure. If I may just squeeze in one more question, may I?

Chanchal Rajora: I would appreciate if you can join again, because there are lots of people in the line.

Avikshit Vijay: Okay, sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.

Manish Ostwal: Yes, sir. Thank you for the opportunity, sir. My question on our order book and the inflow number, so I am confused with that number. So, like, it is mentioned Q1 number, because Q1 is also INR665 crore only. So, is it a typo error, or you can confirm

this Q3 order inflow was
INR665 crore only?

Satyen Mamtota: It is INR665 crores. It is INR665 crores. There is no typo error.

Manish Ostwal: There is no typo error. Okay. Sir, if you look at the Order Book of last quarter, it is INR5,478 crore s, and we executed the order, the revenue in this quarter INR737 crore. So, if you knock off that and take the closing order book, the order inflow works out to INR708 crore. So, why is there a mismatch in the mathematics?

Chanchal Rajora: This is not a mistake in mathematics. Basically, when we do the order book, we have, there are certain price variation factors also there, and there are certain, the bought out items there, which generally does not reflect into the order books. That is why this difference comes.

Manish Ostwal: Okay. And lastly, sir, on this order book, order pipeline, which was in quarter 4 was INR22,000 crore s, now it is INR16,500 crore s, and the YTD basis compared to last year, nine months versus this year, nine months, 18.4% decline. The order pipeline is down by 25%. So, how do you see the visibility and where will we be ending the order books, sir? That is my question.

Satyen Mamtota: Manish, we have, as I pointed out in my speech also, we are taking a deliberate decision that we shall pace ourselves in taking, in inflow of orders, so that we do not have our order book beyond 18 months. We want to limit ourselves to order book of 18 months. Beyond 18 months, it is not very viable because we have seen in the past also, we have faced some issues.

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So, 18 months is where we are limiting ourselves, that 18 months is the highest time limit where we want to execute a certain order. So, we have been pacing ourselves in terms of taking orders and also pacing ourselves in terms of new capacity that is going to come. So, we are very confident that with the, when we close this year, we will have INR8,000 crore s order book in hand.

Manish Ostwal: Alright. Thank you very much.

Moderator: Thank you. The next question is from the line of Samarth Khandelwal from ICICI Securities. Please go ahead.

Samarth Khandelwal: Congratulations on the HVDC repair order. May I know, going ahead, once we complete the order, which technology of HVDC would we be bidding for?

Satyen Mamtota: It will be our own HVDC, indigenously made HVDC. So, currently we are repairing this transformer. Once we have to pre-qualify for any tender that comes in the future. So, once we repair this transformer and it has successfully been commissioned, we shall qualify for our own technology of HVDC.

Samarth Khandelwal: So, right now, there is LCC and VSC based. So, it will be a different one from that?

Satyen Mamtota: Yes.

Samarth Khandelwal: Okay. So, my next question is, if you could list out the capacity that we have right now and when and how much would we be getting commissioned? If you could just confirm that once again.

Chanchal Rajora: Look, at present, we have the capacity in our Moraiya plant is around 27,000 MVA. Changodar is around 12,000 MVA and Odhav is around 1,200 MVA. So, that is our capacity at this moment. And the capacity new which we are going to add up in the next financial year is 15,000 MVA in Changodar in quarter one and 22,000 MVA in Moraiya in quarter two.

Samarth Khandelwal: Okay. Okay. Thank you. And sir, lastly, how does the prices or increase in the commodities will affect our margins going ahead?

Satyen Mamtota: We have the price variation. Most of our orders are protected by price variation clause. So, we shall be protected. But it is again one of the reasons why we do not want to book ourselves beyond 18 months. So, we are protected by IEEMA price variation clause. So, there is no problem there. But we still want to not take orders beyond 18 months.

Chanchal Rajora: Basically, the reason behind that

is that we do not want to block the capacities at present when

we see the good business at the higher margins. So, we just want to leverage on that.

Moderator: Thank you. The next question is from the line of Vedant Sarda from Nirmal Bang Securities Private Limited. Please go ahead. Hello, Mr. Vedant. Please go ahead.

Vedant Sarda: My all questions have been answered.

Moderator: The next question is from the line of Akash, an Individual Investor. Please go ahead.

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Akash: Thank you, sir. Congratulations on very good results. Thank you, Akash. Thank you, sir. I wanted to understand your views on like the current rumor or the news which is going on.

Basically, Reuters has claimed that the Chinese companies would be allowed in power sector or maybe allowed to participate in the electricity or power sector related business.

So, my question, I think at this stage, it will be difficult for you to comment whether that news comes true or not. But my question is on the price competitiveness. Like how well we are positioned domestically and globally? And how do you see it? Like if this rumor comes to light in a few months, how well prepared?

Satyen Mamtara: Akash, from what I have read, the Chinese companies will still have to manufacture in India.

So, there is only one Chinese manufacturer by the name of TBA who is operating in India in the transformer industry. And they are pretty much booked themselves with orders from Adani and Reliance and other companies, other EPCs. So, I don't see there much effecting us in the long term or in the short term.

Akash: Right, sir. Right, sir. And, sir, my second question was on the news of Mr. Mukul Sivastava, you know, his resignation coming through and Mr. Satyen Mamtara taking it forward. So, what is the management plan going forward? Would Mr. Satyen continue or would you look for external resources for hiring new CEOs?

Satyen Mamtara: I shall continue as the CEO and the MD of the company till such time that we decide that, you know, we are ready for a CEO now.

Moderator: Thank you. The next question is from the line of Amankumar Jain from Finwave Global Opportunities Fund. Please go ahead.

Amankumar Jain: Hello. Yes. So, sir, congratulations on a strong set of numbers.

Satyen Mamtara: Thank you, Aman.

Amankumar Jain: You mentioned a shortage of bushings that led to supply chain disruptions?

Amankumar Jain: Yes.

Amankumar Jain: You have indicated that your new facility is expected to become operational around June this year. So, could you share what capacity you are targeting initially?

Satyen Mamtara: So, we are targeting, you are talking in terms of number of bushings or KV of bushings?

Amankumar Jain: Both, sir.

Satyen Mamtara: So, we are, in the first phase, we are going up to 245 KV RIP bushings. Then we are working our way forward in the second year of manufacturing to 400 KV RIP bushings. And we are close to about 7000 bushings in the first year of operation.

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Amankumar Jain: Okay. And, sir, also as per my understanding, acceptance and qualification of such critical components usually takes significant time. So, how should we think about ramp up and customer approvals in this context?

Satyen Mamtara: I think there is one caveat there. If we start getting our bushings tested and it is just a test, type test that we have to do. So, if our bushings pass all those type tests, we should be approved by all. Our OIP bushings currently are approved by almost all electricity boards and PGCL also.

So, getting RIP bushing approval is not going to be very difficult for us.

Amankumar Jain: Okay.

Satyen Mamtara: If you look at it in terms of, the wherewithal to get the approvals, we also have that. In terms of, we are a transformer manufacturer,

there is a certain credibility behind tariff. So, we have all

that wherewithal so in terms of transformers, in terms of bushings.

Amankumar Jain: So, up until what time do we expect an optimal capacity utilization?

Satyen Mamtara: By second year of operation, we should be at 60% -- to 70% to 80% of capacity utilization.

Moderator: Thank you. The next question is from the line of Sandeep Agarwal from Naredi Investment Private Limited. Please go ahead.

Sandeep Agarwal: Sir, my question is what is our cash flow position for 9 months? A 6-month cash flow operation is the cash from the operation is minus INR34 crores. So, what is our cash flow position?

Chanchal Rajora: Sandeep, we are in the cash flow positive at this moment. Right? I don't have the right figure right now to give you, but yes, around INR30 crores to INR35 crores is on the, we are on positive.

Apart from that, we have around INR275 crores of the cash deposits with the bankers. So, that way we are quite okay in that way.

Sandeep Agarwal: Okay. So, my next question, what is the margin visibility in the next 1 to 2 years?

Satyen Mamtara: So, margins will stay stagnant at between 15 % to 16 %. We don't see much variation in margin, though only variation that can happen is 1% or 2% in margins, that is in terms of our operational excellence that we are looking at. So, that is the only place where we would be able to get a better margin. Otherwise, this 15 % to 16 % margin is where we will be at.

Sandeep Agarwal: Okay. And for this last question...

Chanchal Rajora: Sandeep, I just add up into that at 15 % to 16 % margins, which what M D sir is mentioning is on the product side. Right? And once we will work out on a better operational efficiency and better leverage of the resources, the margin is going to be increased, as he said, by around 200 basis points.

Sandeep Agarwal: Okay. So, just last question related to the industry. So, what is the lag time between order and supply? Just want to know. Currently, it's 3 months, 4 months...

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Satyen Mamtara: The lag time is close to between 24 and to 28 months. We want to bring it down back to 18 months. So, that is the reason why we are, again, being very cautious now. So, currently, the lag time is around 24 months.

Moderator: The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: So, my first question is about the expansion in Changodar and Moraiya . I believe it has got delayed further by 1 quarter, now that we are seeing the first quarter. And on that note, given the order book, shouldn't we be able to execute the entire order book in one year, I mean, FY '27, given our now expanded capacity by them ?

Satyen Mamtara: We will take some time. Very honestly, you will get, you will expand the capacity in terms of manufacturing of transformers. So, where will you get the CTC from? Where will you get the bushings from? Where will you get the CRGO from? All that capacity is still not fully capable to cater to whatever expansion that we are doing. So, it will take time to gear up again to, for us to achieve what we want to achieve. And the best thing for that is put our backward integration plans to come into action very soon.

Anupam Goswami: So, current order book is again about 18 months of execution time...

Satyen Mamtara: 18 to 24, 24 months, not 18 months, 24 months.

Anupam Goswami: Okay. And since it's last question on this, you mentioned 15 % to 16% margin and then 200 basis points can improve up above that due to backward integration efficiency?

Satyen Mamtara: Yes. Yes.

Anupam Goswami: So, hopefully by FY '28 that I think the expansion will also come into good utilization and that there we can see some?

Satyen Mamtara: Yes. Yes.

Anupam Goswami: Okay. Thank you, sir. I'll join back in the queue.

Moderator: The next question is from the line of Venkatesha R.J., an Individual Research Analyst. Please go ahead.

Venkatesha R.J.: My only one question I have. How would the World Bank, debarred are now think? Can you throw some light on it because they had given a deadline till this, if I'm not wrong, till this January 15th or something like that? Thank you.

Chanchal Rajora: Venkatesha, first of all, I would like to tell you that there is no debarment from the World Bank as of now on us. Second point is that World Bank has given us the timeline to reply the work queries by 12th of January. We are filing our reply in this particular week. Probably today only we are filing the reply. And we hope that in next 2 to 3 weeks' time this will be settled.

Venkatesha R.J.: Thanks a lot, sir. That's all, sir. Thank you.

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Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund. Please go ahead.

Nikhil Abhyankar: Just one question. I'm not sure if anyone has asked. There are reports coming in today that the government is thinking of allowing Chinese imports for power equipments. I just wanted to understand your views on this. Is there any fraction to this idea or is the government actually thinking of allowing Chinese imports?

Satyen Mamtara: Nikhil, so I just answered that question earlier. Probably you were not there on the queue. Under any circumstances, these Chinese manufacturers will have to make transformers in India.

Currently there is only one plant, one Chinese plant, which is making transformers in India.

And that Chinese plant already has enough, is also fully booked for next 16 to 18 months. So I don't think there is going to be a lot of variation in anything in terms of transformer

manufacturing.

Chanchal Rajora: And I also add, Nikhil, these rumors keep coming, actually.

Satyen Mamtara: No, no, it's not a rumor. It has come.

Chanchal Rajora: And they will also take, one more thing is there. If any new foreign player is coming, they need to take the approvals of the product. That will also take plant and product both. That will take time.

Nikhil Abhyankar: Okay. So at least for 1 to 2 years, you believe that that won't be a problem?

Chanchal Rajora: Yes.

Nikhil Abhyankar: Okay. Understood, sir. Thanks a lot and all the best.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital . Please go ahead.

Balasubramanian: Sir, what is the current revenue contribution and growth outlook for transformer, renewable and green hydrogen applications?

Chanchal Rajora: Okay. Ma'am, first of all, green hydrogen application demand actually has not started coming up in India as of now or anywhere in the world also. Probably we are a little away from that. So once that will start coming up, we would be able to tell or anybody would be able to tell more about that. Renewable energy our portion is increasing now. And once our Changodar facility will be in place because we are putting up a dedicated line for there, then we will have a major higher portion of renewable energies from that.

Balasubramanian: So my second question, could you please share our working capital situation in Q3 and our goal is to be net debt free in next 18 months to 24 months. So what is that planned mix of operational cash flow or any equity raises or FX sales to achieve this net debt free status?

Chanchal Rajora: As working capital is concerned, we are in a little better position than what we were in a quarter H2. H2, we were having a working capital of around, say, around 125 days or something. We are now nearing up to around 120 to 22 days time. And second portion is this net debt free. Yes, Transformers and Rectifiers India Limited
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18 months to 24 months is the timeline

which we wanted to become net debt free. And we are working on that.

And first and foremost emphasis on that is to through the internal resources. And our working capital understand, you need to understand one thing. It is a heavy capital intensive product. So working capital has to be a little bit higher side. And particularly when we are importing the materials, then this will be on the little higher side. Though our goal is to reach 200 days level, but we will see that how do we reach into that level. But yes, so we will be keeping by this year end, we should be near to 120 days levels.

Balasubramanian: On the debt side, sir? Actually, our goal is to be net debt free in the next 18 months to 24 months ?

Chanchal Rajora: Yes, I said that is intact. We are working on that. We will be net debt free in the next 18 months' time.

Balasubramanian: Okay, sir. So my last question, I think only two qualified vendors for a certain specialty furnace transformer. And why only two qualified vendors in this industry and what are the technical barriers to entry here and what is the opportunity size and how sustainable the pricing power to qualified vendors?

Satyen Mamtara: So furnace transformers, the load rating on this furnace transformer is very different. So the furnace starts with very high power, high current. And the voltage is very less. So a lot of people avoid taking this risk and sudden jerks to the transformer. And that is the reason why and the other thing is if a furnace transformer fails, the whole furnace production goes zero. And with the investment that people have done in their factories for melting steel, it is very difficult for people to cross that barrier and let anybody else in. That is the reason why we are able to sustain in this market because of our credibility and quality of our transformers.

Balasubramanian: And what is the opportunity size, sir?

Satyen Mamtara: Opportunity size is very skewed, not very big, but yes close to about INR200 crores , INR300 crores.

Balasubramanian: Okay sir. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Chirag Shah from ICICI Direct. Please go ahead.

Chirag Shah: Yes. Hi sir. I have just one question. As you mentioned that you will be ending with a FY '26 backlog of INR8,000 odd crores?

Satyen Mamtara: Sorry sir, I was not able to hear you clearly. What were you saying, sir?

Chirag Shah: I just want to understand that on one hand you are saying that you will be ending with a backlog of INR8,000 crores by FY '26, that is March 26?

Satyen Mamtara: Yes, close to about INR8,000 crores, yes.

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Chirag Shah: Yes, close to INR8,000 crores. And if I just look at the first 9 months, our inflows have declined double digit, approximately somewhere around IN1,800 odd crores. And my closing backlog as of FY -- Q3 is INR5,400 odd crores. If I just do a back of the envelope calculation, the implied order inflow minus our execution for 4Q implies the order wins of almost INR3,000 crores plus. So what gives us the confidence that we will be able to book such a big number in one quarter?

Satyen Mamtora: We have many inquiries in pipeline which are about to finish. In this quarter, most of this will be getting awarded to us. But anyways, Chanchal will give you a better explanation on that.

Chanchal Rajora: Chirag, if you see, basically, generally most of the PSUs they come up with the requirement in quarter 4 traditionally. And quarter 4 has been always the biggest quarter in terms of the supplies as well as in terms of the deliveries and as well as the new requirements.

If you have been seeing in last quarter, last year FY '25 also, we got INR2,400 crores or INR2,500 crores of order in one single quarter. So that is the confidence and the kind of the inquiries what we

have the pipeline and the very, very advanced negotiation are going to basically give us the orders pretty soon, as soon as in this month itself. So that's the confidence what we have into that.

Chirag Shah: My final question is more from a longer term perspective, let's say, for the next 4 years, 5 years.

So we do have a target of a billion dollar in terms of revenues. But post that, even if we achieve that, post that given a lot of companies are putting up capacities in the transformer sector, how long is the runway for us in terms of growth and how will pricing pressure be there when these capacities come up and when at a stage where the industry will mature at some point in time, what will be the margin at that point in time?

Chanchal Rajora: Chirag, this question -- we have been answering this question for quite some time. First of all, whatever capacities are coming, they are not good enough for the demands which India is foreseeing in next 10 years' time. There is not going to be any problem in terms of the demand in coming next 7 years to 8 years' time.

And basically, new demands like EV demands as well as the replacement market is also going to add up into that. I just mentioned in the last questions also, hydrogen demand has not even started coming up in to the country. So this is the thing. And as far as TARIL is concerned, please understand, though the transformer remains a big focus for us.

But we are diversifying ourselves into the backward integration product and they are going to yield us also in some time in a big numbers. So that is going to be the runway for the organization itself. And as far as industry is concerned, next 10 years we don't foresee anything problematic and then the sustainable growth will come up.

Moderator: Thank you. The next question is from the line of Tushar Pendharkar from Ventura Securities.

Please go ahead.

Tushar Pendharkar: Hello. Sir, thanks for the opportunity. Sir, in Q4 FY '25 and Q1 FY '26, we reported 35% gross margin. And we believe that that was the normal margin because of the backward integration

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effect. So when can we achieve? Can we take the '27 -- FY '27 as the year with the 35% gross margin?

Chanchal Rajora: It is FY '28.

Tushar Pendharkar: Okay, okay. And will it provide further room for expansion to 40% with the further backward integrals?

Chanchal Rajora: Definitely.

Tushar Pendharkar: Okay, okay. Thank you, sir. Thank you, sir. Thank you. That's all from me.

Moderator: Thank you. The next question is from the line of Aman Bansal from PES B. Please go ahead.

Aman Bansal: Congratulations on the amazing self-knowledge, sir. All of my questions have actually already been answered. So, yes.

Management: Thanks. Thanks, Aman.

Moderator: Thank you. The next question is from the line of Kushal Kasliwal from InVed Research. Please go ahead.

Kushal Kasliwal: Hi, sir. Thank you for the opportunity. Sir, although this quarter looks like a 30% growth, but I think last quarter you announced that, you know, there was a copper conductor shortage, import blockage of around INR160 crores.

And then there was this INR70 crores also. I think this question was also earlier asked in this con call. So, sir, if we add both these figures, roughly INR230 crores worth of orders were going from Q2 to Q3 this year. So, if we remove that INR230 crores worth of orders, our Y-o-Y growth is actually not, actually is in negative, right?

Chanchal Rajora: Kushal, I think you have misinterpreted what we said in last time about the CTC. What we said, it is not INR160 crore s. We said 16 numbers of the job s CTC that got stuck in ports , right? So, 16 jobs got stuck in that is to o in the month of May and June. So, which has received in the month of July and then the production has started coming place.
Underst

and one thing that we -- that is affected in our revenue of the Q2 as well as on the Q3 also. Because when the jobs get almost there for 25 days at the port, we could not able to move the next jobs from the China and Korea. So, that is why this is what the cascading effect on all the things, right?

And a round INR70 crore s, which were basically booked into the system order, but because in the system, but indices does not allow us to take into the revenue that is affected. The actual effect is -- was only INR70 crore s for that quarter. And the same kind of effect we are also facing up into this quarter around INR40 crores -INR45 crore s also.

Kushal Kasliwal: So, net -net there is around INR30 crore s of revenue, which has come from -- so, if I remove this INR30 crore s, then also our growth rate has...

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Satyen Mamtara: INR30 crore s has been fall from the past quarter.

Kushal Kasliwal: Okay. I think I get what you are saying. I think my next question was around the CTC and CRGO situation. I think last time we said that the CR GO situation was, you know, prices as well as supply was limited. So, has that solved now? Has that become normal now?

Satyen Mamtara: It is not solved. We are providing for it, but it is work -in-progress. It is always work -in-progress. The kind of growth that Indian transformer industry is seeing, it is always a work -in-progress for all transformer manufacturers.

Kushal Kasliwal: Got it. Got it. Sir, on just your backward integration efforts, I think you were doing in -house CTC manufacturing and couple of more thing, radiators and all. So, will that backward integration effort also work for our HVDC transformer demand or will for HVDC, we will have to like change the -- we cannot use the backward integration which are there?

Satyen Mamtara: It will work for all sorts of and all kinds of transformers.

Kushal Kasliwal: Okay. Even the CTCs also?

Satyen Mamtara: Yes, the CTC also, except for the bushing, I think all transformer s, everything in the transformer. Yes.

Kushal Kasliwal: Okay. Okay. Sir, just last point on HVDC. Sir, when do you expect to, you know, meaningfully see demand from HVDC transformer?

Satyen Mamtara: So, once we repair this transformer and we have, it has been commissioned successfully, we should see PGCIL approving us for manufacturing t his transformer s.

Kushal Kasliwal: And then the orders are expected post '27?

Satyen Mamtara: Post '27, yes, post '27, yes.

Kushal Kasliwal: Got it. Got it. Thank you, sir. Thanks.

Moderator: Thank you. The next question is from the line of Viren Sameer De shpande from Alphapeak Investments. Please go ahead.

Viren Sameer Deshpande: Hello, sir. Congratulations for the good results.

Satyen Mamtara: Thank you.

Viren Sameer Deshpande: We had last quarter was a horrible one for not only the business , but that World Bank issue. But I think the management as it has been mentioned today that we will be filing the reply very shortly in a day or two because 12th was the last date I heard. So, if you are filing today, do we expect it to be solved very quickly as you mentioned in 2 -3 weeks?

Satyen Mamtara: Very honestly, Viren, we are not, we do not know what the World Bank process is, but we should get something sooner.

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Viren Sameer Deshpande: Actually, that doesn't affect us financially. That was true.

Satyen Mamtara: Yes.

Viren Sameer Deshpande: But unnecessarily some corporate governance issues, etc etera, the market has -- the share price indicates that there was a big fear on that issue. But I hope you people are in a position to sort it out very quickly.

Satyen Mamtara: Yes, we are working towards getting it resolved.

Viren Sameer Deshpande: Good, good. And regarding these expa

nsions which we have been mentioning, someone was saying, you mentioned that everything, all the expansions which are as per our plan and the production expansions, etc etera . will take place about almost, we will be having 70 %-75% growth in our production capacity in the next year?

Satyen Mamtara: No, our plant utilization will reach around 85%. Plant utilization is what we said that it will reach 85%.

Viren Sameer Deshpande: By next year end?

Satyen Mamtara: Yes, by next year end.

Viren Sameer Deshpande: Okay, including the expansions because you mentioned some particular...

Satyen Mamtara: Yes, including the expansions.

Chanchal Rajora : Including the expansions. Expansion will ...

Viren Sameer Deshpande: Expansion in Q1, I think you will be having some 15,000 MVA and in Q2 you mentioned 22,000 MVA ?

Chanchal Rajora: Yes, yes, yes, yes.

Viren Sameer Deshpande: So 37,000 MVA will be added in the next first half ?

Chanchal Rajora: Yes.

Viren Samir Deshpande: So that when compared with the current capacity of 50,000, it translates to 74%. So is my understanding correct?

Chanchal Rajora: Sir, my current capacity is around 40,000 and with the ne w expansion we will reach to the 75,000 MVA.

Viren Samir Deshpande : Okay, very good. And congratulations to you all and Mr. Rajora also in particular that as promised you have been in a position to present the results in the first week itself. So let us keep this tradition and the market will always reward this type of gesture.

Chanchal Rajora: Thank you, Viren. This is the organizational effect and efforts which is being paying off us.

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Viren Samir Deshpande : And in this capex also which we are having for this expansion and for the backward -- and when do we expect this backward integration to be completed?

Satyen Mamtara: Sir the backward integration for the CTC plant as I mentioned is, one is... CTC plant is Q1 FY '26-FY'27.

Viren Samir Deshpande : Okay.

Satyen Mamtara: Moraiya expansion will be in FY '26 -FY'27, Q2. Bushing will be in Q4 FY '26 -FY'27 and Press Board will be in Q3 FY '26 -FY'27.

Viren Samir Deshpande : So next year ending almost all the things will be completed. So FY'27, FY'28 will be the fin al year.

Satyen Mamtara: Yes, all our projects will be completed.

Viren Samir Deshpande : Okay. So after that we expect about 2% growth in margins also?

Chanchal Rajora: Yes, sir. Okay, okay.

Viren Samir Deshpande : Thank you, sir and all the best.

Chanchal Rajora: Thank you, thank you.

Moderator: Thank you. The last question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes, so most of my questions have been answered, just few things. And now you mentioned FY'27 and INR8,000 crores order book, given the execution in Q4 and current un -executed order book of INR5,500 crores. So we expect around INR3500 crores of order inflow in the Q4, right?

Satyen Mamtara: Yes, that would be a fair assumption.

Deepak Poddar: Okay, an d given that you mentioned that even INR2500 crores we have done in last year Q4. So this is something which looks achievable to you?

Satyen Mamtara: Yes, it is absolutely achievable.

Deepak Poddar: Okay, and what will drive this order? I mean, can you thr ow some light?

Satyen Mamtara: We have quoted in many tenders, close to about INR16,000 crore s tenders. And most of these are on the verge of finalization. And the other thing is, they are also thinking that beyond 18 months, they also do not want to expos e themselves. So they are also trying to control, pace themselves in placing the orders.

Deepak Poddar: Okay, but generally our order book, I mean, whatever INR8,000 crores we are targeting...

Satyen Mamtara: This is only, not taking orders or not getting awarded for orders, is only a question of pacing the awarding

orders.

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Deepak Poddar: Okay, and then the execution timeline of this INR8,000 crores, which we are expecting to be

closing by April 22nd, would be around what, 18 to 24 months?

Satyen Mamtara: Approximately 24 months. At max, it should be 24 months, not beyond 24 months. We are trying to limit ourselves to 18 months.

Deepak Poddar: Okay, understood. And given this year, we are looking to grow about what, 20 %-25%, right?

From next year onwards, I mean, the CAGR that we need to grow to a billion dollars, or INR8,000 crores of 45 %-50% CAGR, is that what we are targeting from FY '27 onwards?

Chanchal Rajora: Sir, that is right. And understand one thing, in that drive, there are two major factors which are going to contribute, apart from our present capacity. The new capacity, which we are going to add up around 35,000 MVA, and the backward integration revenue, which we are targeting to contribute that thing. So those two are the major contributors going to play in that goal, sir.

Deepak Poddar: And all these are coming from first quarter till fourth quarter, right? I mean, in part, that you have already mentioned. So what would be our optimum revenue potential on this capacity? I mean, both 77,000 MVA and plus your CTC and bushing capacity that is coming through. So at 85% utilization, what sort of revenue potential we see?

Chanchal Rajora: The billion dollar or INR8,000 crores revenue is actually, we are guiding based on these and all the efforts what we are doing.

Deepak Poddar: Okay, so once you fully utilize all this capacity, INR8,000 crores kind of a top line is quite achievable. And just my last thing on the industry side, I mean, what sort of growth we are looking at the industry level, if you can throw some light on that.

Chanchal Rajora: Sir, world industry, world transformer industry, only the transformer I'm talking about is growing at the Kegel level of 6.7%, and India is growing at the Kegel level of 15%.

Deepak Poddar: And India is growing at 15%?

Chanchal Rajora: Yes, sir.

Deepak Poddar: Understood. That would be from my side and I would like to wish you all the very best. Thank you, sir.

Chanchal Rajora: Thank you, sir. Thanks a lot for joining us.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to the management for the closing comments.

Satyen Mamtara: Thank you once again for joining us today, for your continued confidence in our journey. We look forward to your questions and engaging in meaningful discussions. Your insights and support remain invaluable to us as we continue to execute our strategy and create long-term value for all of our stakeholders. Thank you.

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Moderator: Thank you very much. On behalf of Nu vama Wealth Management Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: Apr 2026

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